GOVERNMENT OF PAKISTAN
PLANNING COMMISSION

PRIVATE SECTOR DEVELOPMENT TASK FORCE

REPORT

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Private Sector Development Task Force

Report

Co-Chairmen: Shahid Javed Burki and Razak Dawood

10/3/2010

The Task Force, established by the Deputy Chairman of the Planning Commission in November 2008, as a forum for public – private dialogue jointly chaired by Mr. Shahid Javed Burki (Chairman) and Mr. Razak Dawood (Co-Chairman) and consisting of 29 leaders from government, business, civil society and academia (Annex 1). The members gave their time and concentration along with their ideas for more than one year, culminating in the 4th PSD Task Force meeting in February 2010, where this report was presented and discussed.

ACRONYMS

ADB	Asian Development Bank
BTA	Bilateral trade agreement
CCP	Competition Commission of Pakistan
EM	Extensive margin
FDI	Foreign Direct Investment
FTAs	Free Trade Associations
GDP	Gross domestic product
GNP	Gross national product
GST	General sales tax
HS	Harmonized System
ICOR	Investment-Capital Output Ratio
ICT	Information & Communications Technology
IM	Intensive margin
IMF	International Monetary Fund
IPER	Infrastructure Public Expenditure Review
M&E	Monitoring and Evaluation
METR	Marginal effective tax rate
MFA	Multi-Fiber Arrangement
NEPRA	National Electricity Power Regulatory Authority
NPLs	Non-performing loans
NQS	National Quality System
NSS	National Savings Scheme
NTCIP	National Trade Corridor Investment Project
NTCIP	National Trade Corridor Improvement Project
OECD	Organization of Economic Cooperation Development
PPP	Public Private Partnerships
PPRA	Public Procurement Regulatory Agency
PRSP	Poverty Reduction Strategy Paper
PSD	Private Sector Development
R&D	Research and development
SAFTA	South Asia Free Trade Area
SAR	South Asia Region
SBP	State Bank of Pakistan
SECP	Securities and Exchange Commission of Pakistan
SLIC	State Life Insurance Company
SMEs	Small and medium enterprises
SSA	Social Security Administration
TEVTA	Technical Education
TSA	Treasury Single Account
UAE	United Arab Emirates
VAT	Value added tax
WAPDA	Water and Power Development Authority
WTO	World Trade Organization

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EXECUTIVE SUMMARY

1. Pakistan is at a critical juncture in its stage of economic development. Growth has been extremely volatile and dependent on external inflows such as concessional assistance, foreign direct investment and remittances. As the flows recede, the growth rates plunges. The economic crisis which emerged in October 2008 was a wakeup call in this regard, signaling that the historical boom-bust policy stance is no longer acceptable in this regard, and that a new policy paradigm is needed. Adding to the urgency is the fact that de-industrialization fuelled by critical power shortages and eroding competitiveness means that large scale unemployment may ultimately take root in the country. As the economic crisis dissipates and is replaced by another one caused by the floods of 2010, the critical issues which need to be addressed in order to position the economy along a path of sustainable and equitable growth take center stage.

2. The Private Sector Development Task Force was set up in November 2008 at the time of the economic crisis. Forward looking policymakers anticipated that growth and job creation would need to the necessary outcomes from a program of reform which, as a priority, centered on the inevitable macroeconomic stabilization to come. The Task Force deliberations covered the period February 2008 to July 2010, and focused on both macro (government responsibility), and micro (both government and private sector responsibility) policy mandates. The Task Force benefited from extensive discussion with President Asif Ali Zadari and a detailed session with Prime Minister Raza Shah Gilani.

3. The Task Force reached consensus on a comprehensive set of recommendations covering six areas of focus. These areas were covered in the presentation made by the Task Force Chairman to the Prime Minister on February 13, 2010:

- ***Better Manage Macroeconomic Policy*** for stability, financial sector deepening and resource generation.

  Macroeconomic stability through greater fiscal soundness and mobilization of domestic saving will enable the government to undertake critical public investments for improving the competitiveness of the economy. The government should adopt and announce in the upcoming budget a comprehensive plan to increase the tax-GDP ratio from its current 9.5 percent to 17 percent through broadening the tax base. This shall involve bringing agricultural income into the tax net, introducing a VAT regime with minimal exemptions and rationalizing the existing structure of corporate taxes in the following year. On the expenditure side, the Government should also take stock of all fiscal and financial subsidies to rationalize expenditures and only provide such incentives based on a clear economic rationale.

  Appropriate macroeconomic management has the secondary benefit of spurring the comprehensive financial sector reforms which are needed to increase private sector participation in the economy. Financial markets depth - correlated with growth in cross-country analyses - can be fostered by good macroeconomic management through the development of pubic bond markets, low and stable real interest rates, and limited crowding-out of the private sector by public spending, along with measures to strengthen key functions of the State Bank Pakistan.

- ***Develop an Export Oriented Approach to Economic Revival*** and sustained development which removes the anti-export bias and subsidy culture and supports exports.

  Pakistan must reverse the inward orientation and export bias that has characterized its trade policy regime in the past. The country needs to move towards an export driven development strategy that would allow it to better participate and compete in world markets. As a first step, the government should carry out a trade policy review in the next year to analyze the impact of tariffs, taxes, subsidies, and exchange rates on exports. It should also review the performance of Free Trade Associations (FTAs) and their associated costs and benefits. A greater focus on developing regional trade and supply chain linkages with neighboring countries will help the country tremendously in the development of its export base. It should emphasize the parts of the Strategic Trade Policy Framework which place emphasis on providing public goods, coupled with a program to revive the National trade Corridor Improvement Project.

- ***Improve the Business Environment for Developing the Pakistani Firm*** through enhancing the efficiency of factor markets, better regulation and reduced cost of doing business.

  Modernization of economic and business laws must be carried out along with measures to strengthen the key regulatory agencies responsible for market governance. Two dimensions are needed. The rules of the game should be modernized, and the cost and time to carry out business transactions should be as low as possible. As a first, step, the federal and provincial governments must undertake labor market reforms through consolidation and streamlining of laws on the books to increase the efficiency and flexibility in labor markets and to reduce the regulatory costs of compliance. Accompanying the modernization of business laws, such as those governing insolvency, secured transactions, holding companies, etc, would be the modernization and capacity building of the regulators who have to enforce the new laws. The government must create a policy framework for facilitating exit of poorly performing and non-competitive firms which involves law, analysis and consistency to ensure the law is followed.

- ***Develop Infrastructure particularly in Power and Transport*** through, public sector review, individual sector reform and the aggressive pursuit of public private partnerships.

  Pakistan's future development depends crucially on developing an adequate infrastructure base that enables the firms to compete in the world marketplace. The first step to addressing this massive area is to carry out an extensive Infrastructure Public Expenditure Review (IPER) to map the spending to sector, identify gaps and see what would be available for private participation The power shortage crisis must be tackled through the speedy elimination of the circular debt to enable current generation capacity to be utilized fully as well as ensure cost-based pricing to consumers. Provinces must be permitted to generate indigenous power up to 1000MW per plant as well as given the authority to set electricity prices. This will also allow the development of intra-provincial power markets in the country. In order to improve transport and communication efficiency the government should revitalize the NTCIP and develop and action plan to revamp railways, airlines, trucking and trade facilitation activities; undertake dredging of ports to allow large-vessel cargo handling, and formulate a unified Information and Communication Technology to integrate the expansion of telecom and broadband services.

- ***Strengthen Public Goods for Technological Development*** by upgrading human skills.

  The government can play an active role in helping the private sector invest in human resource development. Policies to encourage training and upgrading of skills through the provision of tax relief and matching grants can be adopted to encourage private sector technical and vocational programs. The government should also devise and implement a strategy to revive the various national and provincial skills development agencies. Improving quality control and application of international industrial standards must be encouraged through public-private collaboration. In order to attract Foreign Direct Investment that is one of the quickest means of technology transfer the government should approve international arbitration laws on a priority basis.

- ***Activate empowerment for Sub-National Level governments*** to pro-actively take leadership in economic policy, particularly when it comes to matters of the business environment.

  Pakistan is too large a country (with a 2010 population close to 180 million) to be managed centrally and its federated structure recognizes this fact. Therefore, even prior the new empowerment provided to sub-national governments from the 18th amendment to the Constitution and the most recent National Finance Commission (NFC) award, there was much governments below the federal level, could do. Provincial and district governments have a role to play in labor reform, business laws, land markets, property registration , construction permits, and many other area. Sub-national Doing Business indicators have been collected, to establish a baseline for monitoring and evaluation of reforms to streamline the interface with the private sector, enhance the efficiency of land markets and enable property to be used as collateral. Provinces can also learn from each other as in the case of computerization of land titling where the land records digitization project for Punjab should be accelerated and adopted by all provincial governments

4. In addition to the above six areas of substantive policy recommendations, the Task Force has also proposed actions requiring a major effort across the government in a seventh area of focus, covering reform implementation.

- ***A Focus on Implementation and Monitoring / Evaluation (M&E)*** through the establishment of a focal point in Government to compile the recommendations and monitor their implementation.

  Based on the guidance of the Task Force members, the report includes two implementation matrices as exhibits in the report to be further developed, completed and finalized by the government. The first matrix is designed to assign institutional responsibility in the government for implementing the proposed recommendations through specific actions and policy instruments in a short, medium and long term time frame. The second matrix is designed to map out the existing and planned donor programs in the above six areas of focus to better help coordinate the government's plans with donor activities. The missing element is the institutional responsibility with in the Government to take ownership of the day to day implementation of the task force recommendations.

5. The Chairman of the Task Force will write a letter to the Prime Minister to encourage the government to take leadership and ownership in preparing and executing an implementation plan to be presented to the Task Force at its next meeting. The Chairman will also recommend to the Prime Minister the creation of a focal point in the government assigned with the responsibility of co-coordinating, monitoring and reporting on the implementation of the reform program to the Task Force.

INTRODUCTION

1. The Task Force on Private Sector Development was set up in response to a crisis, but its remit was extended to look at some of the major structural problems in the Pakistan economy and to identify ways in which the country's drive to middle-income status could be accelerated. It was established as a forum for public—private dialogue was jointly chaired by Mr. Shahid Javed Burki (Chairman) and Mr. Razak Dawood (Co-Chairman), consisting of 30 members drawing from Secretary level officials from the various economic ministries of the Government, leading businessmen, civil society and academia. The names and affiliation is listed in Annex 1.

2. The Task Force held five meetings between November 2008 and October 2010. The Chairman of the Task Force made two presentations to President Asif Zardari and one to Prime Minister Yousuf Raza Gillani, apprising them of the progress made in the deliberations up to that time and laying out what were seen as the main challenges to the economy. These findings are presented in the report.

3. As 90 percent of Pakistan's GDP originates in the private sector, an encyclopedic report on the development of this sector would be a very lengthy undertaking. We have therefore honed in on key policy areas that we regard as critical for putting the economy on a path of sustained growth, absent which the country's goals of sustaining growth at a reasonable level, alleviating poverty, attaining middle-income status, and better integrating the economy with the outside world would be frustrated.

4. The government must:

- **Manage macroeconomic policy** for stability, financial sector deepening, and domestic resource generation;
- **Adopt a new trade policy** that vigorously supports exports, and eliminates the anti-export bias and subsidy culture of the existing policy framework;
- **Improve the environment for the firm,** so as to reduce the cost of doing business and to encourage higher investment;
- **Develop the infrastructure,** especially in power and transport, through policy reforms and establishing public-private partnerships;
- **Accelerate technology upgrading and human skills development**, so as to help firms improve their productivity;
- **Activate the empowerment of sub-national governments** to proactively improve the business environment and decentralize decision making by devolving more responsibility and resources to provincial and local governments.
- **Set up a mechanism for implementation of Task Force recommendations** by appointing a Government focal point to compile, organize, monitor and report on implementation.

5. These subjects are analyzed in subsequent chapters. We provide detailed recommendations for policy reform and program action in each of the areas. We also provide the matrix template showing the agencies responsible for implementing the policies and a possible timeline for the implementation of our recommendations, to be completed by the Government's focal point for implementation.

6. In discharging our mandate, in addition to the wide experience represented in the Task Force, we have drawn on surveys and analyses by government ministries, official organizations, civil society, think tanks, and the World Bank. We interviewed a number of knowledgeable individuals and examined a substantial amount of written submissions. We should like to express our thanks to all those who provided this assistance. We should also like to place on record our appreciation of the work of Mr. Eric Manes of the World Bank for providing technical support and for helping to draft this report.

1. THE CHALLENGE TO PRIVATE SECTOR LED GROWTH

7. Pakistan's enormous development opportunities are apparent from its strategic location at the crossroads of Asia and the Middle East, its large population as the sixth most populous country in the world and with one of the most extensive irrigation networks in the world. At the same time, the huge political, governance and geostrategic challenges faced by the country permeates daily life and prevents these development opportunities from being realized.

8. Policy makers, business men and the consumers all know that Pakistan needs significant economic reforms coupled with a prolonged period of macro-economic stability, financial discipline and policy consistency for the economy to achieve a steady growth path of the duration and magnitude necessary to reduce poverty and achieve middle income status. Yet, Pakistan is being left behind by other countries in South Asia – not only by the fast growing India, bt now also by Bangladesh- and cannot afford slippage to persist.

1.1 Key Lessons from the Recent Past

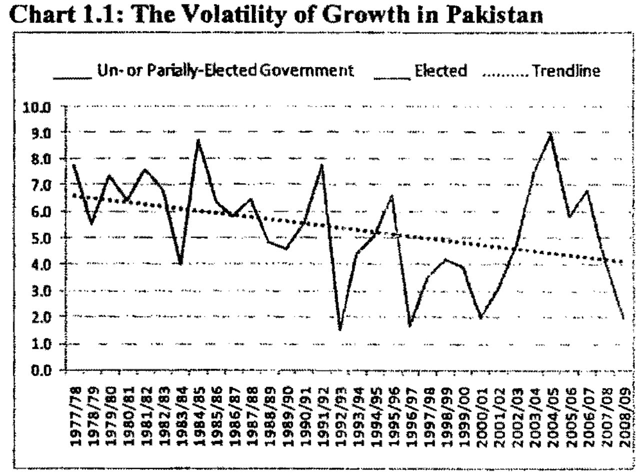
9. **The long run trends in Pakistan's record of economic growth—highly volatile and downward sloping—is not conducive to Pakistan's goals of poverty reduction and global partnership.**

10. It has been well understood for some time that to reduce poverty in a sustained manner, Pakistan must completely reverse its growth path to one that moves steadily upwards and with year-to-year fluctuations that are much smaller than they have been in the past. The process of growth must also create employment opportunities for a rapidly growing workforce. The challenge facing policy makers is how and where to begin, on what areas to focus, how to incorporate capacity limitations, and at what costs should interventions be considered too expensive for the projected outcomes?

11. The long run growth record, characterized by repeated cycles of rapid growth followed by precipitous slowdowns and stagnation has been the highest in South Asia, and contributed directly to movements of large sections of the population into and out of poverty. Despite periods of rapid but unsustainable progress, the actual record reveals a downward sloping trend line (Chart 1.1) over the medium term.

12. Detailed examination of growth spurts reveals (i) relationship with external financial inflows and (ii) unrelated to the form of government in place at the time—whether

Chart 1.1: The Volatility of Growth in Pakistan



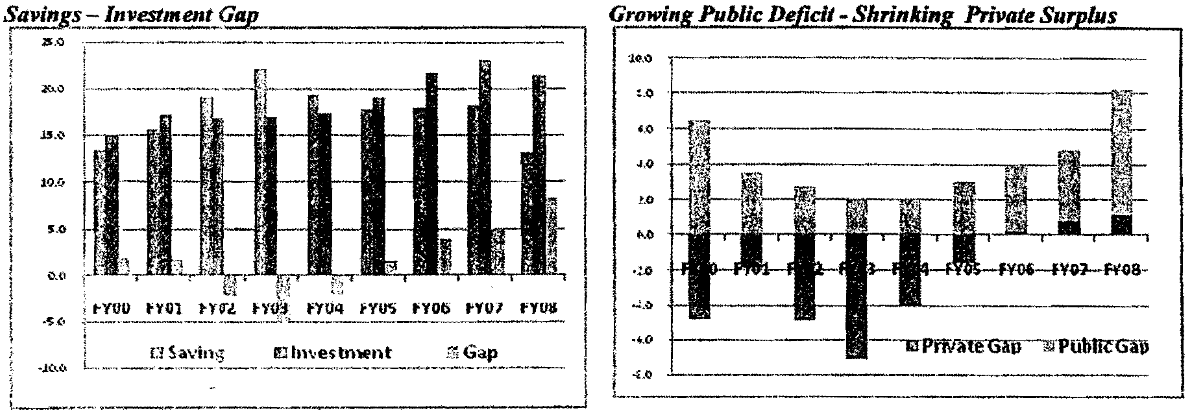
Source: Government of Pakistan, Economic Survey democratically led or not. In sum, on the macro side, the economy has not generated enough of its own resources to generate sustainable growth periods so that the inevitable booms in domestic demand booms translates into imports rather than domestic production. At the microeconomic level, the private sector's reliance on government subsidies in this scenario helps feed the vicious cycle of boom-bust macroeconomic performance.

13. A significant part of the investment was financed by external inflows—concessional assistance, foreign direct investment, remittances, etc. The recent crises bring painful reminders that these flows fluctuate quite widely and depend on a number of factors, such as the political interest of donor countries, the security situation, economic conditions in the external environment, perceptions of profitability in Pakistan, and so on. Thus, if a large part of Pakistan's investment depends on volatile and unpredictable sources of finance, it is inevitable that the resulting GDP growth in Pakistan will itself be volatile.

14. Macroeconomic stability is also a result of good microeconomic conditions and growth, leading to private savings. These trends combined to reduce aggregate savings, which meant that the share of foreign financing in Pakistan's investment increased. Investment increased, but aggregate savings did not keep pace, resulting in a financing gap and extensive reliance on external flows (Chart 1.2). As the main propellant of the GDP growth rate is the private sector, private investment must rise. For private investment to rise, private savings must increase. To increase domestic savings in the aggregate, private savings must not be absorbed by high public sector deficits

Chart 1.2: The Anatomy of Rising Deficits

Savings – Investment Gap *Growing Public Deficit - Shrinking Private Surplus*



15. Breaking the most recent decade into two or three periods is useful to compare policy frameworks. During the period of outward orientation (2001-2005) of economic incentives, the private surplus which was generated covered the public sector gap. In the latter half of the decade, however, the public sector deficit grew while at the same time the private saving surplus also shrank. The Saving-Investment balance went from being negative to becoming positive in 2005 and grew rapidly in each of the subsequent years.

16. As a result, Pakistan was forced to again rely on external financing to meet its investment gap and has left the economy susceptible to macroeconomic risks and vulnerable to changes in foreign inflows—as was painfully apparent during the period of economic sanctions in the 1990s as well as during the recent experience of economic shocks from food, fuel and financial crises.

17. The October 2008 crises, lead to the 2009 Recession, was a wakeup call, signaling that the historical boom-bust policy stance is no longer acceptable in this regard, and emphasizing that a new policy paradigm is needed. While the seeds of the recent "bust" were essentially reflective of the

overall weakness in the economy's ability to generate own resources, in this case, the crises was deepened by a combination of poor management of the domestic economy, price and external demand shocks along with domestic supply shocks from power shortages. As a result, the foreign exchange reserves of the State Bank of Pakistan dropped to 3 weeks of imports and the risk premium on Pakistan sovereign debt rose by 2000 basis points. It has become painfully clear to policy makers that the macroeconomic problems faced in 2008 were not externally imposed and were unique only in their magnitude and unfortunate timing in coinciding with the political and security instability.

18. Meanwhile, Pakistan's very high rates of population growth in the recent past and rising labor force participation which has come as a result, requires a higher efficiency of capital formation in order to create employment. This means that private investment must also be accompanied by complementary and strategically driven investment in public goods in order to raise private economic and financial returns. However, as the current levels of public investment are squeezed through the program of fiscal consolidation underway, Public Private Partnership opportunities need to, but have yet to be fully exploited. At the same time, better adjustment mechanisms for firms are needed to enter and exit and labor and capital to circulate, in order to redirect and diversify decades of misguided investment.

19. Finally, in terms of implementation, there are two key challenges: locating the entry points such that this vicious circle of boom-bust is turned into a virtuous circle of sustained, rising growth and second, determining the importance of a structured sequenced reform versus an opportunistic approach.

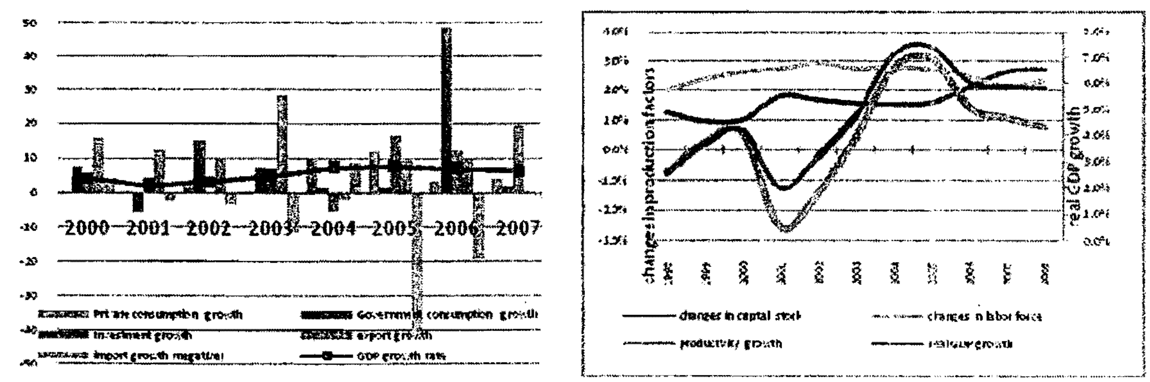
1.2 The Means to the End

20. **On the demand side, outward orientation is required even under difficult but now improving world market conditions, while on the supply-side growth depends on productivity increases.**

21. The 2000s provides a microcosm of the enduring lessons to be drawn from the boom-bust growth experience. At the beginning of the decade, demand derived from the external market led to high private savings which covered both private and public investment. However, the export oriented policy stance was short lived and replaced with a consumption boom: domestic consumption dominated by the public sector with the private consumption boom generating a large import growth (Chart 1.3). And indeed, the investment in 2005/07 was concentrated in service sectors—finance, construction, communications and trade, which may not have yet provided enough of a domestic supply response. Indeed, while Pakistan's turnaround became crisis in 2008, balances were turning adverse in 2005/06.

Chart 1.3: Decomposition of Growth

On the Demand Side ***On the Supply Side***



Source: World Bank Calculations

22. Importantly, the inability of policy makers to adjust to the overheating pushed the imbalances from worrisome to a tipping point. Pakistan's policy stance during the period which loosened monetary policy in response to a surge in capital inflows helped to sustain the growth rate, but left the economy increasingly vulnerable to the external shocks which eventually came in waves in terms of food, fuel, financial and security shocks. Subsidies, negative real interest rates and liberal prudential standards contributed to high rates of consumption and an associated low rate of savings.

23. Thus, the first lesson is that Pakistan' s demand side policies should support a return to export led—outward orientation of production, even if it has to battle with unfavorable world market conditions—Such a policy stance, though requiring considerable fiscal and monetary discipline is desirable for a variety of reasons: higher exports increase domestic savings, competing in international markets forces firms to become more efficient, and the availability of more foreign exchange enables the country to import more capital goods and technology that it requires to accelerate the growth process.

24. On the supply side, as TFP growth goes so goes long run real GDP growth. Even under favorable conditions, the investment needed for Pakistan to raise its manufacturing share is higher than it has been in the past. Now, given the limits of capital accumulation and labor participation, rising total factor productivity (TFP) at the firm level is the key to sustained growth. Aggregate productivity—based on average firm level productivity multiplied by the share of the firm in the total economy—is the critical determinant in growth of the economy.

25. Therefore, to increase productivity at the aggregate level, the emphasis needs to be two pronged: (i) on raising average productivity of the firm through improved efficiency, skills and innovation, and (ii) raising aggregate productivity by ensuring that the distribution of resources goes to the firms with the highest productivity. In other words, to enable the market functioning such that productive firms enter the market, access resources and achieve market share. At the same time the exit of poorly performing firms needs to be facilitated. Public policies must therefore target productivity both at the level of the average firm certainly, but ultimately in the aggregate, in order to reach the growth in income per capita required to achieve middle income status.

2. *Starting Conditions and Policy Outcomes Sought*

2.1 Low and Falling Levels of Global Competitiveness needs Reversal

26. **Numerous opinion surveys from around the world cite a steady decline in Pakistan's global competitiveness rankings in recent years.**

27. Competitiveness as a complex concept is difficult to concisely define, and yet, when defined appropriately, contains the elements of the solution to what ails the Pakistani economy. In other words, competiveness in its general equilibrium form considers the ability for the economy to adjust smoothly and easily in response to economic shocks, demand changes or technological advances. The cost to the economy of declining competitiveness is clearly: (i) higher Investment—Output Ratio's,[1] (ii) lower wages and income, (iii) less technology exchange, (iv) decrease of tax revenue, (v) more demand for subsidies, (vi) lower consumption standards and (vii) difficulty in maintaining macroeconomic stability

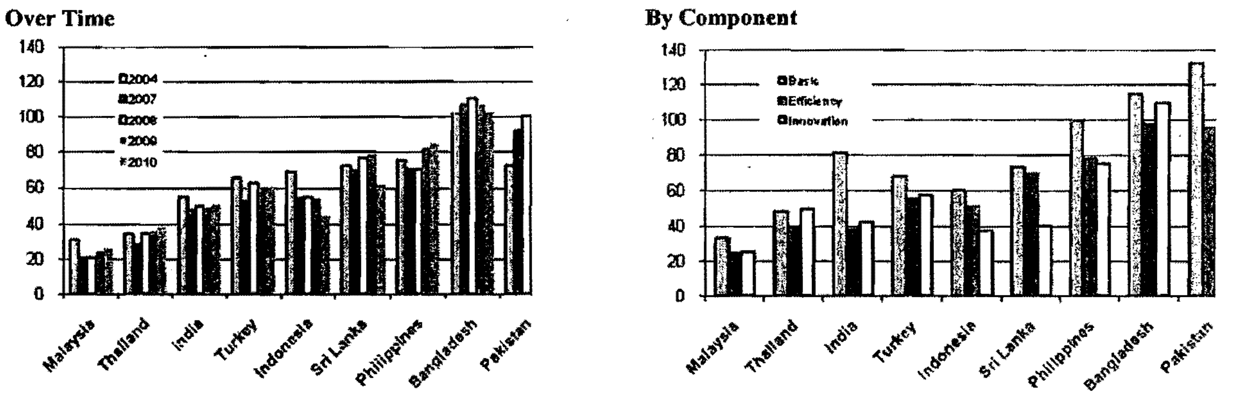
28. Given its complexity, one way to quickly and succinctly measure a country's competitiveness is to ask people who are in the field and work every day with the country's competitiveness issues.

[1] ICOR traditionally measures investment efficiency. A higher the ICOR requires more investment for a unit of output.

While the assessment ends up being subjective, these perceptions can also contribute to fulfill itself through feedback mechanisms for foreign investment, trade etc. as many people read this indicators and incorporate into the plans. Moreover, with the negative publicity stemming from non-economic news, it is all the more important to get those perceptions which policy makers can influence, the most positive they can be.

29. Despite world class business and resource potential, decades of reform, and favorable geo-political positioning, the fall in Pakistan's competitive-ness ranking has been steady and severe.[2]As an indicator, the World Economic Forum provides yearly benchmarks for Pakistan's competitiveness against other countries which incorporate a variety of influences that shape national productivity (Chart 2.1). The indices—comprising three dimensions of competitiveness[3]—underscore Pakistan's low and falling position in the global and regional rankings across all three dimensions, but particularly when looking at the "basic" dimensions of competitiveness.

Chart 2.1: Global Competitiveness Rankings



Source: World Economic Forum.

30. Along these definitions, a key objective indicator that Pakistan remains in a weak competitive position is stagnant and concentrated production and export structure. Industrial production is low value-added, the range of markets to which it exports is relatively small, and the low technological base of its manufacturing sector means that it cannot capture a due share of the expansion in world trade which has been the case for some time. Over the past three decades the share of manufacturing value added in GDP increased from 14 percent in the 1970s to around 18.4 percent today, while manufacturing almost doubled its share of GDP in Bangladesh and in Thailand it almost tripled.

31. Moreover, the manufacturing consists of relatively low-tech industries and provide too narrow a base to support a rapid growth in exports—two thirds of manufacturing value added is accounted for by textiles, leather, sugar, cooking oils, beverages, tobacco, pharmaceuticals, industrial chemicals, minerals, basic metals and electrical engineering. Therefore, the challenge of moving to a more globally competitive and dynamic set of economic activities and raising competitiveness in existing ones is enormous in any case, but is even more so for Pakistan given the historical structure of industry,

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[2] Pakistan's 2008 ranking in the Global Competitiveness indicator is 101 out of 134 countries.

[3] The three dimensions of competitiveness are :(i) *Basic Requirements* which include institutions, infrastructure, macroeconomic stability, health and primary education, (ii) *Efficiency Enhancers* which include education and training , efficient goods markets , well-functioning labor markets and financial markets , a large domestic or foreign market , and an ability to harness the benefits of existing technologies and (iii) *Innovation Factors* which include an environment for competing with through innovation , producing new and different goods and uses.

the stagnation in products that Pakistan's exports and the markets it exports to, the low value added of production, and a macroeconomic stance which favors domestic demand over export orientation.

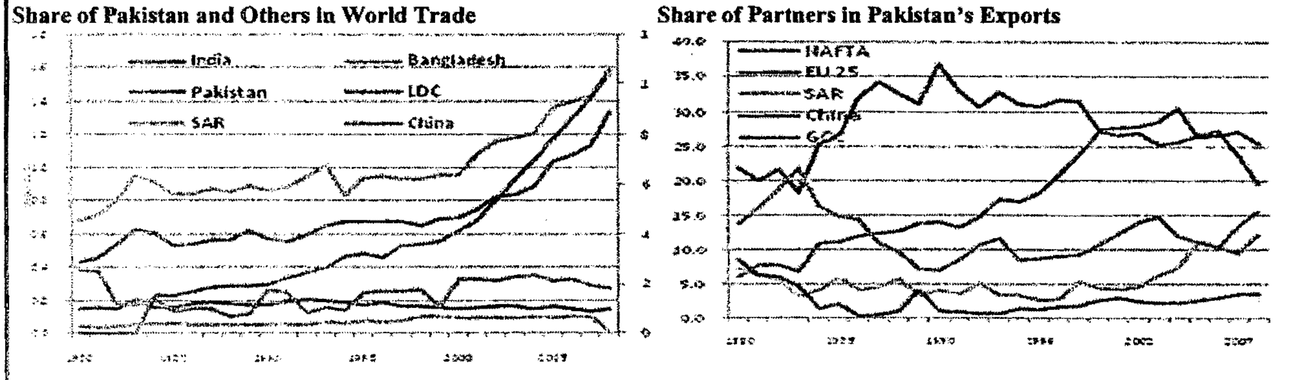
2.2 International Trade Outcomes Reflect the Economy's Structural Weaknesses

32. **Low export orientation, stagnant global market share and a high concentration of production to narrow list of export markets characterizes Pakistan's trade regime.**

33. One of the most striking facts underscoring Pakistan's starting point concerns its position in world trade. The share of exports to GNP increased from only 8 to 17 percent over the past three decades (with 3 percentage points added in the past three years)—a much lower supply response to globalization than that witnessed in East Asia. In terms of world market share, Pakistan exports have not moved much over the past 25 years while exports markets share from Malaysia, Mexico and Thailand have doubled and the share from China has tripled. Pakistan's exports were also concentrated geographically, with the Hirschman concentration index in 2008 estimated at 0.25.[4] High concentration may indicate vulnerability to economic changes in a small number of export markets (See Chart 2.2).

Chart 2.2: Pakistan's Lack of Penetration into World Trade

Share of Pakistan and Others in World Trade | **Share of Partners in Pakistan's Exports**



Source: United Nations Comtrade Database.

34. There is a concave relationship between trade openness and per capita income: countries tend to trade more as incomes rise, but at a decreasing rate (Chart 2.3). The fact that Pakistan's position is below the predicted line indicates that it under-trades compared to countries at comparable levels of per-capita income.[5] The actual trade share of Pakistan is under 40 percent and is therefore well below predictors calculated in two different ways. Moreover, Pakistan's average trade-to-GDP ratio for the period 2006-08 was the same as a decade earlier (1996-98), in contrast to shares of both China and India which doubled. In fact, when looking at Pakistan's share of exports of goods and services to GDP, it is seen to have declined from around 16 to 14 percent over the period 1996-98 and 2006-08.[6] Generally at low levels of income, we expect exports to grow much faster than the rate of GDP—the

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[4] The Hirschman index measures the geographical concentration of exports and the degree to which a region or country's exports are dispersed across different destinations. The Index takes a value between 0 and 1. Higher values indicate that exports are concentrated on fewer markets (1 indicates a single destination export basket).

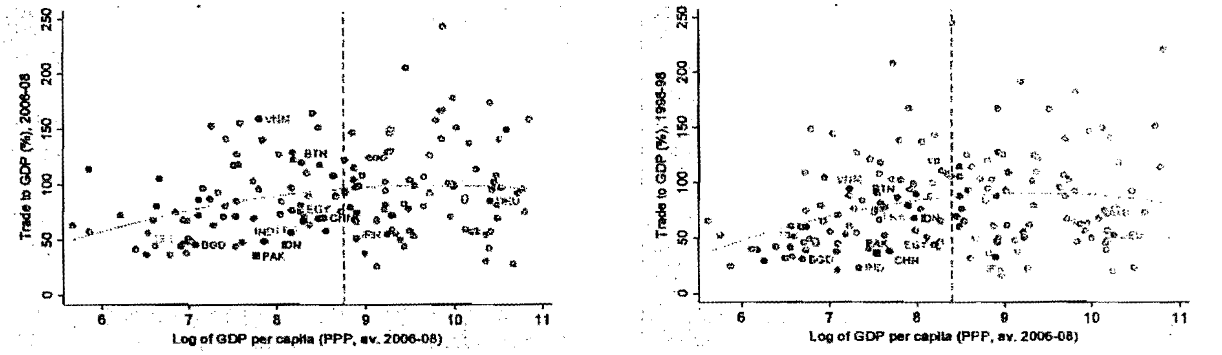
[5] A regression of trade/GDP on the log of per capita income (PPP current $) as well as its squared value predicts a trade share of 83 percent. Controlling for export costs and population, the predicted share drops to 66 percent.

[6] Globally, the elasticity of trade to income in recent years has been estimated to exceed 3.5 by Freund (2009). Pakistan's trade-to-income elasticity from 2006 to 2008 was less than 3.

global average elasticity is around 3.5. Yet, Pakistan's trade/GDP has stagnated over the past 10 years. All fast-growing countries (China, India, and Vietnam) have substantially expanded their share of both exports and imports to GDP. Pakistan has lagged.

Chart 2.3: Openness to International Trade- Global Patterns

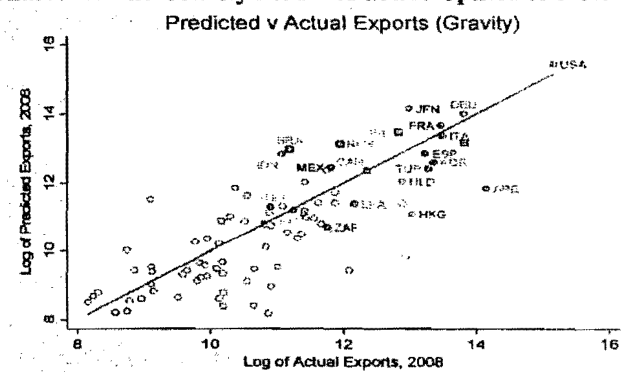
2006-08 **1996-98**



Source: Comtrade and World Bank Estimates,.

35. Whether Pakistan's trades with its economically optimal trading partners is a complex question. Only considering the "gravity" variables[7] between Pakistan and over 100 of its trading partners, it is apparent that *Pakistan under-trades with Japan, India, Russia and Brazil* (located above the 45-degree line), and *"over-trades" with China and UAE,* although the latter partly serves as an entreport. (Chart 2.4). The fact that Pakistan under-trades with several large and/or fast-growing emerging economies, except China and Turkey, could be due to historical reason (MFA, trading preferences) market access barriers elsewhere, and is exacerbated by a lack of country-focused export promotion. In South Asia, its official trade with India is restricted, but has been growing with Sri Lanka.

Chart 2.4: The Gravity Model of Trade Upheld or Not?



Source: *Comtrade and World Bank Estimates*

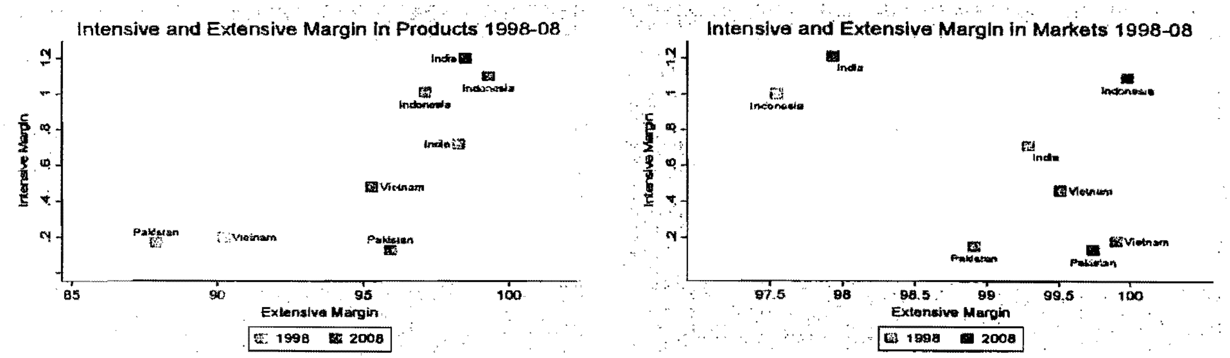
36. Trade with Sri Lanka has been spurred by a bilateral trade agreement (BTA) and this is potentially the case for China as well. There may be other countries with which Pakistan could enter similar preferential arrangements. A particular interest would be to see the nature of supply response with countries where BTA have been entered and how this might affect trade policy with regard to BTAs.

37. How a country's industry is faring in international competition can be gauzed by its share in strategic markets, such as those that are expanding (and importing) rapidly. Generally, Pakistan's top export partners are not among those that have seen the highest rates of import growth between 2000-08, with the exception of China, and to a lesser extent Turkey. In the next figure there is a weak, positive correlation between Pakistan's top exports—cotton, apparel, leather, and cereals—and their rate of growth in the world market. For Pakistan's exports to be "pulled" by the world growth of products which exports, the relationship would have been stronger. The heavy reliance on slow growing US and

[7] 2008 bilateral exports (using mirror data) is regressed on bilateral characteristics of trading partners: distance, contiguity, common language, colony, common colonial power, as well as log of GDP, log of GDP per capita, etc. Three innovations are introduced to better ground the gravity results in trade theory (whether a country over-trades or under-trades with a partner).

Europe may also be the result of historical trading arrangements while Pakistan's exporters have not been able to penetrate new emerging markets. The sources of this lack of penetration has its basis in search cost, market access, competitiveness, trade complementarily index.

Chart 2.5: Intensive and Extensive Margins in Exporting

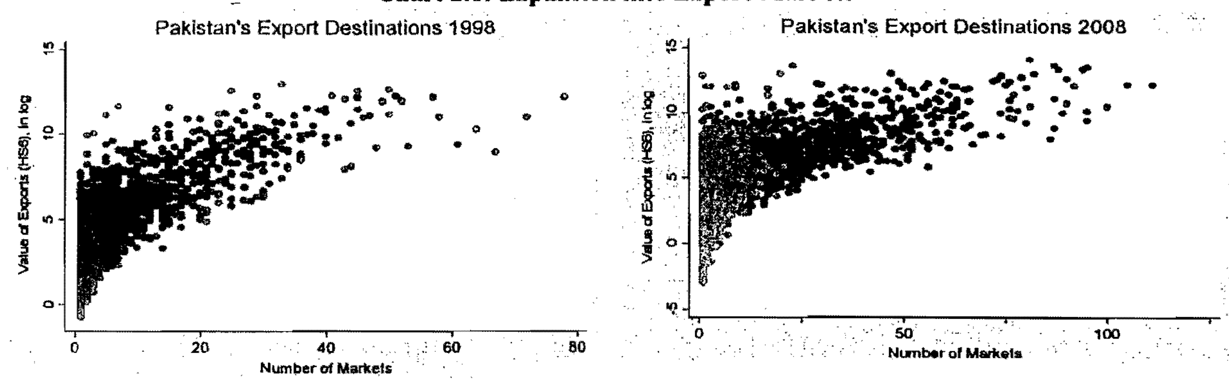


Source: *Comtrade and World Bank Estimate*

38. To view the performance of exports against the intensive margin (IM) and extensive margin (EM) of exports (Hummels and Klenow method, 2005) the IM and EM are plotted jointly on an IM-EM space, together with a few other comparators (Chart 2.5). Pakistan's share of exports in all products that the rest of the world also exports (IM) has declined slightly over the last ten years, but it appears to be moving towards new exports that are economically significant. The IM measures how big is Pakistan in what it exports, and the EM measures how globally important is what it exports. In other words, this can be characterized as a move from being a "big fish in a small pond" to a "small fish in a big pond.

39. Countries like Vietnam, India and Indonesia, however, have managed to increase their share of export in goods which the rest of the world produces too (IM) as well as the breadth of their export portfolio relative to all exportable products (EM). Extending this to analyze destinations, Pakistan's export share in countries it currently exports to (IM) has reduced slightly, but it has increased its reach to markets that cumulatively are larger relative to the world in 2008 than in 1998 (EM). In contrast, India and Vietnam have increased their existing share of exports to existing markets, but have not added major new markets to their portfolio of destinations. Indonesia has done both.

Chart 2.6: Expansion into Export Markets



Source: *Comtrade and World Bank Estimate*

40. Over the ten year period, 1998-2008, Pakistan has expanded the number of export markets that at least one of its products (at the HS 6-digit level) serves from less than 80 to well over 110. (Chart 2.7) The total value of its existing products (in green) in the newly expanded or existing markets has also increased. The orange dots in Chart 2.6 indicate products at the HS 6-digit level that were not

exported in 1998 but were in 2008, which proxy for new discoveries. The black dots were products that were exported in 1998, but not in 2008, possibly indicating death or suspension. Products that disappeared did not constitute large export amounts, whereas the possibly "new" exports in 2008 earned large amounts, with some already seen to reach around 25 markets.

41. A principal outcome of competitiveness, as well as somewhat a driver for additional competitiveness is the share of production which is "outward- orientated". While there has been much written about the feedback mechanism from being outward oriented and leading to exports, most empirical evidence in recent years shows that learning from exporting is very rare. Instead, competitiveness begins from home, with exports as a realized outcome of the type of competitiveness described above. Of course, exports can also be achieved in unsustainable ways so verification mechanisms are needed to enforce level playing fields and fair competition. Decades of industrial protection, subsidized input costs and export biases throughout the system means adopting an outward oriented development strategy requires making substantial changes in the economy's technological and institutional framework, and cannot be achieved quickly, nor through policy alone

2.3 Technology and Skills are Inadequate for the Global Demand for Knowledge.

42. **Indicators place Pakistan's technology adaptation by firms as low as compared to countries of the region and other developing countries as well as developing countries as a group.**

Table 2.1: Indicators of Technological Sophistication (Share of Firms)

	Pakistan	*Region*	*97 Countries*
Exporters (Direct and Indirect)	14.3	20.0	20.1
Export Directly	8.9	13.4	15.4
Offering Formal Training*	6.7	16.9	34.8
Use Technology Licensed from Foreign Companies	2.7	5.0	14.8
Internationally-Recognized Quality Certification	9.6	9.5	15.7
Using Banks to Finance Investments	9.7	27.2	23.8
Using Banks to Finance Expenses	4.6	32.9	26.9
Access to Finance as a Major Constraint	17.6	23.3	30.5

Source: *Investment Climate Assessment 2007*

43. Policymakers and the business community recognize that improved processes and increased efficiency at the firm level requires technology adoption and a drive for innovation. Effective demand for new technology at the firm level in turn, depends on the degree to which firms participate in vibrant competitive markets exposed to global prices and driven by sophisticated consumer demand.[8]

44. Technology can be produced at home through an educated workforce, positive incentives for risk-taking and integration between academic and government sponsored research on the one hand and business applications on the other. Alternatively technology can be adopted through the spillover of knowledge transfer which comes from participation in the global economy. Outward orientation implies integration with inward FDI and participation in global supply chains, both of which require producing to world standards of price, quality and delivery time. At the firm level, the means to do accomplish this to adopt knowledge through equipment imports, achievement of quality certificates, and licensing agreements with foreign firms – all positively associated with productivity, employments and exports.

[8] The textile case mentioned above provides a good example. When faced with competitive forces, firms invested in automation equipment without the ability to maximize returns due to a shortage of labor skills.

Table 2.2: Average Years of Schooling

	2000			2005*		
Country	*Both Sexes*	*Female*	*Male*	*Both Sexes*	*Female*	*Male*
Bangladesh	3.35	2.07	4.72	3.89	2.64	5.23
Brazil	4.18	4.18	4.22	4.59	4.61	4.59
Sri Lanka	7.32	6.81	7.75	7.74	7.34	8.11
China	4.84	4.02	5.89	5.35	4.55	6.36
India	3.30	2.17	4.40	3.63	2.48	4.75
Indonesia	4.40	3.80	5.14	4.93	4.36	5.66
Malaysia	5.26	4.69	5.86	5.92	5.38	6.51
Mexico	5.11	4.80	5.45	5.59	5.29	5.95
Pakistan	2.49	1.44	3.47	2.81	1.72	3.83
Peru	5.68	5.05	6.44	6.19	5.58	6.95
Philippines	6.80	6.76	6.92	7.25	7.25	7.32
Turkey	3.60	2.77	4.56	3.95	3.11	4.91

Source: Investment Climate Assessment, 2007

45. Labor skills, on their part, are necessary to effectively apply acquired knowledge and technology to the production process, and also are relevant for firm performance. The econometric findings indicate that: (i) the educational attainment of workers is positively associated with productivity; (ii) formal, larger firms and firms with foreign owners are more productive, and (iii) finance, innovation and labor skills are associated with larger market share firms—depth (not access) is the issue.

- Firm size matters because businesses that can exploit the economies of scale can generate jobs for others. In Pakistan 70 percent of firms are small according to the World Bank's 2007 *Investment Climate Assessment* , and many more are informal. The impediment to firm growth are huge in developing countries, but they seem particularly insurmountable in Pakistan, where almost 8 percent of all firms are large, compared to 54 percent in Sri Lanka, 52 percent in Indonesia, 47 percent in Thailand.

- Findings in several reports and studies highlight the important role of business startups and young businesses in job creation. Business startups contribute substantially to both gross and net job creation.[9] In Pakistan, the average age of firms, at 20 years, is one of the highest in South Asia, with the exception of Sri Lanka. This may be an indication of the high barriers to entry for young firms, with a large stagnating effect on a dynamic market, with low levels of competition and hence little incentives to innovate.

46. Challenges in achieving a more knowledge based economy are basic given the education and labor skill outcomes described above. In addition to the lack of skills at home, inadequate experiences to support innovation and a limited amount of risk capital is limiting Pakistan's ability to capture productivity gains emanating from innovative ways to do business. As a result, science and technology indicators join education outcomes in falling over the past decade and currently lag most other comparator countries. Based on the rapid advances in telecommunications offered by the deregulation program, Pakistan's ICT infrastructure will undoubtedly improve, but development of human and financial resources required for producing technology at home require aggressive attention.

[9] John Haltiwanger, Ron Jarmin, and Javier Miranda, "Who Creates Jobs? Small vs. Large vs. Young," in World Bank Conference on *Entrepreneurship and Growth*, Washington DC, November 20, 2009.

47. To help firms capture productivity gains from advances in business processes, improved techniques and increased technology content of production, policy makers need to focus on an agenda which include competitive markets at home, participation in the global economy and development of the human and financial resources required for innovation. In particular, Government's role in *knowledge development* is to focus on the basics, including (i) improved education outcomes and coverage, (ii) better telecommunications infrastructure, (iii) programs to subsidize connectivity for disadvantaged sectors of society, (iv) improving science and technology at home through support for basic R&D and (v) leveraging the Pakistan Diaspora to foster linkages between business, research institutions and academia.

48. *A globalization driven, outward-orientation is needed* in firm level business strategy to benefit from a broader set of markets, resources and technologies. However, to participate, domestic firms require an operating environment at home which rewards firm-level innovation, investment in skills, improved industrial organization and risk taking.

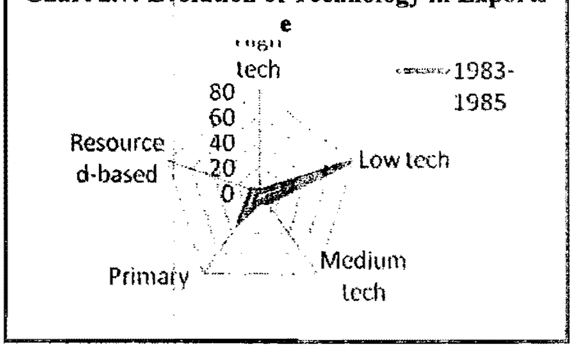
49. Pakistan needs to *offset perceived risks of foreign direct investors* stemming from perceptions regarding security, stability, and corruption with an aggressive program to attract foreign investors. Recognizing the lingering reputation risk from high profile disputes with private companies (such as the one with the sponsors of the large thermal power plant at the Hub near Karachi), passing legislation to recognize international arbitration would be a strong and a positive signal to foreign investors concerned unpredictable contract enforcement.

Table 2.3 Composition of Exports

	2000		*2007*		*CAGR*
	$,000,000	*%*	*$,000,000*	*%*	*(%)*
Textiles, apparel, leather, footwear	6,709,516	80.2	11,700,000	71.6	8.3
Agriculture ,meat and dairy, seafood	715,416	8.6	1,637,268	10.0	12.6
Extractive industries	218,568	2.6	1,027,355	6.3	24.7
Other industries	323,493	3.9	688,169	4.2	11.4
Iron, steel, and other metals	92,544	1.1	512,336	3.1	27.7
Chemicals, plastics, rubber	116,562	1.4	302,681	1.9	14.6
Food ,beverages, tobacco, wood ,paper	131,974	1.6	280,217	1.7	11.4
Machinery, electronics, transportation equipment	58,422	0.7	183,826	1.1	17.8

50. Pakistan's exports are dominated by labor-intensive light manufacturing—textiles, clothing, footwear and leather. This group's share in exports in 2007 was around 71.6 percent. (Table 2.3) However, the contribution of this sector is down considerably (from 80%) during this decade. All other sector grouping has experienced double-digit annual export growth, with extractive industries, metals, and machinery & electronics growing particularly strongly.

Chart 2.7: Evolution of Technology in Exports

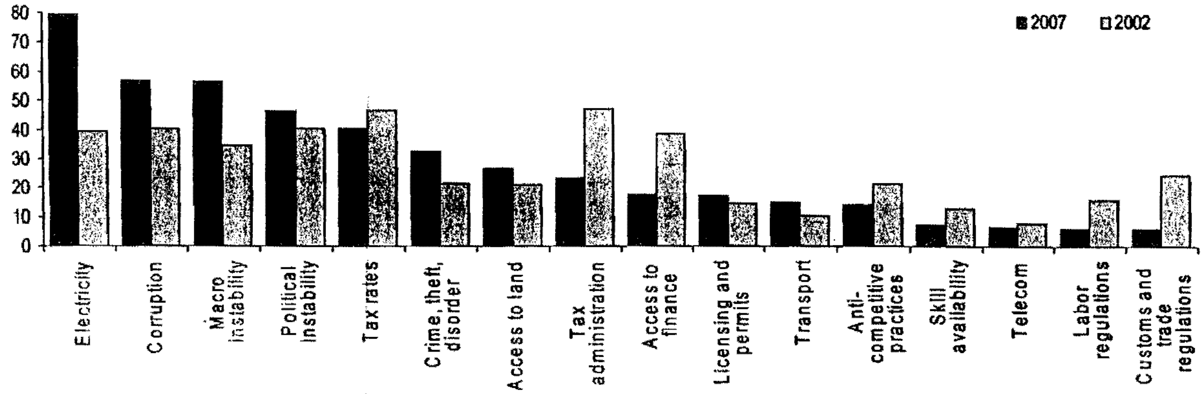


51. Parsed another way, the majority of the country's exports (around57.5percent) was classified as low-tech 25 years ago (1983-85). This share *increased* to 76.5percentin 2003-05.[10] High-tech exports constituted less than 1 percent in both periods (Chart 2.7). There has, however, been a proportionate shift

[10] World Bank calculations from Comtrade data: http://info.worldbank.org/etools/prmed/Default.aspx.

away from reliance on primary and resource based exports to medium-tech products. The share of medium-tech exports nearly doubled from 5.6 to10 percent between 1983-85 and 2003-05. Hi-tech exports are under 1 percent in both periods. This is extremely low for a country which has good educational and research institutions, and a large population. Vietnam went from 0.7 to 3.8 percent in the same period. India went from 2.8 to 6.2 percent.

Chart 2.8: Perceptions by Firms of Most Severe Investment Climate Constraints in 2002 and 2007



Source: World Bank, Investment Climate Assessment, 2007

2.4 Economic Governance of Markets is Key to Determining the State of the Firm

52. **The transformation of the economic role of the state from owner and operator regulator and facilitator, based on market outcomes, has not yet been completed - the outcome being to raise the incentive for informality among firms.**

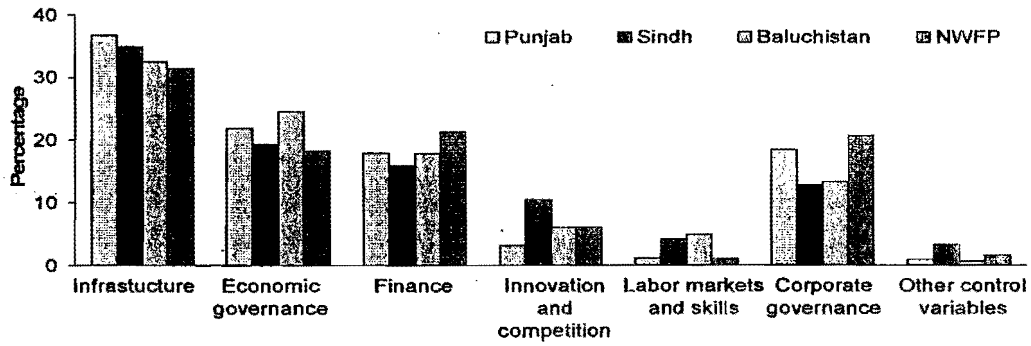
53. Pakistan has taken on the enormous challenge of fundamentally transforming the state's role from owner-operator to facilitator-regulator across most economic activities. Having gone from extensive nationalization of large industrial and financial firms in the 1970s, Pakistan began the process of privatization in the early 1990s. However, institution building is proving to be a long and difficult process for the executive, the legislature, the judiciary and among independent regulators.

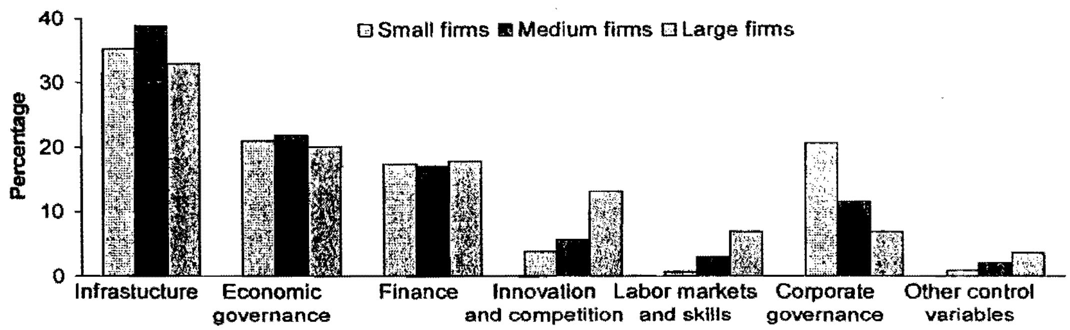
54. The political will has been, and may still be, strong for Government exit from ownership—particularly in services. At the same time, the privatization of state-owned finance, utilities and industrial enterprise has been being accompanied by an unprecedented opening of previously controlled markets in telecommunications, media and ICT. Accordingly, the Government is revising legal and regulatory frameworks, establishing independent regulatory oversight for utilities, financial markets, procurement and competition, strengthening the judiciary and building capacity in the public sector to carry out its retained responsibilities for regulation in labor, tax, and firm level governance issues.

55. While great progress has been made in some legal reforms and transaction based activities, there has been much less of an appetite for the institution building required to complete the transition to a market economy. These more important and more difficult "market governance" dimensions seek as the goal the same predicable, transparent and stable rules of the game for all firms, but achieving this is proving to be a long and difficult process—particularly in the case of independent administrative regulators, trade bodies and the judiciary. As result, the consistency, certainty, and predictability of the economic governance framework—including the laws and regulations, the adjudication mechanisms and their enforcement agencies—still falls short of minimal standards.

56. The resulting economic governance issues are highly pertinent in the determinants of the binding dimensions of Pakistan's investment climate. Among the investment climate constraints, identified in 2007, it is obvious that progress was made in areas of regulatory simplification and not in the more fundamental governance areas covering pervasive corruption, effectiveness of the judiciary, political capture of policy making, chronic macroeconomic instability and elusive law and order(Chart 2.8). In fact objective analysis confirms these perceptions by the firms. Across the country, and across firm size, the investment climate related drivers of productivity relate first to infrastructure then to economic and corporate governance. Even finance variables, when examined closely relate more to the use of the formal financial system and therefore represent an outcome of market governance (Charts 2.9 and 2.10).

Chart 2.9: Contribution of Investment Climate Variables to Average Productivity in Pakistan by Province and by Size of Firm



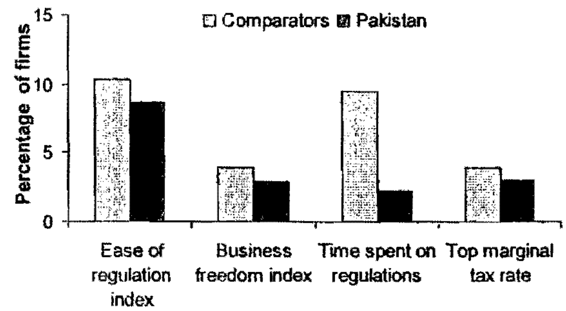


Source: Investment Climate Survey 2007.

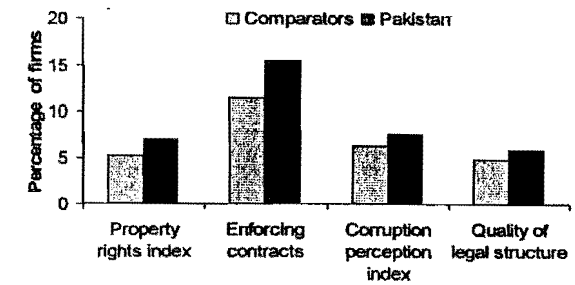
Chart 2.10: Business Climate Indicators—Regulatory and Institutional

De Jure (as perceived by professionals)

Regulatory Indicators

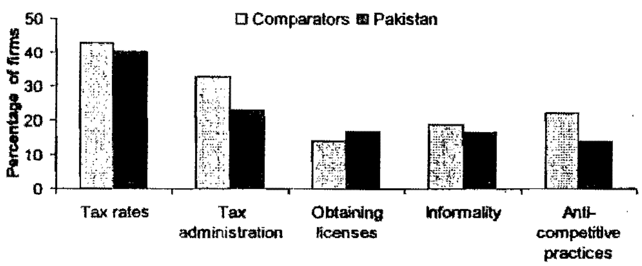


Deeper Governance Indicators

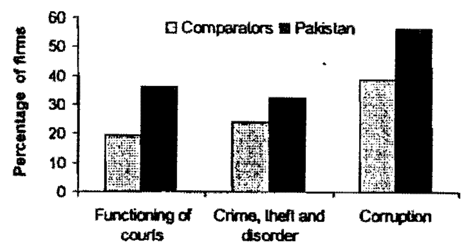


De Facto (as perceived by firms)

Regulatory Indicators



Deeper Governance Indicators



Source: Doing Business (Ease of Regulation, Enforcing Contracts), Investment Climate Surveys (Time spent on regulations), Heritage Foundation (Business Freedom Index, Property Rights Index) Frazier Institute (Top Tax Rate, Quality of Legal Structure), and Transparency International (Corruption Perception Index) .Investment Climate Survey 2007.

57. The result of the poor governance of the firm has been to establish and encourage a tradition of informality which manifests itself in three ways: (i) firms which are too small to be regulated—either by choice or not, (ii) firms which avoid formality even though the law requires so, and (iii) formal firms carrying out informal practices. All three abound and it is difficult to say where the opportunity costs of informality are the greatest. However, the investment climate survey provides insight into some of the cost of informality to the economy, and why the issue is a public policy issue.

58. Unlike the case of many countries, the Pakistan analysis shows that what dynamic processes which do occur, are taking place in the formal firms, and particularly in those firms with the largest market share. While the precise forces behind the observations are not at all apparent at first glance, a number of important observations were revealed, which motivates further analysis. A few of these are listed below as emerging policy outcomes:

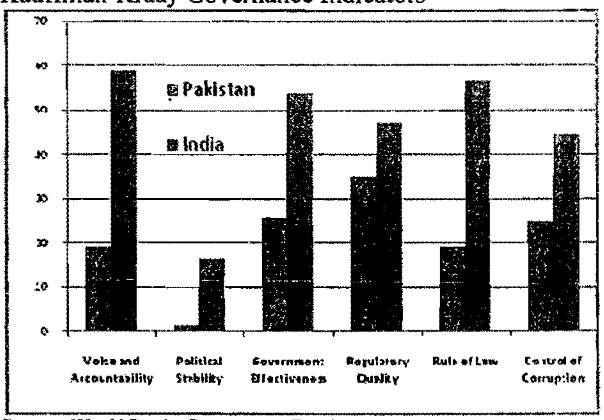
- Growth in firm size is stunted for some reason in Pakistan having to due to the same force which lead to informality
- Though the smaller, more informal firms do not demand skills, the firms where skills are important to the output, complain about not enough skills
- What little training, research and innovation takes place, does so in the larger market share firms due to the lack of facilities for formally engage in risk taking

- The investment climate improvements take place in the larger market share firms
- The more formal, larger firms, are better able to cope and mitigate adverse forces in the investment climate and are also ready to take advantage of upturns and improvements

59. In general, corruption indices reveal what firms already knew. Governance Indicators put Pakistan in the bottom 25th percentile for 4 out of 6 indicators The worst indicator for Pakistan is political stability, closely followed by indicators of voice and accountability (lowest 20th percentile), and control of corruption at (25 percent)and government effectiveness. The right-hand portion of Chart 9 shows that on average the higher the control of corruption the higher is the Growth Competitiveness Index. Pakistan's Competitiveness Index is bogged down by very poor control of corruption. The deterioration of governance indicators is a strong signal that sustained effort and continuous diligence is required to build institutions capable of carrying out regulatory oversight. In 2008, Pakistan ranked in the bottom 25 percent in four of six indicators with the other two—government effectiveness and regulatory quality -- faring somewhat better, falling in the bottom third.

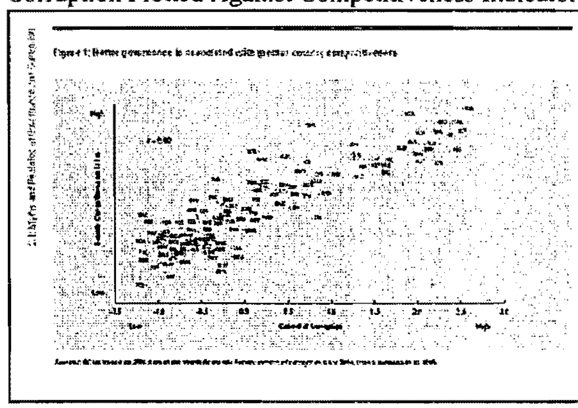
Chart 2.11: Governance Indicators and Their Relationship to Competitiveness

Kauffman-Kraay Governance Indicators



Source: World Bank, Governance Database

Corruption Plotted Against Competitiveness Indicators



Source: World Bank, Afghanistan Investment Climate Assessment

60. Regulatory quality is also very low, below the 35th percentile. In each indicator of governance, Pakistan's percentile rank is lower than India. Corruption imposes a tax on productivity and competitiveness. Though the quality of regulation is on the rise in Pakistan, the regulatory environment includes many antiquated laws enforced by autonomous and government institutions at federal, provincial and local levels. Increasingly, the openness of the economy, the rapid pace of globalization and the sophistication of firms operating in Pakistan are exposing inadequacies in the regulatory framework. As a result, enforcement brings arbitrary discretion on the part of government officials, causes high official and unofficial compliance costs on formal firms, and forces others to operate informally.[11]

61. Well functioning markets for land, labor and capital enable optimal resource allocation and maximize factor productivity growth (see Box 1). In 2002, nearly 38 percent of responding domestic firms reported that access to finance was more of a major concern than access to land and skilled labor—considered a major problem by 21 and 13 percent, respectively. Since then, Pakistani authorities have taken bold steps to improve the banking sector (see Box 2), and because of that perception has drastically changed. In the 2007 World Bank survey of firms, approximately 18 percent of respondents

[11] The 2010 *Doing Business* report estimates that firms in Pakistan spend on average 560 hours preparing, filing, and paying taxes, double the South Asian average of 284.5 hours.

cited access to finance as a major problem, the lowest in South Asia. At the federal level, therefore, the principal issues focus on labor markets.

Box 1: Land Markets in Pakistan

One of the most important areas of provincial oversight is the market for land as constitutionally, land is a matter to be governed by the provinces. Yet, access to land markets and the use of land as loan collateral is fraught with difficulties. Though indicators show time and cost dimensions of property registration processes in Pakistan to be around the global average and less than the regional average, these figures fail to capture the considerable uncertainty involved in obtaining, leveraging and developing land. A recent survey identified access to land and its development as the top administrative constraint facing businesses. The rapid rise in land prices throughout Pakistan which took place during the earlier part of the decade, made the situation more constrained as hording was encouraged, underreporting for tax purposes rose, and the new cadre of players with speculative motives entered.

Land market issues are complex, involving a multitude of public agencies at the federal, provincial and state level which own, manage tax and regulate commercial land. In addition, most land is held by the public sector. For transactions which do occur in the private sector, the inherent weaknesses of the system of registering prevent certainty of property rights. These include the multiple agencies involved in land registration, complex and opaque records keeping and sale transactions taking place without valid conveyance documents.

These legal inadequacies and procedural deficiencies prevent indisputable land title and is one of the primary causes of the case backlog in the courts. Moreover, without clear property rights, lenders will not consider land as loan collateral without an original sale deed in the bank's possession. The resulting "dead capital" and lack of site access, hinders leveraged investment, firm level entry and efficient resource allocation.

The World Bank sponsored Punjab Land Record Management Information System project has initiated the digitization of land records in the province. However, the implementation has been very slow due to resistance of and pressure from various vested interests involved.

62. Deficient labor and land markets continue to be viewed as major constraints in Pakistan's investment climate. Pakistan's labor market efficiency ranks low by international standards, with statutory requirements causing "hiring inflexibility". Antiquated and restrictive regulations governing maximum hours, overtime conditions, length of temporary contracts, remuneration rates, and welfare contributions[12] impact bilateral market relationships and cause real wages to diverge from productivity levels, preventing efficient resource allocation and harming competitiveness. The discretionary approach of provincial inspectors, labor tribunals and wage authorities in enforcing requirements and adjudicating disputes adds considerable uncertainty to labor market outcomes. The result is that many, if not most, firms circumvent labor laws to some degree, most often by using contracted or piece rate labor on a very short term basis and often hired through intermediaries.

63. Such practices while avoiding costs of complying with labor regulation suppress labor productivity and sustain Pakistan's concentration on low value-added activities. The informal nature of the labor market stifles incentives and retards investment in workers skills, both by the employer and the worker himself. Pakistan's human development, basic education and workers skills indicators show the country along with Bangladesh, consistently at the lower end of the rankings (Table 2). Worse, Pakistan's normalized scores on Human Development Index, literacy and enrollment rates (Secondary and Tertiary) fell between 1995 and 2008, indicating that gains made in basic education were less than achieved in other developing countries of the world. Nevertheless, symptomatic of business's short

[12] For example, currently labor legislation limits temporary contracts, prescribes 48 working and 12 weekly overtime hours, double wage for overtimes, a month bonus per year, 40 days of paid leave, requires 5 different "labor welfare" taxes and enables various types of inspectors to harass establishments on a regular basis.

term view, a small proportion of firms surveyed in 2007 consider labor regulation (6 percent) to be a major deficiency in the investment climate.[13]

Box 2: Financial Markets in Pakistan

The past 10 years witnessed considerable deregulation, liberalization and privatization in the financial sector. Starting with three quarters of banking assets controlled by public sector banks in the late 1990s, almost 80 percent of assets are now under private control, with the bulk of the remaining banking asses under Government control of the largest commercial bank—the National Bank of Pakistan

As a result, the principal challenges ahead for financial deepening to support infrastructure, housing, projects, and other longer term finance is the developments of capital markets. The principal challenges facing the sector are:

- Reforms needed to strengthen the regulations and the regulator governing markets,
- Reforms needed for National Savings Scheme (NSS) to rationalize interest rates,
- Need to rationalize the tax structure and foster greater disclosure and transparency.
- Presence of dominant public players such as State Life Insurance Company (SLIC) (85%)
- Small life insurance and pension sectors dominated by public institutions
- State Life Insurance Company, Employees Old-Age Benefits Institution and Social Security Insurance (SSI) restricted to investments in public assets & taxed higher than corporate firms
- Stock market capitalization is 24% GDP compared with 50% and 130% in India and Malaysia
- Enforcement of financial contracts is untested and faces problems at the execution level (see Chart 2.10)
- Credit bureaus are at a nascent stage of development
- Development of secondary instruments and markets to increase the flow of capital from the banking sector are missing

2.5 Infrastructure Deficiencies are Acute, Especially in Power and Transport

64. **Infrastructure deficiencies are acutely felt throughout Pakistan, in power certainly, but in other key areas as well. Many areas remain unconnected to a reliable electrical grid, safe water supply, sanitary sewerage disposal, and quality roads and transportation networks.**

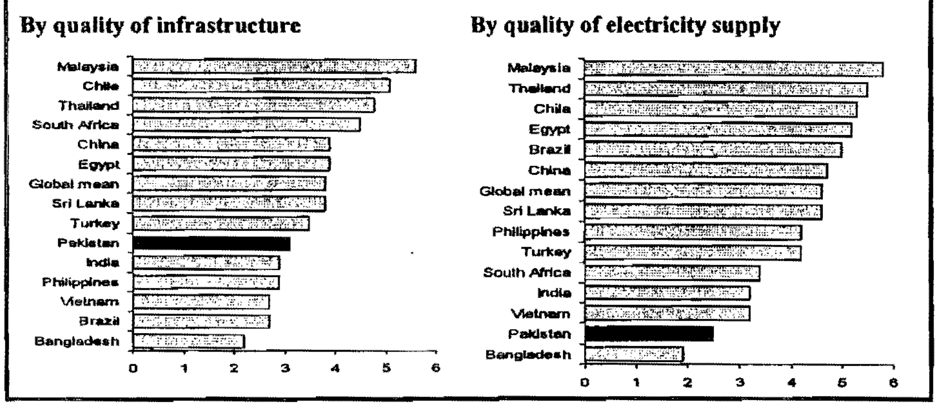
65. The size and quality of infrastructure services is a well know critical ingredient to economic growth, poverty reduction and an enhanced quality of life. For growth, infrastructure investment drives long-term economic output more than other kinds of physical investments through diverse and specific channels including the following four noteworthy: (i) as an input into the production process it makes private investment possible, (ii) it giving firms' access to serves, particularly in infrastructure networks, such as electricity, telecommunications or roads (iii) it enhances investment returns, labor productivity,

[13] Since the 2002 survey, the largest and most export oriented sectors, textile and clothing have made almost $3billion investments in upgraded equipment in anticipation of increased competition following the elimination of the textile quotas in 2005 with a corresponding rise, in the demand for labor skills at least in one export industry.

economies of scale, and human capital development and (iv) reduces the impact of cyclical disruptions in business.

66. Despite the well-known linkages between infrastructure investment and economic development[14], infrastructure indicators are still closer to Sub-Saharan Africa's than to East Asia and the Pacific's. In additions to well publicized and critical electricity deficiencies, bottlenecks are encountered in all modes of transport infrastructure services from the poor condition of roads to a lack of intraregional connectivity between the national road networks or unreliable and overall costly road transport services to an unrealized potential for rail and inland water freight transport which has led to the excessive use of road transport to inadequate road and rail connectivity of ports with hinterlands, among others. In all, the international perception of Pakistan's infrastructure is below average, with even worse perception of the quality of electricity. (Chart 2.12).

Chart 2.12: International Perceptions of the Quality of Infrastructure



Source: Global Competitiveness Index, World Economic Forum.

67. The infrastructure problem in Pakistan is dire due to the post crises and disaster needs, but also due to years of neglect and underfunding. High growth periods brought about geographic change which affected the demand for and supply of the country's infrastructure. Pakistan must invest in infrastructure (roads, rails, power, telecommunications, water supply, and sanitation) to ensure basic service delivery and enhance the quality of life of its growing population, but more as a longer term binding constraint on growth. Without more investment demographic, environmental, health, and safety pressures will continue to mount, fostering a vicious cycle to break of limited funds due to infrastructure deficiencies in turn further stunting infrastructure development.

68. As a prerequisite, basic knowledge on infrastructure investments in Pakistan is relatively limited, rendering difficult any assessment of future infrastructure needs. While infrastructure is known to be a key ingredient for economic growth and poverty reduction, there are varying notions regarding how much investment in infrastructure is adequate and how far Pakistan is from targets. Disparities in measurements and among countries and across provinces in terms of access, quality, investment levels, hinder the ability to make pragmatic decisions other country experiences. Since policy making normally relies heavily on existing data, the data gap means that work must take place to first compile all available data and commission data collection in order to proceed.

[14] In particular, cross country studies show that investments in electricity and telecommunication produce around 0.25 percent increase in long-term economic growth rates for each 10 percent increase of service penetration.

69. Therefore, as a first step, a comprehensive analysis that identifies and analyzes the infrastructure gaps for the country is needed. Identifying and addressing the infrastructure gap, outlining a menu of policy recommendation options for current infrastructure investments and providing a baseline for monitoring progress are crucial elements of the program.

70. The specific questions to be answered cover the following areas: (i) the basic status of infrastructure sectors including the geographical disparities on access, (ii) trends, baseline levels and achievable targets and comparators for infrastructure investment, including private sector participation on infrastructure service delivery, (iii) bottlenecks for economic growth and poverty alleviation inhibiting infrastructure expansion and the needed and (iv) provision modalities which appropriate for each sector. Investigation into four specific dimensions of each sector is needed:

- *Diagnosis of coverage, quality, and efficiency* of infrastructure services and investments involving existing data on access rates and quality of the services as compared to a review of the historic levels

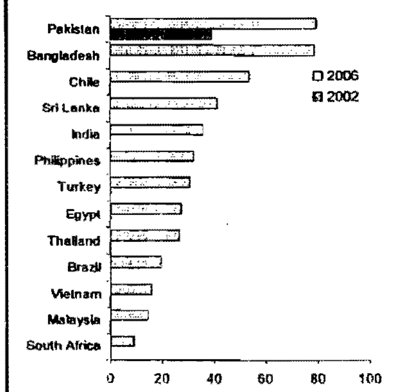
- An *assessment of long-term targets* and goals for physical infrastructure taking into account the investment needs and investment goal, for different sectors

- *Policy reform agenda* including actions for enhancing the quality of public investment in the sector for example, including performance-based contracting, PPPs, and improved service delivery.

- *Bridging the financial gap*, through public funding by adequately apportioning the burden, efficiency gains through public spending within a responsible macro framework, increased user fees within norms of affordability and borrowing from future users or taxpayers where appropriate.

71. The priority of course is power, as more and 85 percent of firms thought electricity supply was their number one issue in the country's investment climate. (Chart 2.13). This was the case in 2007 and the situation has only worsened since then. The problems facing the power sector are multi-dimensional. Despite 80 percent increase in tariffs since February 2008, there has been no commensurate improvement in quality of supply or service and the sector's financial deficit has not been significantly reduced.

Chart 2.13: Firms Reporting Electricity as a Serious Obstacle



Source: Investment Climate Surveys.

72. The Government understands that it needs to address four priority, inter-related issues: (i) the investment deficit in power generation and affordable fuel mix, (ii) the financial deficit in the sector, (iii) the service quality and (iv) the sector's governance issues. In terms of generation, the shortfall has reached up to one third of peak demand in recent years, resulting from lack of investment in all segments, generation, transmission and distribution. In addition, the trend for fuel mix has been adverse since gas is being diverted to other uses and captive power generation based on fuel oil is up to three times as high as for gas. Hydro power as the share of hydro in the share to total generation has declined from 70 percent in the 1980s, to less than 35 percent now. And, as mentioned, tariffs still do not cover costs despite the large increases over the past 2 to 3 years leading to a buildup of circular debt once again. Adding to the financial deficit is the fact there are high levels of losses, significant theft and low management efficiency at the distribution level with distribution companies collecting only 70 percent

of receivables in some cases. All this is possible due to the sector's governance where there are no accountability for spurring or monitoring reform, tariff determination by NEPRA does not get notified by the Government and there is little in the way of public information on the sector.

73. In terms of the way forward, the Government has been pursuing many avenues, none with any significant success. For example, in addition to removing untargeted power subsidies – itself a significant but necessary move - Pepco, the body entrusted with managing the transition of Wapda from a bureaucratic structure to a corporate, viable and productive entity, has been wound up in favor of an independent company set-up. The Government also decided to sell 5-10 percent of the shares in power distribution companies to the general public and manual meter readers were dismissed. Plans are being considered to make all distribution, generation and transmission companies fully independent to take commercial decisions based on a change in management and a sale of their share through the sock markets, with the Faisalabad and Islamabad Electric Supply Companies being the first to be taken to the stock market for initial public offerings. In the end, the goal is for generation and distribution to be commercially viable in order to attract the needed investment. In addition, it would be worthwhile considering the regulatory framework for trading electricity, including the removal or raising of ceilings on Provinces for doing this sort of business.

2.6 Empower Sub-National Governments to Improve the Business Environment

74. A key part of the Government's new paradigm for economic development is the rebalancing of economic, social and political systems to bring government closer to the people.

75. In this regard, two important actions were taken recently. The first was the award made the 7th National Finance Commission (NFC) in late 2009, and represents a major step in the direction toward the empowerment of decentralized decision making. The other major event was the signing into law, the 18th amendment to the constitution by President Asif Ali Zadari in April 2010. In particular, decentralization of policy making as well as the implementation of the policies is some of the important outcomes of the 18th amendment.

76. While the press coverage of the 18th amendment concerned the division of power between the president and the prime minister, the more unnoticed aspect was the significant increase in the powers of the federated provinces, as was the intention of the original constitution. Now with the provinces empowered, the burden falls on both the federal government to help the provinces set the agenda and the provincial governments to implement it to the degree they can, while convincing the district level to do its share as well.

77. While the 7th National Finance Commission award and the 18th amendment to the constitution have taken major steps in moving Pakistan forward toward a federal system, test of the efficiency will come once the envisaged system begins to take shape. The test will come in terms of pricing service for which the provinces will have the responsibility with the abolition of the concurrent list.

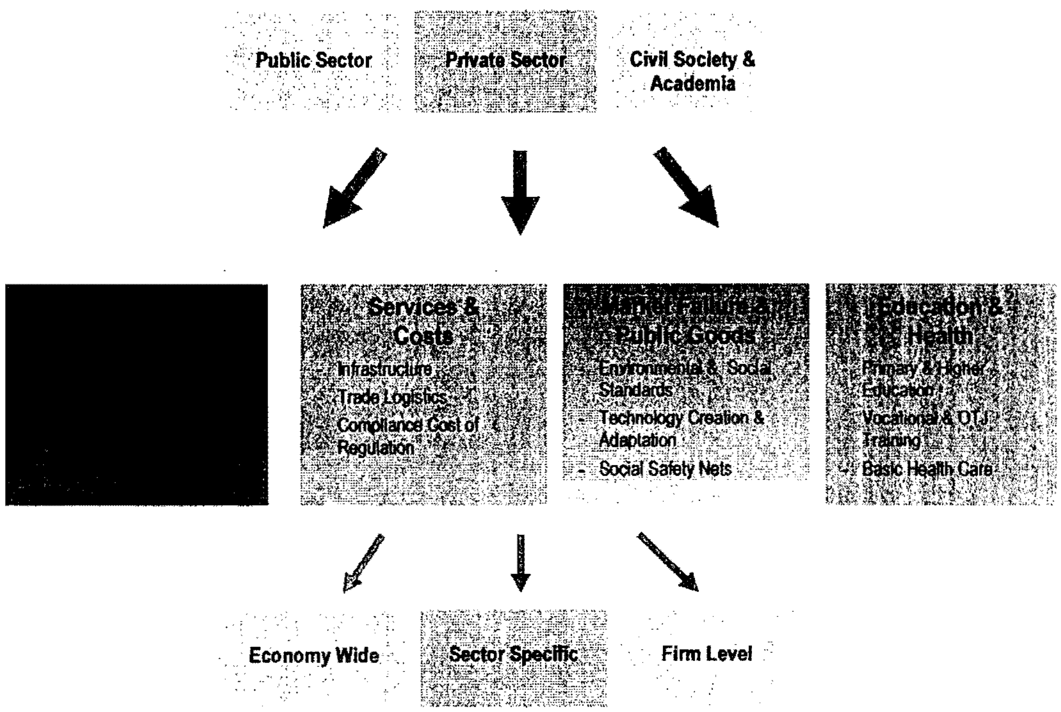
78. In addition there are a number of areas which have already been identified as within the provincial and local domain that require attention – the chief one being land market development. There is also a range of regulatory functions which take place at the subnational level, including implementation of many aspects of the labor code, the task of governing property registration, business registration, and construction permits.

79. In addition, the roll out of national reforms can have a differing impact on the local business depending on how the reform is implemented. For example, reforms to start a business, improve

construction permits and trade logistics have been felt differently in different provinces. This becomes quite obvious when looking at differences from a city by city comparison of similar processes, such as registering a business.

3. A General Framework for Competitiveness Analysis

Chart 3.1: A Conceptual Framework for Organizing Competitiveness Analysis



3.1 Theoretical Underpinnings

80. Studies on competitiveness have made it clear that the determinants of competitiveness are many and complex. The arguments for investment in physical capital and infrastructure have been long present. Neoclassical economists have emphasized that getting the macro fundamentals right so that resources naturally flow into the right sectors, and within those sectors, the right firms. Further, economists looked for other issues: human and social capital, hard and soft infrastructure, technological progress and innovation, business enabling environment, firm sophistication and demand conditions, product and market diversification, etc. There is now a general consensus among academics and practitioners that many of these arguments are not mutually exclusive but jointly supportive.

81. Competitiveness is a proxy of the productivity of an economy and depends on the value of a nation's products and services, measured by the prices they can command in international markets as well as the efficiency with which they can be produced. Productivity is subject to the basic minimum conditionality or the macro fundamentals of stability, sound markets and property rights regimes, effective and constructive regulation, good human resources, etc. But productivity and operational efficiency can often be increased through inter-firm and inter-industry linkages, spillovers, and synergies which require efficient access to public goods, better coordination and diffusion of best practices.

3.2 Good Practice Export Competitiveness Strategy

82. A good practice export competitiveness initiative underscores several of the above issues and draws on the myriad of policy tools and approaches employed around the world on trade, macroeconomic policy, customs and logistics, and direct enterprise support. It emphasizes the importance of global integration in achieving competitiveness—be it through new technologies or market-integrating economic policies. The policy agenda that typically emerges from a competitiveness analysis relates to three or four core areas.

- *Macro fundamentals* (e.g., removal of economic biases having to do with tariff and non-tariff barriers, real exchange rate misalignment, distortive tax regime, overall fiscal health of the economy, product and factor market conditions, property right protection, effective regulation, ease of firm entry and exit).

- Services and costs (e.g., infrastructure, customs and trade logistics, the costs of doing business including compliance cost of regulation).

- Proactive measures that try to correct market failures and develop public goods (e.g., technology creation and adaptation, product standards and certifications, export promotion, environmental and social standards, social safety nets).

- Education & health (e.g., primary, secondary, higher education, vocational, on-the-job, basic health).

3.3 Drilling Into the Framework for Specific Policy Outcomes

83. Macro fundamentals are as necessary now as before: No country ever achieved sustainable growth without having macroeconomic stability, removing protectionist measures, avoiding exchange rate biases and opening up markets. Although it is sometimes argued that the first generation reforms are complete in several countries, it remains a key challenge for policy makers to ensure that anti-trade biases are eradicated so that domestic resources can be channeled to their most productive activities.

- *Anti-trade biases can take various forms.* High tariff rates and quantitative restrictions are conventional trade distorting policies but presence of import-export monopolies and various administrative restraints often make the situation especially prone to rent-seeking. Trading systems are further distorted and segmented by the existence of preferential tariff rates and market access that are reciprocal to a subset of partner countries.

- *Real exchange rate misalignment* can be detrimental to export growth, and the current devaluation of dollars as well as the inflationary pressures is likely to affect several countries. The exceptional export growth of East Asian countries in the early 1990s was closely related to the ability of these countries to avoid real exchange rate overvaluation while minimizing exchange rate volatility.

- *Business taxes on investment also affect export orientation* through its impact on investment decisions. Marginal effective tax rate (METR) on capital is a summary measure of the effective rate of tax imposed on the rate of return generated. The tax regime can impose biases against exporters, labor-intensive investments and against the small and medium enterprises (SMEs). It is important that countries continue to investigate ways to bring down the tax-related biases which may stand in their way to export competitiveness.

- *Deregulation of market* is essential for the forces of competition to play. Any barriers in entry and exit of industries are likely to result in compromise in reaching high rates of economic efficiency.

- *Factor markets are instrumental in achieving competitiveness*: Constraints on factor markets often bar economies from achieving full competitive potentials. For example, poor access to credit, lack of skilled labor, biased land policies and lack of transparency in land management are things that come up as constraints on the way industries can attain high degrees of efficiency. These lead to excessive informality, less than minimum efficient scale and cumbersome enforcement of regulations.

84. Reduced costs of infrastructure and related services contribute to competitiveness: In order to effectively compete in the global markets, firms should have access to efficiently-produced critical backbone services and inputs. Countries where firms have to pay more than their competitors for energy, telecommunications, transport and logistics, business registration and operations, and business services will find it hard to compete in the global markets. If bureaucratic hurdles, lack of transparency and corruption are rampant, enterprises will find hard to compete even if they have high productivity within factory floors. As environmental agenda is gaining momentum and firms' track records on carbon footprints often add to not only their corporate social responsibility but also overall effectiveness of their brands and products.

85. Supply side measures for enhancing competitiveness are critical. It is possible that industries need support to cover one-time expense of discovery of new products and gathering information on foreign markets, upgrading product quality and standards requirements, changing packaging, and establishing market channels. All these tasks require coordination between public institutions and private stakeholders to work at multiple levels. This, in turn, will require each side to be aware of the strengths and limitations of the other, and be ready to step in when necessary and feasible. Such complementarities become especially important as local markets integrate with global, and export competitiveness becomes more and more the function of broader technological and organizational efficiency than individual firm-specific characteristics.

3.4 A Word on Implementation

86. Despite the codification and structure—a competitiveness strategy should be dynamic not static. Although the macroeconomic fundamentals and human resources remain key to competitiveness, the new paradigm- of competitiveness is very much about getting the microeconomic business environment right. It is important to think broadly, consisting public or semi-public institutions covering innovation and R&D, standards and certification, skills enhancement, export promotion, etc. Such cannot be responsibilities of the private sectors alone nor that of the public sectors alone. In essence, several of these are not industry-specific issues either, but issues that affect the functioning of various industrial clusters and the way each is connected with the other. The challenge of each competitiveness program will be in applying the broad pro forma framework on trade competitiveness into a meaningful policy dialogue and strategic initiative that works towards removing specific binding constraints in Pakistan. To maximize the effectiveness of interventions, authorities have to quickly spot deficiencies or changing conditions and make course corrections.

4. THE GOVERNMENT RESPONSE: A PRIVATE SECTOR DEVELOPMENT TASK FORCE

4.1 Government Policy Framework and the PSD Task Force

87. The Poverty Reduction Strategy Paper (PRSP-II), 2009 was reviewed by the World Bank and IMF Boards on in January 2010, and was considered to maintain a strong development framework. Since then the Government has developed its thematic approach to economic reform around a nine point agenda described in Box 3 below.

Box 3: Pakistan's Poverty Reduction and Growth Strategy The Nine Point Agenda

The Ministry of Finance's Nine point agenda covers, (i) macroeconomic stability and real sector growth (ii) protecting the poor and vulnerable (iii) productivity in agriculture, (iv) competitiveness in industry, (v) capital and finance for development, (vi) public-private-partnership for infrastructure, (vii) integrated energy development, (viii) human capital development and (ix) governance for justice and fairness .
The PSD Task Force's *Six Areas of Focus* fall within the Agenda, covering sub-sections of the nine points in each of its six areas—as noted by the parenthetical references below:

- ***Macroeconomic stability*** is at the top of all lists., but entails more than just price stability and financing deficits (i)
- ***Trade Competitiveness*** in industry, agriculture and modern services to produce goods with higher value and technology content (iii), (iv)
- ***Improved Governance*** and increased reliance on rule of law (ix) for the firm
- ***Infrastructure*** with private sector and particularly energy development (vi),(vii)
- ***Skills and Technological underpinning*** of enterprises and work force—human capital development and technology adaptation(viii)
- ***Social Protection*** particularly trade related adjustment programs (ii)

4.2 The Impact of the Crises on the Mission

88. Against this background the PSD Mission was meant to prepare a national strategy for the development of the private sector in the country that will help Government define its strategic thrust to address the constraints which restrict growth and competitiveness of the private sector and devise policies to utilize its untapped potential." The condition for private sector led growth is getting more difficult: Private Sector Credit was Rs 408 billion in FY08 but declined to Rs 19 billion in FY09. Does it imply any adjustment to the Initial Mission other than the sunset lifeline? Supplemental Concerns: "Mitigating the effects of the "perfect storm" of adverse national—economic, social & political developments—and international crisis."

89. Slower economic activity has reduced domestic and external demand as economic activity has slowed. Interest rates in real terms are low, but in nominal terms, though falling remains high due to strong inflationary expectations. Large government borrowing to finance budget and increased credit disbursements for commodity operations has crowded out credit supply, while demand by the distressed public sector enterprises has risen rapidly. Risk-aversion of banks due to rising non-performing loans (NPLs) has affected the supply of credit (by end-June 2009, NPLs rising but not yet as a share of assets). In recent months, NPLs have surged tremendously—the highest in years.

90. The question for policy makers is how to take advantage of 2008-09 Crises. In some cases such a crises provides a rare opportunity to take concerted actions, since resources become available, priorities are clear, rigid rules become pliable, the state redefines its priorities and leaders pay attention and are accessible. Often the use of an IMF Program provides a backing for difficult but critical reform steps. Examples other recent economic crises range from India in 1991 to Russia and Brazil 1998. The crises in East Asia 1997, show that from crises there is an opportunity for reform.

4.3 The Reform Progress So Far

91. Progress with macroeconomic stability & structural reforms has been mixed. In key areas performance has been lackluster & macroeconomic risks remain. On the positive side,

- Automatic fuel price adjustment mechanism was re-introduced in early 2009 and has been adjusting domestic fuel prices monthly in line with import parity. This was in past due to conditions of the IMF program as well as the requirements embedded in the World Bank and ADB credits.
- The pilot of the Benazir Income Support Program—with a new targeting instrument, the poverty scorecard—has been completed, and its full roll-out is expected to start soon.
- The government has also taken steps to strengthen its debt management.
- The Competition Commission has been strengthened with the re-promulgation of its law and the strong support for its active operations.
- New initiatives in Corporate Rehabilitation are being formulated.
- National Finance Commission has concluded its award with greater financial authority to provinces.
- Passage of the 18th Amendment to the constitution has devolved unprecedented economic policymaking powers to the provinces.

92. On the negative side,

- Progress with revenue reforms in recent months has been weak, due to resistance from vested interests and the tax revenues as a share of GDP have declined.
- Reforms to strengthen financial sustainability of the electricity sector have stalled.
- Steps to be taken to establish a Treasury Single Account (TSA) in early 2009 have made limited progress towards completing the transition.
- The policy of direct subsidy to distinct groups based on perceived strategic interest to the economy continues on a ad-hoc basis (recent pronouncements on subsidies).

93. Yet, the Government continues to follow an ad hoc approach toward reforming the economy – sometimes taking one step forward, followed by taking two steps back. This approach is described below in Box 4 by listing some subsidies that have been continued and those that have been added.

Box 4: The Life Line for FY2009-2010 Continues Today

- Subsidies are being provided through the banking system for SMEs (clusters, etc.)
- Government's inaction on power tariffs means electricity subsidies will remain high
- Unfunded expenditure is increasing significantly at the provincial level (income support, wheat, flour)
- Liberal subsidies are being given at federal and provincial level for agricultural tractors and fertilizers
- There is a federal scheme for loans to start small business which will impact on fiscal accounts.
- Textile Sector subsidies are being continued
- SROs are the worst offenders
- The political economy of removing subsidies – —even ones with a phased out directive has retarded progress

4.4 Initial Findings and Communications to Higher Authorities

94. The Task force considered a better appreciation of the ***external economic environment*** particularly economic relations with the countries of the region. Also, it has recommended implementation mechanism to monitor and track actions and accountabilities. Reforms involving various levels of government need means for coordination (e.g. Council for Common Interest).

95. ***For the short run,*** security poses most important challenge to growth in the short run and economic discipline *is* ***needed*** to (i) narrow the savings-investment gap, (ii) maintain a realistic exchange rate, and (iii) continue with non-distortionary wealth distribution policies

96. ***For the medium run,*** outcomes expected from stabilization and efficiency Improvements are:

- Increased Tax to GDP ratio
- Long Run Single Digit Inflation
- Increased Investment to GDP ratio
- Lower ICOR
- Orderly Exit for non-performing companies
- Process of Privatization by use of domestic capital markets
- Strengthened Institutions of Market Governance (SECP, CCP, SBP,PPRA)
- More Targeted and Better Subsidies for the Poor

5. TASK FORCE RECOMMENDATIONS

97. We present recommendations of the Task Force on Private Sector Development under six headings. Under each heading we cover a number of distinct areas. All these were discussed at some length in the meeting of the Task Force in February of this year and were the subject of the presentation by the Chairman of the Task Force to the prime minister after the conclusion of the meeting. We have organized the recommendations into three broad categories: those that need to be implemented urgently, perhaps in the context of the forthcoming budget but certainly within one year; those that need to be implemented in the next three years, perhaps in the context of the three year medium-term financial framework or the three year rolling trade strategy; and those that should be considered for the long term, say in the context of the drafting of the next five year development plan. We believe that with the passage of the 18th amendment to the constitution, policymaking in several important areas will move to the provinces. In preparing the implementation plan for discussion at one of the future meetings of the Task Force, the government should indicate how the state at different levels will coordinate its activities to bring about the needed structural change.

98. It has been recognized for a long time that the Pakistani economy suffers from a number of structural problems. Some of these were addressed by the Task Force in considerable detail. There was particular focus on four issues: persistence of low domestic savings rates including low savings by the public sector; neglect of human development that had resulted in serious skill shortages; neglect of international trade as a driver of growth; and deterioration in the quality of governance. In the first part of our recommendations—part 5.1—we are concerned with the first issue—the paucity of resources available to the economy for investment and to the government for providing public services. We recommend a number of actions, some to be taken immediately and some to be carried over a longer period of time.

5.1 Macroeconomic Stability, Financial Sector Deepening & Resource Generation

99. We attach great importance to bringing about macroeconomic stability to improve the level of public savings which would result in increasing the tax-to-GDP ratio which has declined to below 10 per cent in recent years. It is likely to fall below 9 percent in 2009-10. There is the need to reverse this trend and to build the capacity of the government to invest in public goods. The government can improve the quality of human resource available to the economy and also improve physical infrastructure if it has reasonable amount of resources available to it.

100. ***Strengthening the foundation for fiscal policy*** While attempting to increase the tax-to- GDP ratio, the government should also lower the rate of corporate tax if the Pakistani firm is to become more competitive in the global market place. Without increasing the tax base and without making the sources of income currently exempted from taxation or being subject to tax, any downward adjustments in corporate rates will result in the decline of government revenues. Rationalization of the tax base must therefore go hand in hand with increasing the tax-to-GDP ratio. In addition, rationalization must also include a thorough review of the amount and nature of subsidies currently given to the operators in the various sectors of the economy. The government must pay attention to the following points:

- It should adopt and announce in the budget of 2010-11 a five year target for increasing tax to GDP ratio from the current 9.5 per cent to 17 per cent, increasing by 1.5 percentage points a year.

- The National Finance Commission award of 2009 should be revised to increase income tax on agriculture to reach 10 per cent over a five year period.

- There should be immediate conversion of the general states tax into a value added tax, the VAT. The first step towards this should be taken in the 2010-2011 Budget. The coverage should be broad including application to those sectors that were not included in the General Sales Tax (GST).

- Corporate rates for all firms should be lowered starting in 2011-12 tax year. The amount of relief should be less than the increase in government revenues as a result of the broadening of the tax base and conversion of the GST to VAT.

- The government should produce a full inventory of stock of fiscal and financial subsidies with a view to rationalizing the package of incentives it has provided over time to various operators in the economy. The rationalization should be done on the basis of five principles: producing a level playing field among different operators, compensating for market failure, provision of public goods, identification of some winners to increase the country's share in international markets, and provision of temporary safety nets.

101. ***Deepening of the capital markets and strengthening of the banking sector*** The government's financial sector reforms have stalled since the drive to privatize the nationalized banks was launched in the early 1990s. While the weight of the public sector banking system has declined, the government continues to mobilize the resources it needs from the banking sector. Also, the availability of cheap credit in the early 2000s led to some reckless lending by the banking sector in particular for consumption. There are some worrying signs including an increase in the NPLs. Accordingly, the government needs to undertake a number of steps including the following:

- Grant greater autonomy to the State Bank of Pakistan and encourage it to further strengthen its regulatory and supervisory functions.

- Introduce competition in the insurance sector by privatizing the State Life Insurance Company (SLIC), and encourage the entry of corporate firms

- An effort should be made to design capital market reform through the formulation of a strategy and an action program for the development of private insurance industry—a part of the financial sector that can play an important role in increasing domestic savings.

- Develop a regulatory framework for encouraging the growth of the private pension fund industry.

- Encourage larger roles for private equity and venture capital funds by introducing appropriate regulatory mechanisms.

- Encourage the development of secondary markets in housing and consumer finance.

- The government should continue to increase its participation in the bond markets and provide guidance to the provinces and large credit-worthy cities to move in that direction as well.

5.2 Develop an Export-Oriented Approach to Economic Revival and Sustained Development

102. Pakistan kept company with other South Asian economies in pursuing an import substitution strategy of growth in the 1947-91 period. However, while Bangladesh and India have moved towards developing exports to provide dynamism to their economies, no similar effort was made by Pakistan. Pakistan's share in international trade has declined over the years. This happened during the time when the rate of growth in international trade was outstripping the rate of increase in international output by a wide margin. After the Great Recession of 2008-09 international trade is once again emerging as the driver of growth. According to a recently released report by the WTO, world trade is projected to increase by 9.5 per cent in 2010, twice the rate of growth expected in globe GDP. But large emerging economies will have higher rates of growth in trade than today's industrial countries, 11 percent as against 7.5 per cent.

103. Pakistan has continued to rely on foreign capital flows to finance imports. This has meant the government has had to deal with balance of payments crises when foreign flows declined and the country could not pay for imports. We believe that it is important for the country to move towards an export oriented strategy that will require a number of changes in the direction of public policy. In an attempt to fins new markets for exports Pakistan has concluded a number of free trade agreements with the countries in the neighborhood. The most important of these is the FTA with China. Among the recommendations we make the following have particular importance:

- A trade policy review needs to be carried out over the next one year in order to analyze the impact of tariff, tax and exchange rate on exports.
- Undertake an exercise to map the costs and benefits of various subsidies being provided for export promotion
- The government should also review the performance of the FTAs that are in place with a view to gauging their impact (i) on domestic industry and services, (ii) whether they resulted in trade diversion or trade creation, and what are the (iii) domestic implications of these agreements.
- Devise an effective strategy for development of regional trade
- Rewrite the three year strategic trade policy by focusing it on the provision of public goods for the development of exports rather than relying on subsidies to the industries and services regarded as having a high potential in international trade.
- Focus on the development of export supply chains using the work being done in the context of the National Trade Corridor Improvement Project, the NTCIP.

5.3 Improving the Business Environment for Developing the Pakistani Firm

104. ***Developing the Labor Markets*** Pakistan undertook to thoroughly reform the labor market in the early 1970s when the first PPP government took office and sought to use the labor policy as an income distributive mechanism. Since then the size of the work force has increased and the demands of the market have changed. Labor laws are being administered not so much to provide worker protection, there is a great deal of rent seeking occurring by those responsible for enforcing them. In view of this we believe that the government should:

- Implement labor market reforms through consolidation and streamlining of the laws already on the books at both the national and provincial levels with a view to rationalize these laws and reduce the number of visits the regulators need to make to the workplace.

- The federal government should redefine its own responsibilities. These will include two important functions. One, keeping abreast of the changes in international law and ensuring that they are followed by the provinces. Two, to ensure that provincial labor laws don't create arbitrage possibilities that would encourage workers to migrate from one province to the other.

105. ***Developing the Land Markets*** One of the areas in which Pakistan needs to do more and do it urgently is to reform land titling. The World Bank is financing a project in the Punjab aimed at the reform of the practices procedures currently involved in land titling. A powerful lobby of those currently involved in this activity has prevented the speedy implementation of this project. Experience form other countries suggests—Peru, for instance—that modernization the process of titling and transfers releases a great deal of capital that can be used for economic activities, especially by the poorer segments of the population. The provincial governments should:

- Speed up the land records digitization program in Punjab while other provincial governments adopt an integrated program to digitize records in a transparent, secure and reliable manner.

106. ***Modernization of business law*** Pakistan has outdated business laws which make it difficult for firms to enter, operate and do business in the country. The Task Force has a number of recommendations in this area. These include:

- Modernization of business laws including the Companies Ordinance; laws governing insolvency, mergers and acquisitions, conglomerates; competition.

- Launch programs to strengthen a number of regulatory agencies that have been set up over the years. These include the Securities and Exchange Commission of Pakistan, the SECP; Competition Commission of Pakistan, the CCP; Public Procurement Regulatory Agency, the PPRA, and various sectoral regulatory authorities.

- In order to facilitate the process of exit we recommend the creation of a policy framework to enable the exit of poorly performing firms. The implementation of the policy embedded in the framework should be responsibility of bankruptcy courts set up for this purpose

107. ***Easier Business Start Up and Operation.*** There are lessons that Pakistan could learn from the experience of a number of other countries that have succeed in streamlining government's interface with the private sector especially at the points of entry and exit. Egypt, for instance has a one-window operation in place which the World Bank reports suggest has had a profoundly positive impact on the operation of the firms. We recommend:

- Initiating contests among provinces and cities to streamlining three to five "doing business indicators" along with monitoring and evaluation of the impact and results.

- Consolidation of regulatory mechanisms to reduce government interference in the business firms.

5.4 Develop Infrastructure and Power for Development

108. Although Pakistan inherited a fairly well developed infrastructural base at the time of independence—for their own reasons the British had made heavy investments in building roads, railways, bridges, and a port (Karachi) in the parts of their Indian domain that became Pakistan—not much was done after the country gained independence. The British also left a well developed irrigation system. That too was poorly maintained after independence. This policy of neglect has to be reversed. We make a number of specific suggestions for bringing the level of infrastructural development to the point at which it ceases to be a bottle neck for growth.

- Carry out Infrastructure Expenditure Review to measure the amount of public infrastructure spending which takes place, the gaps in demand and the potential modes for its provision.

109. ***The Power Sector*** The Pakistani economy has suffered badly as a result of the severe shortages of power that has caused several important urban and industrial centers to go without electricity for a number of hours every day. The Lahore based Institute of Public Policy has estimated the cumulative cost to the economy of power shortage at 5 percent of GDP in 2008-10. Our specific recommendations include the following:

- Eliminate the circular debt which has had the consequence of a number of independent power producers reducing their generation or shutting down their operations altogether. Though settling the debt will have the effect of increasing the fiscal deficit, it would be acceptable if it does not reappear. Traditional defaulters should be told that power supplied to them will be cut unless they remain current with their bills. This action should be taken in the 2010-11 Budget.

- Pass on the tariffs recommended by NEPRA to the consumers. This will also mean that these companies will remain current in making payments to WAPDA and other generators.

- Adopt a strategic and action program oriented for increasing the private sector's role in energy through increased participation in generation including hydel power and distribution.

- The provinces should be permitted to generate power up to 1000 MW per plant using their own resources. They should be allowed to trade power thus creating a power market in the country.

- Decentralize NEPRA and empower the provinces to set electricity prices independently.

110. ***Transport and Telecommunications*** Pakistan has underinvested in the development of transport infrastructure. This was the case in all parts of the transport sector. There was no improvement in the extensive railway network inherited from the British at the time of independence. Some of the policy changes in the early seventies—abolition of the permit system for plying buses and trucks, for instance—led to the development of a vibrant intercity road transport system by the private sector but the state did not match this development by investing in the building of roads. The only major public sector investment in the road sector was in motorways that now connect some of the major cities in the country's north east. But this system remains underutilized. Although two new ports were built adding capacity to the over-worked port of Karachi, the ability to handle large vessels remains limited.

111. Several members of the Task Force indicated that the limited capacity to take in large ships means that a significant amount of the heavy cargo imported into the country has to be off-loaded in Dubai or Colombo and then reshipped to Pakistan. This adds to cost. A recent government report points out that whereas Pakistan scores reasonably well in terms of the penetration of mobile phones and personal computers it lags behind other developing countries in developing broad band infrastructure. In other words, the government's effort in the transport and communications sector has to cover a wide front. In light of this we recommend that:

- The government should redouble its efforts to implement the National Trade Corridor Improvement Project, the NTCIP.
- Undertake dredging of the ports to enable the ports to handle large ship off-loading and on-loading and reduce the extra cost of shipping that firms have to incur from nearby deep-sea ports such as Dubai and Singapore to Karachi.
- The government should carry out a full appraisal of export and import supply chains including the formulation of a new action plan covering railways, airlines, trucking and trade facilitation. There are good prospects that foreign funds will be available for some of the needed investments.
- The government should formulate new unified Information and Communication Telecommunication (ICT) Policy which brings together the vision it has for developing telecoms industry. This vision includes the development of both hardware and network needs for the economy. The government should also facilitate the development of content for use by the private sector.

5.5 Strengthening Public Goods for Upgrading Technology and Skills.

112. A number of recent reports prepared by various donor agencies including the World Bank have pointed out that Pakistan has also underinvested in providing the economy with an appropriate technological base. The Bank's ***Investment Climate Assessment 2009*** report has presented convincing evidence for the technical underdevelopment of the Pakistani firm. ***Punjab's Economic Report 2009***, indicates that the province's large agriculture sector has fallen seriously behind many developing countries including India in improving its technological base.

113. The members of the Task Force suggest that the government has to play an active role in helping industry invest in research and development as well as improve the level of skills of the workforce. ***Vocational and technical training*** The Task Force's recommendations cover the following:

- A strategy and action plan should be prepared for a nationwide effort to upgrade vocational training including the system of accreditation of educational and vocational training institutions. Matching grants should be provided by the government for private on-the-job training.
- Several pilot projects launched by the provincial governments—such as the TEVTA in Punjab should be evaluated and upgraded.
- Provide tax relief to companies for developing programs to train for project management.

114. ***Metrology and Testing Quality*** The Task Force's recommendations cover a number of fields:

- The government should review A to Z aspects of the National Quality System, the NQS, and develop public-private partnership in this area. In addition,

- The government should review the system and application of industrial standards by manufacturing firms including their level, use and recognition.

115. ***Foreign Direct Investment*** As the *Investment Climate Assessment* pointed out that one way of acquiring new technologies especially when the domestic case is weak—as is the case in Pakistan—is to encourage foreign direct investment. In this context:

- The government should encourage foreign direct investment by concluding bilateral investment treaties and by adopting globally recognized arbitration laws such as the New York Convention/ UNCITRAL.

5.6 Empowering Sub-National Governments to Improve the Business Environment

116. Pakistan is too large a country (with a 2010 population close to 180 million) to be managed centrally and its federated structure recognizes this fact. Therefore, even prior the new empowerment provided to sub-national governments from the 18^{th} amendment to the Constitution and the most recent National Finance Commission (NFC) award, there was much sub national governments could do.

117. Provincial and district governments have a role to play in labor reform, business laws, land markets, property registration , construction permits, and many other area. Sub-national Doing Business indicators have been collected, to establish a baseline for monitoring and evaluation of reforms to streamline the interface with the private sector, enhance the efficiency of land markets and enable property to be used as collateral.

118. Provinces can also learn from each other as in the case of computerization of land titling where the land records digitization project for Punjab should be accelerated and adopted by all provincial governments, Therefore, the Task Force recommends tat the provinces are empowered in the areas covered by the World Bank's Doing Business in Pakistan business that was just published.

- To improve the business environment for firms, we recommend the establishment of a the federal level structure which seeks to institutionalize and motivate a provincial level effort to stream line regulations and implementation of those regulations.

5.7 Next Steps

119. The Task Force prepared two implementation matrices to be further developed and completed by the government. The first matrix (Annex 2) assigns institutional responsibility in the government for implementing proposed recommendations through specific actions and policy instruments in a short, medium and long term time frame. The government's policy implementation framework must be:

- A realistic plan observant of diverse stakeholders and anticipative of global or local changes

- Developed through a process of inclusive consultations with the private sector in design, monitoring and evaluation

- Transparent in implicit or explicit subsidies involved in the interventions

- Set clear, measurable, and transparent indicators of success of each intervention
- Establish arms-length relations between the government and the private sector
- Create sufficient public governance accountability to prevent capture and failing interventions

120. The second matrix (Annex 3) is designed to map out the existing and planned donor programs in the above six areas of focus to better help coordinate the government's plans with donor activities.

121. The Chairman of the Task Force will write a letter to the Prime Minister to encourage the government to take leadership and ownership in preparing and executing an implementation plan to be presented to the Task Force at its next meeting. The Chairman will also recommend to the Prime Minister the creation of a focal point in the government assigned with the responsibility of co-coordinating, monitoring and reporting on the implementation of the reform program to the Task Force.

ANNEX 1: PRIVATE SECTOR DEVELOPMENT TASK FORCE MEMBERS

Name	*Designation*	*Agency*	*Address*
Chairmen:			
Mr. Abdul Razak Dawood	Chairman	Descion Engineering Ltd	Lahore
Mr. Shahid Javed Burki	Co-Chair and Former Minister	Government of Pakistan	Washington
Members:			
Mr. Abdul Ghaffar Soomro	Secretary	Ministry of Industries and Production	Islamabad
Mr. Abdul Kader Jaffer	President & CEO	Pakistan Japan Business Forum	Karachi
Mr. Ali Jehangir Siddique	Executive Director	Jahangir Siddiqui & Co.,	Karachi
Mr. Asad Omar	CEO	Engro Chemical Pakistan Ltd.,	Karachi
Mr. Aziz Memon	Chairman	Kings Group	Karachi
Mr. Bashir Ali Mohammad	Chairman	Gul Ahmed Textile Mills Ltd	Karachi
Mr. Ijaz Nabi	Dean Social Sciences	Lahore University of Management Sciences	Lahore
Mr. Kamran Y. Mirza	CEO	Pakistan Business Council	Karachi
Mr. M. Mansoor Ali	Director, Economic Analysis	State Bank of Pakistan	Karachi
Mr. Nooruddin F. Daud		Daud Sons Armoury	Peshawar
Mr. Omar Saeed	Chief Operating Officer	Services Sales Corporation Ltd.	Lahore
Mr. Pervaiz Hasan	Former Chief Economist	World Bank	Washington D.C.
Mr. Rashid Amjad Ch.	Chief Economist	Planning Commission, Government of Pakistan	Islamabad
Ms. Roshaneh Zafar	President	Kashaff Foundation	Lahore
Mr. Saddar-u -Din Hashwani	Chairman	Pakistan Services Ltd.	Karachi
Mr. Saleem H Mandiwalla	Chairman	Board of Investment, Government of Pakistan	Islamabad
Mr. Salim Ghauri	Chairman/CEO	NETSOL Pvt. Ltd	Lahore
Mr. Saqib Shiraz	President/CEO	Atlas Honda ltd.	Karachi
Mr. Shah Faisal	CEO	Haier & RUBA Group	Lahore
Mr. Shahab Anwar Khawaja	Secretary	Privatization Division, Government of Pakistan	Islamabad
Mr. Sohail Ahmad	Chairman	Federal Board of Revenue, Government of Pakistan	Islamabad
Mr. Saad Ahsanuddin,	President	Republic Engineering Corporation	Lahore
Mr. Sultan Ahmed Chawla	President	Federation of Pakistan Chambers of Commerce & Industry	Karachi
Mr. Syed Mohibullah Shah	Chairman/CEO	Trade Development Authority of Pakistan	Karachi
Mr. Tariq Saeed Saigol	Chairman	Kohinoor Maple Leaf Group	Lahore
Mr. Yawar Ali	Chairman	Nestle Pakistan Ltd	Lahore
Mr. Zakir Mehmood	President	Habib Bank Limited	Karachi
Mr. Zafar Mahmood,	Secretary	Ministry of Commerce, Government of Pakistan	Islamabad

ANNEX 2: PRIVATE SECTOR DEVELOPMENT POLICY FRAMEWORK

[Draft for Discussion Purposes]

Reform Program	I (1 Year), II (3 year) r III (5 Year)	Policy Instrument	Institutional Responsibility	Time Frame	Specific Action (s) to Be Taken
1. Macroeconomic, Trade and Factor Market Fundamentals—Getting The Incentives Rights					
1a. Strengthening the Foundation for Fiscal Policy					
Objective A.1: Lower ***the corporate tax rate*** for all firms while ***raising the Tax/GDP ratio*** by widening the tax base, eliminating exemptions and penalizing non-payers.	I				
Objective A2a: Carry out full ***inventory of stock*** of fiscal and financial subsidies with a view of rationalizing the package around principals of (i) level playing field (ii) market failure, (iii) public good (iv) industrial policy, or (v) temporary safety net.	II				
Objective A.2b: Devise and implement system for ***filtering flow of new subsidies*** whereby particular filters are applied to proposed subsidy and an agency identified to apply and report on filters.	II				
Objective A.3: Carry out ***public expenditure review*** with a view to (i) set principals, priorities, systems for prioritizing public investment and (ii) feeding into the subsidy analysis above.	II				
1b. Trade Policy and Domestic Factor Markets					
Objective B.1a: Carry out ***trade policy review*** in the context of strategic trade policy framework and examine trade, tariff, tax and exchange rate policies on exports.	I				
Objective B.2: Review existing and prospective bilateral/multilatcral ***Free Trade Agreements***, with a view of gauging impact on (i) domestic industry & services (ii) trade diversion & market access issues and (iii) domestic policy implications.	I				

Reform Program	*I (1 Year), II (3 year) r III (5 Year)*	*Policy Instrument*	*Institutional Responsibility*	*Time Frame*	*Specific Action (s) to Be Taken*
Objective B.3: Reform system for export/import promotion, by shifting from subsidy to public goods provision, starting with ***improvement plan for exporting supply chain***, in connection with NTCIP, and strategic trade policy framework.	II				
1c. Fluid Markets for Factors (Labor, Capital, Land)					
Objective C.1. ***Implement labor market reform*** through consolidation and streamlining of labor laws, preparation of regulations and providing implementation support to provincial labor departments.	II				
Objective C.2 ***Design capital market reform*** through strategy and action plan for private participation in pensions, insurance and government bond markets.	II				
Objective C.3. Encourage ***land titling reform*** at the provincial level.	III				
2. The Business Environment for the Firm					
2a. Better Rules / Stronger Institutions :					
Objective D.1: Modernize body of ***Business laws,*** including Companies Ordinance , Insolvency, Conglomerates, etc,	III				
Objective D.2: Launch program to strengthen ***Institutions for Market Governance,*** (SECP, CCP, PPRA, Sector Regulators, etc) in context of or key part of civil service reform	II				
2b. Easier Business Start Up and Operation					
Objective E.1: Carry out program of ***inspection reform for labor/business laws*** through system analysis, professional training and design of monitoring systems.	II				
Objective E.2: Initiate contests for provinces /cities to ***streamline 3-5 doing business indicators***, along with monitoring and evaluation of the impact and results.	II				

Reform Program	I (1 Year), II (3 year) r III (5 Year)	Policy Instrument	Institutional Responsibility	Time Frame	Specific Action (s) to Be Taken
Objective E.3.	II				
3. Reliable Infrastructure and Backbone for Network Industries					
3a. Power Sector					
Objective F.1: ***Implement PPP Policy*** particularly in the energy sector through *inter alia*, the promulgation of PPP law and unification of institutional framework.	I				
Objective F.2: Consider for adoption, a strategic and action oriented plan for ***increasing the private sector's role in the energy sector,*** for example through PPP, and or through broader privatization.	I				
3b. Connectivity (Transport and Telecommunications)					
Objective G.1: Redouble efforts to implement NTCIP, starting with full appraisal of export and import supply chain and as including a new action plan covering railways, airlines, trucking, and trade facilitation.	II				
Objective G.2: Formulate new unified ***Information Communication and Telecommunication (ICT) Policy*** which brings together the vision in telecoms industry with hardware and network needs for, as well as content provided by, the technology and information industry.	II				
Objective G.3	II				
4. Creating Public Goods for Upgrading Technology and Skills					
4a. Improve Vocational and Technical Training					
Objective H.1: Prepare strategy and action plan for nationwide effort to ***upgrade vocational training,*** including accreditation system, matching grants for vocational training and led by the private sector.	II				

Reform Program	*I (1 Year), II (3 year) r III (5 Year)*	*Policy Instrument*	*Institutional Responsibility*	*Time Frame*	*Specific Action (s) to Be Taken*
Objective H.2: Evaluate and scale up ***vocational training pilots*** being implemented at TEVTA in Sindh (Wld Bank) & Punjab (JICA).	I				
4b. Metrology Standardization Testing Quality					
Objective I.1: Review A-Z aspects of the **National Quality System** (NQS) and develop action plan for public—private partnership.	II				
Objective I.2: Review system and application of ***industrial standards*** (non-mandatory) by manufacturing firms (level, use, recognition).	II				
4c. Technology Adaptation Support					
Objective J.1: Feasibility study for matching grant funds / discovery funds for ***new technology adaptation.***	I				
4d. Foreign Director Investment Attraction					
Objective K.1: Carry out multi-track program of ***Foreign Direct Investment Promotion*** through bilateral investment treaties and recognized arbitration law (NY Convention / UNCITRAL).	I				
5. Enterprise and Worker Support in the Face Of Adjustment—To Be Completed Following Discussions					
5a. Creating a Cohesive Strategy and Facilitating Information Flows					
Objective L.1:					
Objective L.2					
5b. Small and Medium Enterprises					
Objective M.1:					
Objective M.2					
5c. Sector Specific Policies					
Objective N.1:					
Objective N.2					
5d. Supply Side Measures for Exports					
Objective O.1:					
Objective O.2					

ANNEX 3: DONOR SUPPORT MATRIX

[Draft for Discussion Purposes]

Policy Objective	*Donor Agency*	*Task Name*	*Anticipated Outcome*	*Type of Instrument*	*Estimated Funding*	*Timing*	*GoP Partner Agency*
1. Macroeconomic, Trade and Factor Market Fundamentals—Getting the Incentives Rights							
1a. Strengthening the Foundation for Fiscal Policy							
Objective A.1: Lower *the **corporate tax rate*** for all firms while ***raising the Tax/GDP ratio*** by widening the tax base, eliminating exemptions and penalizing non-payers.	World Bank IMF DFID JICA	Poverty Reduction Support Credit Tax Administration Reform Project Stand by Arrangement Co-Financing of TARP Co-Financing of PRSC	Value Added Tax Improve Tax Collection VAT/FBR Reform Improve Tax Collection VAT/FBR Reform	Policy Loan Investment Loan B/P Facility Investment Grant Policy Grant	500m 120m 8400m 40m 150m	FY10 FY11 FY11 FY11 FY10	MOF FBR
Objective A2a: Carry out full ***inventory of stock*** of fiscal and financial subsidies with a view of rationalizing the package around principals of (i) level playing field (ii) market failure, (iii) public good (iv) industrial policy, or (v) temporary safety net.							
Objective A.2b: Devise and implement system for ***filtering flow of new subsidies*** whereby particular filters are applied to proposed subsidy and an agency identified to apply and report on filters.							

Policy Objective	*Donor Agency*	*Task Name*	*Anticipated Outcome*	*Type of Instrument*	*Estimated Funding*	*Timing*	*GoP Partner Agency*
Objective A.3: Carry out ***public expenditure review*** with a view to (i) set principals, priorities, systems for prioritizing public investment and (ii) feeding into the subsidy analysis above.							
1b. Trade Policy and Domestic Factor Markets							
Objective B.1a: Carry out ***trade policy review*** in the context of strategic trade policy framework and examine trade, tariff, tax and exchange rate policies on exports.	World Bank	Export Competitiveness NLTA	Trade Policy Review	Non-Lending TA	300k	FY11	MoC
Objective B.2: Review existing and prospective bilateral/multilateral ***Free Trade Agreements***, with a view of gauging impact on (i) domestic industry & services (ii) trade diversion & market access issues and (iii) domestic policy implications.							
Objective B.3: Reform system for export/import promotion, by shifting from subsidy to public goods provision, starting with ***improvement plan for exporting supply chain***, in connection with NTCIP, and strategic trade policy framework.							

Policy Objective	*Donor Agency*	*Task Name*	*Anticipated Outcome*	*Type of Instrument*	*Estimated Funding*	*Timing*	*GoP Partner Agency*
1c. Fluid Markets for Factors (Labor, Capital, Land)							
Objective C.1. ***Implement labor market reform*** through consolidation and streamlining of labor laws, preparation of regulations and providing implementation support to provincial labor departments.							
Objective C.2 ***Design capital market reform*** through strategy and action plan for private participation in pensions, insurance and government bond markets.							
Objective C.3. Encourage ***land titling reform*** at the provincial level.							
2. The Business Environment for the Firm							
2a. Better Rules / Stronger Institutions :							
Objective D.1*:* Modernize body of ***Business laws,*** including Companies Ordinance , Insolvency, Conglomerates, etc,							
Objective D.2: Launch program to strengthen ***Institutions for Market Governance,*** (SECP, CCP, PPRA, Sector Regulators, etc) in context of or key part of civil service reform.							

Policy Objective	*Donor Agency*	*Task Name*	*Anticipated Outcome*	*Type of Instrument*	*Estimated Funding*	*Timing*	*GoP Partner Agency*
2b. Easier Business Start Up and Operation							
Objective E.1: Carry out program of ***inspection reform for labor/business laws*** through system analysis, professional training and design of monitoring systems.							
Objective E.2: Initiate contests for provinces /cities to ***streamline 3-5 doing business indicators***, along with monitoring and evaluation of the impact and results.							
Objective E.3.							
3. Reliable Infrastructure and Backbone for Network Industries							
3a. Power Sector							
Objective F.1: ***Implement PPP Policy*** particularly in the energy sector through *inter alia*, the promulgation of PPP law and unification of institutional framework.							
Objective F.2: Consider for adoption, a strategic and action oriented plan for ***increasing the private sector's role in the energy sector,*** for example through PPP, and or through broader privatization.							

Policy Objective	*Donor Agency*	*Task Name*	*Anticipated Outcome*	*Type of Instrument*	*Estimated Funding*	*Timing*	*GoP Partner Agency*
3b. Connectivity (Transport and Telecommunications)							
Objective G.1: Redouble efforts to implement NTCIP, starting with full appraisal of export and import supply chain and as including a new action plan covering railways, airlines, trucking, and trade facilitation.							
Objective G.2: Formulate new unified ***Information Communication and Telecommunication (ICT) Policy*** which brings together the vision in telecoms industry with hardware and network needs for, as well as content provided by, the technology and information industry.							
Objective G.3							
4. Creating Public Goods for Upgrading Technology and Skills							
4a. Improve Vocational and Technical Training							
Objective H.1*:* Prepare strategy and action plan for nationwide effort to ***upgrade vocational training,*** including accreditation system, matching grants for vocational training and led by the private sector.							

Policy Objective	*Donor Agency*	*Task Name*	*Anticipated Outcome*	*Type of Instrument*	*Estimated Funding*	*Timing*	*GoP Partner Agency*
Objective H.2: Evaluate and scale up ***vocational training pilots*** being implemented at TEVTA in Sindh (Wld Bank) & Punjab (JICA).							
4b. Metrology Standardization Testing Quality							
Objective I.1*:* Review A-Z aspects of the **National Quality System** (NQS) and develop action plan for public – private partnership.							
Objective I.2: Review system and application of ***industrial standards*** (non-mandatory) by manufacturing firms (level, use, recognition).							
4c. Technology Adaptation Support							
Objective J.1*:* Feasibility study for matching grant funds / discovery funds for ***new technology adaptation.***							
4d. Foreign Director Investment Attraction							
Objective K.1*:* Carry out multi-track program of ***Foreign Direct Investment Promotion*** through bilateral investment treaties and recognized arbitration law (NY Convention / UNCITRAL).							
5. Enterprise and Worker Support in the Face Of Adjustment - To Be Completed Following Discussions							
5a. Creating a Cohesive Strategy and Facilitating Information Flows							
Objective L.1*:*							
Objective L.2							

Policy Objective	*Donor Agency*	*Task Name*	*Anticipated Outcome*	*Type of Instrument*	*Estimated Funding*	*Timing*	*GoP Partner Agency*
5b. Small and Medium Enterprises							
Objective M.1:							
Objective M.2							
5c. Sector Specific Policies							
Objective N.1:							
Objective N.2							
5d. Supply Side Measures for Exports							
Objective O.1:							
Objective O.2							

ANNEX 4: PROCEEDINGS OF FOUR TASK FORCE MEETINGS

A. First meeting of the Task Force

(FEBRUARY 27th-28th 2009, Islamabad)

1. Background

In the past, Pakistan's industrial development was influenced more by developments outside its borders than by a strategic utilization of its endowments. Historically, those responsible for the making of public policy responded to the country's external circumstances much more vigorously than they did to some of its inherent advantages.

It is now recognized by economists and policy analysts that industrialization—its pace, scope and content—responds to public policy. This is one reason why Islamabad, working closely with the private sector, should carefully define the content of public policy in order to determine the direction the country should take. For this purpose the Planning Commission set up the Task Force on Private Sector Development in December 2008. Mr. Shahid Javed Burki, eminent economist and former VP World Bank, was requested to lead the Task Force. A number of distinguished members of the business community were requested to join the Task Force as members. The Task Force also has some prominent scholars as members who have studied Pakistan's economic evolution in some depth. Senior government officials, mostly secretaries in charge of various economic ministries and the heads of various government agencies whose work was pertinent for the development of the private sector, were also invited to participate in the Task Force as observers.

2. The State of Public Policy

At the first meeting, the Task Force was given detailed and very helpful presentations by the secretaries of the various economic ministries as well as the heads of the various agencies. These presentations are briefly summarized below:

2.1. State Bank of Pakistan

The Director of Economic Analysis Department presented a snapshot of the macroeconomic indicators for the current fiscal year. [15]The State Bank expects the FY09 real GDP growth to be lower than expected earlier as large scale manufacturing has growth has dropped. Double digit inflation remains a problem, with overall inflation remaining stuck at around 20 percent. M2 growth has been contained largely due to a decline in Net Foreign Assets; however government borrowing from Net Development Assistance remains large. The monetary policy requires continued vigilance amidst large fiscal and current account deficits. Although the fiscal balances have improved due to reduction in oil subsidies and cut in development spending, the slowing economy and weakening import growth will make it hard for the government to finance even a lower (target) deficit. On the external side, the IMF program has enabled an improvement in the BoP position, along with a decline in oil prices, a slowdown in the demand for imports, and a sustained inflow of remittances. However, the SBP remains cautious of significant risks to the BoP position in the coming months.

[15] Mohammad Mansoor, *Briefing to Task Force on Private Sector Development*, A Presentation to the Planning Commission's Task Force on Private Sector Development, Feb 28, 2009.

2.2. Ministry of Production & Industries

Pakistan's industrial and manufacturing sector has historically accounted for a very small share of its GDP. [16] In 2008 the total share of manufacturing in GDP was just 18.9 percent. The growth rate of the large scale manufacturing sector has dropped to 4.8 percent in 2007-8 from 8.6 percent in 2006-7, while that of small and medium enterprises has declined to 7.5 percent in 2007-8 from 8.1 percent in 2006-7. A high cost of doing business, low technological base, lack of standardization and certification, shortage of skilled human resources, and infrastructure constraints, are some of the constraints in enhancing industrial growth.

In the short term, the government's strategy will be to focus on skills development needs of export and high growth potential industries. The government will also engage in improving quality control and productivity of these sectors through various programs. In the long term the government will provide support for the growth of the following sectors:

Knowledge and Technology-intensive Industries (Biotechnology, Electronics, and Renewable Energy) Engineering and Capital Goods (Iron and Steel, Automotive and Agriculture Equipment, Electrical Capital Goods, Textile Machinery, Castings and Forgings, Light and Heavy Engineering, etc.) Chemicals, Petrochemicals and Fertilizers (Cracker, Petrochemical Refinery, Pharmaceutical and downstream derivatives), Coal Gasification (Provide a sustainable source of fuel gas supply) Textile Group of Value Added Products (Garments, apparel, knitwear, sportswear, technical and medical textiles)

2.3. Ministry of Commerce

The Secretary Commerce presented an overview of the government's current trade policy and strategy, evolving challenges, sectoral emphasis, and elements of the future trade policy.[17] The Secretary highlighted the fact that Pakistan's exports were concentrated in the textile sector which accounts for merely 6 percent of total world trade. It needs to diversify into the engineering goods sector that accounts for 60 percent of total world trade. Pakistan's import basket which consists of petroleum, food group, chemicals and machinery is highly inelastic. Therefore raising import tariffs will not result in curbing imports substantially, and instead lead to significant consumer welfare losses.

Regarding the growth trends, the Secretary observed that while exports are growing, imports are growing faster. This trend is likely to continue due to high import inelasticity. The decline in imports will not help in curtailing the trade deficit, although demand management is essential.

Therefore the focus should be on increasing exports rather than resorting to protectionism.

In this context the strategy of the government is to support the export sector through liberalization and facilitation rather than monetary subsidization, with the objective of diversification of goods and markets, and increasing penetration in existing areas. There are a number of challenges that need to be addressed in order to accelerate export growth. Improvement in infrastructure, addressing the power shortage issue, enhancing quality control, increasing bank credit to agriculture and SMEs, and developing an effective strategy for promoting value addition in textiles, are some of the structural problems that need to be overcome.

The Ministry plans to focus on improving competitiveness and helping firms move up the value addition chain. The sectoral thrust will be on readymade garments, light electrical products, services, pharmaceuticals, and food group items.

[16] Shahab Khwaja, *Presentation on Industrial Policy*, A Presentation to the Planning Commission's Task Force on Private Sector Development, Feb 27, 2009.

[17] Secretary Commerce, *Sectoral Briefing by the Ministry of Commerce*, A Presentation to the Planning Commission's Task Force on Private Sector Development, Feb 27, 2009.

2.4. *Privatisation Commission*

The government's overarching vision for privatisation of public enterprises is to shift its role towards oversight and regulation, and away from the production of goods and services.[18] The Secretary Privatisation presented an overview of the privatisation process, the modes of privatisation, previous privatisation transactions, and the benefits to the economy. The Secretary noted that due to the international financial crisis and current macroeconomic conditions, the share values of many likely transactions are expected to remain at an all time low.

The Privatisation Commission has approved a new policy based on a public-private sector collaboration model. Under this policy the private sector will be offered a 26 % equity stake in SOEs together with management rights. This policy will allow the government to ensure that divestment does not result in alienation of national assets, and creation of private monopolies and cartels. It will also ensure that assets are put to optimal use and in particular to unleash the productive potential inherent in Pakistan's SOEs.

However, the Commission faces a number of implementation constraints such as absence of land title records, opposition form vested interests, litigation issues, lack of a well defined government policy, and lack of a clear and fair regulatory framework. The Secretary highlighted a number of problems and constraints that the Task Force could help the Commission resolve. This includes helping develop a broad consensus on a policy and program for privatisations, strengthening of the regulatory regime in the context of developing a federal level competition ministry to deal with anti-competitive practices, streamlining of the arbitration mechanism, greater input of the private sector for assessing the viability of proposed transactions, and resolution of issues related to land titles.

2.5. *Board of Investment (BoI)*

The government has adopted a very liberal investment policy, with a range of tax and non-tax incentives to encourage FDI.[19] Although FDI has shown an increasing trend, over the past year the growth has leveled off. The BoI has designated Oil & Gas, IT & Telecom, Mining, Energy, Infrastructure, Tourism, SMEs, and Agriculture as priority sectors for promoting investment. A number of new initiatives are underway such as creation of a true one window operation, Special Economic Zones, Non Resident Pakistani Investment Scheme, and Opportunity fund for manufacturing sector to improve investment prospects in Pakistan. It is also engaged in strengthening investor protection and improving public relations. A number of projects in the oil refinement, construction, software development, fertilizers, steel and copper exploration are underway.

2.6. *Federal Board of Revenue (FBR)*

The Chairman of Federal Board of Revenue presented an overview of the functions, recent performance, reforms and challenges in tax revenue collection and tax administration.[20] FBR is also responsible for implementing Trade Policy tariff related regulations. Despite FBR success in achieving revenue collection targets, the tax/GDP ratio in Pakistan has been declining and in 2007-8 it stood at 9.6 percent. Pakistan lags behind all the South Asian countries, except for Bangladesh in its tax/GDP ratio. Indirect taxes account for 61.6 percent of the total tax revenue, in contrast to more developed economies where a greater share of revenues comes from direct taxation. Manufacturing and service sectors bear the brunt of taxation, while

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[18] Jawad Ahmad, *Privatization Policy and Private Sector Development*, A Presentation to the Planning Commission's Task Force on Private Sector Development, Feb 28, 2009.

[19] Ministry of Investment, *Board of Investment*, A Presentation to the Planning Commission's Task Force on Private Sector Development, Feb 2009.

[20] Ahmad Waqar, *Federal Board of Revenue An Overview*, A Presentation to the Planning Commission's Task Force on Private Sector Development, February 28 2009.

agriculture only accounts for 1.2 percent of total tax revenue. A low tax/GDP ratio is primarily the result of a narrow tax base due to exemptions and presence of a large informal sector. Weak audit, poor enforcement, and prevalence of corruption also act as significant barriers to improving tax collection.

The FBR is undertaking a variety of reforms to expand the tax base, increase compliance, rationalize tax rates, and create a "tax conducive" environment for all tax payers. The FBR will be focusing on streamlining collection operations, systems improvement, better management practices, and IT based solutions, to help achieve its reform objectives of greater efficiency and transparency in tax administration and collection.

The challenges that remain to be addressed include broadening of the tax base, documenting the informal sector, integration of domestic taxes, bringing GST into the VAT mode, streamlining regulations, and improvement in tax management and administration procedures.

2.7. Pakistan's Investment Climate (World Bank)

The World Bank presented the main findings and policy recommendations for improving the investment climate, based on the second Investment Climate Survey of Pakistan.[21] The target growth rates require Pakistan to achieve high rates of investment. However, investment alone is not sufficient since growth in income per capita also depends on factor input productivity,
Both high rates of investment and its productive use require a "Conducive Investment Climate".

The most recent ICA report shows that although there have been improvements in some indicators, a marked deterioration has occurred in electricity provision, corruption, macro instability, political instability, theft and disorder. Based on the results of the survey, the Bank proposed the following set of recommendations to improve the investment climate:

Removal of *infrastructure* constraints, particularly in energy and transport sectors;
Strengthened *governance* of market mechanism, by improving contract enforcement, competition laws, and decentralization;
Increased depth and better functioning in *labor and financial markets* to allow access to more skilled labor and capital
Technological adaptation through FDI and public private partnerships (PPP) to enhance standards, innovation, and product upgrading

The Bank is also planning to initiate new work on export growth and diversification by preparing a series of focused policy notes, based on identified problems and issues related to trade, government policies, and global as well as domestic market conditions.

3. Defining the Scope for Future Work of the Task Force

Based on the issues raised in the presentations by various government departments, and discussion by the members it was decided that six working groups would be set up to develop ideas for deliberations at the second meeting. These groups were asked to report back on:

- Pakistan's *macroeconomic* situation in light of the external and internal shocks it had received, its medium term prospects with or without appropriate policy responses, and the role of public policy in improving the country's economic future

[21] Eric Manes, Anjum Ahmad, Kiran Afzal, *Pakistan's Investment Climate- Laying the Foundation for Sustained Growth*, A Presentation to the Planning Commission's Task Force on Private Sector Development, Feb 2009.

- The country's *trade* prospects, recognizing that it had been left behind in developing a presence in the global market place
- The role of *large industries* in the country's industrialization
- The role of *small and medium sized industries* in the process of industrialization
- The development of *human resources* to aid the industrial effort
- The role *technology* could play in improving the competitiveness of the Pakistani industry

The final session of the first meeting was addressed by Sardar Assef Ahmad Ali, Deputy Chairman of the Planning Commission who emphasized that in the priorities being followed by the government that was now in power, industrial development had an important place. In that context the government was keen to determine how public policy could be used to advance its objectives and reach its goals. The government recognized that it could not go alone in determining the shape and orientation of the sector and in developing the direction it should take. It needed the support of the private sector. This was the reason why the Private Sector Development Task Force was organized and was also the reason why the government has given so much serious attention to its work.

The Task Force also called upon President Asif Ali Zardari where the Chairman of the group, briefed him at some length about the line of work the Task Force was planning to pursue. While being very supportive of the work, the president requested that Task Force should meet again in order to provide an input into the framing of the budget for 2009-10 and work on a new trade policy. This invitation was accepted and the second meeting was scheduled for early April.

B. Second Meeting of the Task Force

(April 8^{th}-9^{th} 2009, Karachi)

1. Opening

The second meeting of the Task Force on Private Sector Development was held on April 8-9^{th} at Sheraton Hotel in Karachi. The meeting was opened by Chairman Shahid Javed Burki who said that one of the most important objectives of the Karachi meeting was to prepare a series of recommendations for the forthcoming Federal Budget for FY 09-10. This input had been requested by President Asif Ali Zardari at the conclusion of the first meeting of the Task Force, where Mr. Burki and other Task Force members called upon the president to brief him about the line of work they were planning to pursue.

2. Reports by the Working Groups and Regulatory Agencies

At the meeting in Karachi, the Task Force heard presentations from the chairpersons of the focused working groups that were assigned to cover the following areas: (a) macroeconomic prospects, (b) human resources development, (c) international trade, (d) large scale industry, (e) role of information technology, and (f) small and medium size enterprises (SMEs). The group on the SMEs was not able to complete its work and make a presentation at Karachi meeting as its chairperson had to deal with some personal problems. It was decided that this group would be reconstituted. The Task Force also heard presentations by the chairmen of two regulatory agencies, the Competition Commission and the Security and Exchange Commission. The main points of the discussion in each of these presentations are summarized below:

2.1. Macroeconomic Prospects

Pakistan has faced a catastrophic decline in macroeconomic situation over a short period, culminating in a sharp increase in the current account and fiscal deficit, together with unprecedented rise in inflation (particularly in food prices).[22] The group observed that current macroeconomic situation was the cumulative result of adverse external shocks, continuation of expansionary fiscal and monetary policies, and the failure to develop an appropriate policy response in the face of a changing economic environment. The chair of the group emphasized that while some stability had returned it had been achieved at the expense of curtailing public sector development spending. Private investment has been badly affected by the monetary tightening while private consumption, particularly amongst the upper income group remained high. This will have both economic and social consequences.

Large public sector borrowing remains a fundamental cause of high inflation, capital flight and pressure on the balance of payments. The government has been unable to mobilize tax revenues and needs to pay serious attention to raising the tax to GDP ratio. The government also needs to focus on reducing inflation to single digit levels, by continuing fiscal and monetary restraint Public policy measures can be used to ease the constraints in the real sectors while continuing the stabilization program.

2.2. Skills Development

Pakistani industry has performed poorly in the past is because of the economy's poor skill and educational base. To deal with this problem the government must focus not only on providing adequate resources, but also undertaking a number of institutional reforms, and developing a close partnership with the private sector firms dedicated to skills development. One possible model of public-private partnership that is being implemented by the Ministry of Industries and Production is to create sector-specific non-profit companies under Section 42 of the Companies Act. [23] The management of these companies will be led by the private sector while the public sector will be given representation in the Board. These companies could then become the centers of excellence and together with satellite institutions cater to the needs of upstream and downstream firms in the sector.

The members of the Task Force stressed the need to improve labor market information by creating a branding system for training providers. The informal sector also needs to be brought into this fold, since 80 percent of the labor force is employed informally. NAVTEC can continue to act as an apex body coordinating the work of vocational centers. An appropriate skills development policy should be based on a close relationship with the private sector, workers, and the government.

It was also suggested that the government should examine the Malaysian model of vocational training, where the private sector is given tax incentives, such as depreciation at double rate of capital expenditures, for training programs. Chairman Burki observed that it would be appropriate to develop a model based on public-private sector partnership that would spell out the roles and responsibilities of the two partners, according to what they can do best.

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[22] Parvez Hasan, Ali J. Siddiqui, *Macroeconomic Group Observations*, A Presentation to the Planning Commission's Task Force on Private Sector Development: Karachi, April 8, 2009.

[23] Asad Omer, *Human Development for Competitiveness of Pakistani Firms*, A Presentation to the Planning Commission's Task Force on Private Sector Development: Karachi, April 8, 2009.

2.3. International Trade

Pakistan has a narrow export base as only five products account for around 80 percent of the total exports, with 54 percent of its export concentrated in only 2 markets namely USA and the EU.[24] Pakistan has the potential to establish vertical linkages in sectors such as agro and food processing. However, there is a dire need to improve the availability of appropriate technologies, infrastructure, access to credit, and coordination between the ministries responsible for agriculture and industry.

Reducing the costs of doing business and providing adequate skills development opportunities for the labor force would help the export sector to become competitive internationally. The chair of the working group also emphasized the need to develop regional trade particularly with the SAARC countries. The members of the Task Force noted the importance of developing the local shipping industry since the export sector needs to ensure the timely delivery of goods. Members also commented on the need for policy support from the government in promoting private sector development and creating an enabling environment to encourage investment by foreign and domestic firms.

2.4. Large Scale Manufacturing

The government should develop a bold vision to take Pakistan's exports beyond $50-100 billion. This can only occur if the industrial sector diversifies, by prioritizing the development of sectors such as engineering, chemicals, steel, information technology, and agri-livestock.[25] This requires an enabling legal and capital structure and infrastructure support for large firms. The laws pertaining to corporate rehabilitation also need to be rationalized and implemented. The manufacturing sector needs to develop a global mindset to expand and tap markets internationally.

Public-private sector partnerships represent an area of opportunity for the large corporations since they have the managerial expertise and capital to undertake mega projects. The group also stressed the need to level the playing field between the formal and informal sector players by expanding the tax net.

In his comments Chairman Burki enquired about the significance of the construction industry as a driver of economic growth. The chair of the working group explained that construction is considered as a sub sector of engineering and for its development the government will have to give attention to skills development as well as improve capital financing availability for firms.

2.5. Information Technology

Technology can be a powerful driver of growth for the private sector, through improving efficiency of operations, and enabling firms to be more responsive to changing environment. Although resistance to the adoption of technology in business is declining, there are a number of challenges that prevent firms from achieving maximal returns from change. This includes poor understanding of how technology can be leveraged for long term competitive advantage, a lack of investment in IT systems based on strategic choices, and inadequate professional and technical support services.[26] The group proposed a number of ways to address these challenges such as, providing incentives through tax breaks or subsidies to encourage technologically driven improvement in business efficiency, providing an enabling environment

[24] Abdul Kader Jaffer, *Trade (International and Domestic) as a Driver of Change for Firms*, A Presentation to the Planning Commission's Task Force on Private Sector Development: Karachi, April 8, 2009.

[25] Abdul Razak Dawood, *The Problems and Prospects of Large Firms*, A Presentation to the Planning Commission's Task Force on Private Sector Development: Karachi, April 8, 2009.

[26] Saleem Ghauri, Zahid Mirza, *Technology as a Driver of Change for Firms*, A Presentation to the Planning Commission's Task Force on Private Sector Development: Karachi, April 8, 2009.

for research and development in IT, facilitating investment links with global firms, and strengthening intellectual property, data protection and privacy laws.

2.6. Competition Commission of Pakistan (CCP)

The CCP highlighted its role as a facilitator of private sector and business development.[27] The CCP stressed the importance of enforcing an effective regulatory framework to curb anti-competitive practices not just for the sake of business efficiency or consumer protection, but more so to ensure a level playing field for all private sector players in order to attract foreign capital. Adherence to anti-trust laws also improves the productive efficiency of the economy, which can help countries like Pakistan raise levels of economic productivity. Legal changes since 2007 have enabled the CCP to exercise greater enforcement power in implementing the anti-trust laws. Yet inadequacy of resources and lack of high caliber staff are challenges that need to be overcome.

2.7. Securities and Exchange Commission Pakistan (SECP)

The SECP presentation focused on a number of initiatives and reforms that have been undertaken to facilitate the private sector compliance with regulations. To ensure the smooth functioning of capital markets, SECP has also introduced a range of measures to improve risk management, governance, market development, and capacity building.[28] In order to improve access to capital, SECP is considering the development of corporate debt market and establishment of rating agencies within Pakistan. In order to address the issue of non-performing loans it is also working on the Corporate Rehabilitation Act (CRA) with the concerned government departments for the rehabilitation of sick units in textile, cement, automobile, and downstream engineering. On the legal front, SECP is working with the government to structure the Resolution Trust Corporation (RTC) that will form a part of the CRA, and to review the arbitration laws.

3. Areas for Future Work [29]

At the final session of the Karachi meeting about a dozen areas were identified by the Task Forces' members requiring further analysis. While the shepherding of this work will be done by the designated members of the Task Force, analytical support will be needed from the Planning Commission, Ministries of Finance, Industry, Commerce, Communication, Agriculture etc as well as from such development institutions as the World Bank, including the IFC; the Asian Development Bank; the UK Department of Foreign Invest and Development, the DFID; and the US AID. It was also decided to explore ways of bringing in the various think tanks in the country to support the work of the Task Force.

Areas for future work

Among the areas put forward for investigation, the following need to be underscored:

- What kind of direction and help should the state provide to the industrial sector in light of the developments taking place in the structure of the global economy and the evolution of the world's industrial production system. In its most recent report the UNIDO has indicated that concentration on "tasks" rather than on the production of final products provides better

[27] Competition Commission of Pakistan, *Presentation Notes,* A Presentation to the Planning Commission's Task Force on Private Sector Development: Karachi, April 8, 2009.
[28] Securities and Exchange Commission of Pakistan, *Securities and Exchange Commission of Pakistan,* A Presentation to the Planning Commission's Task Force on Private Sector Development: Karachi, April 8, 2009.
[29] Section 3 has been excerpted from the Chairman's Note to the Task Force circulated prior to the third meeting

opportunities to the countries such as Pakistan that have been left behind in the process of industrialization. By "tasks" the UNIDO is referring to the assistance in producing the final products rather than producing the products themselves. If there is some substance in this advice how should Pakistan operationalize it?

- How the growth of the black economy is hurting the development of the economy in general? There is an urgent need to develop a playing filed for enterprises of various sizes. At the moment, small enterprises, by avoiding to pay taxes and also avoiding a number of fairly stringent regulations, have increased their market shares in the local market place at the expense of the large firms. The large producers find it difficult to compete with the SMEs. The SMES can also deal with energy and water shortages by making under-the-table payments to the officials responsible for providing these services. While the development of the SME sector is vital for the country's economic future it should add to the overall efficiency of the economy. Operating in an uneven field reduces the economy's efficiency.

- A review of laws and regulations that are in place will reveal that many of them are no longer needed; the purpose for putting them on the books was to realize a particular goal or solve a certain problem. The Agricultural Marketing Acts in the provinces originally written to protect the Muslim peasantry and small landholders from the non-Muslim shopkeepers have lost their original purpose. But they remain on the books. A review done jointly with the private sector would indicate that many laws and regulations are only creating rent seeking opportunities for the regulators. They serve no particular economic or social interest.

- Taxation and revenue generation is one particular area where a great deal of cleansing needs to be done. The regulations in place should be carefully studied by a joint working group of government officials and private sector people.

- The private sector recognizes the importance of developing international trade as an important determinant of efficient industrialization. The private sector believes that there is an anti-export bias in the government's traditional approach to policymaking pertaining to the promotion of industrialization and increasing the trade/GDP ratio. This is another area where the private sector could work with the government to (a) identify the changes in policies that would create a pro-export orientation and (b) identify the institutions that need to be improved or established to realize the government's objectives.

- The Task Force believes that an important aspect of the trade policy is the Pakistan-Afghanistan Transit Trade Agreement. While providing Kabul with an outlet to the sea is important, the agreement should not create opportunities for enormous leakages that have occurred in the past and continue to occur at present. The modalities of this trade needs to be determined in a way that Pakistan's economic interests are protected.

- Trade with China is another area of interest for the Pakistani businesses. Some have concerns while some other see opportunities. The conclusion is obvious: the dynamics of this trade needs to be studied carefully by the public and private sector working together and recommending policy actions for the state.

- The members of the Task force are deeply concerned about the state of physical infrastructure in the country which has lagged behind the development of the economy and does not meet the needs of a trading nation. They took cognizance of the fact that India, having lagged behind Pakistan, in developing its highway system is rapidly catching up. Pakistan needs to protect its position in South Asia as a leader. The Indians have developed an ambitious program for the development of the highway sector that will closely involve the private sector and the users will be required to pay for the facilities they use. The Trust Force would present the contours of an action plan that would involve the private sector in the development of this vital sector of the economy including the prospect of raising additional resources for investment in the sector.

- Belonging to the sector of infrastructure but demanding a separate treatment is shipping, an area in which the country made a decent beginning in the 1960s but has allowed the industry to run down. Absence of appropriate shipping facilities imposes enormous burdens on exporters including the cost. How could this situation be remedied?

- The Task Force recognizes that Pakistan has not given the sector of agriculture the attention it deserves. Properly developed agriculture could be a major source of exports, not only of grain and other low value added products. It could carve out a decent space for itself in processed food. But this will need investment by the state in infrastructure (cold chains, for instance), technology to increase productivity as well as the quality of products, finance and market advice. Once again, the public and private sectors could partner

- Given the serious shortages that have developed in recent years in the supply of energy, the government needs to develop a well though-out strategy that will ensure that supply will keep up with demand. It is clear that the current gap between supply and demand cannot be closed by the government alone making investment from public funds. There has to be a partnership between the public and private sectors. The Task Force will make recommendations as to the nature of the partnership.

- Pakistan has seriously lagged behind developing the technological base of the economy. There was eloquent talk in the Planning Commission's *Vision 2030* statement about providing the economy a strong technological foundation. That goal is still searching for an operational answer. What kind of strategy is needed and how could the private sector support it? Should the development of e-government be given more attention than it has received and whether e-government could serve as the catalyst for advancing the pace of technological development?

4. Communication with the President

At the final session of the meeting the Task Force also approved the content of the letter the Chairman was to send to the President. The letter identified some of the priorities the government could take into account while preparing the budget for the year 2009-10. It was sent to the President with copies to the Prime Minister and the Ministers of Finance and Planning. The Secretary General to the President informed the Chairman that the letter was given considerable attention by President Zardari. It was also decided that another meeting will be scheduled with the president at the time of the third meeting of the Task Force to be held in Islamabad on July 10 and 11.

C. Third Meeting of the Task Force

(July 10th-July 11th 2009, Islamabad)

1. Opening Discussion

The third meeting of the Planning Commission's Task Force on Private Sector Development opened with a briefing by the Chairman of the Planning Commission flagging some of the industrial sectors that were being considered by the Planning Commission as promising areas of growth. This included the mining sector, specifically the Tharparkar coal fields project; the maritime sector including the development of shipping facilities; and the power sector with a focus on construction of small and medium sized dams. Despite some excellent research and policy work being done by the Planning Commission, lack of implementation due to capacity constraints, governance and coordination issues had slowed down progress. The Planning Commission indicated that it is currently considering the establishment of an internal rapid development fund and private sector delivery mechanisms to speed up implementation of such projects.

Following the statement by the Planning Commission, the Chairman of the Task Force laid out a roadmap for the future work of the task force. This will involve taking a comprehensive look at the investment climate within Pakistan based on the policy work done in the past by the World Bank, and developing a matrix of policy suggestions for private sector development. The input provided by the five working groups that reported to the Karachi meeting of the task force will also be taken into account. These five groups included macroeconomic prospects, large scale manufacturing, international trade, information technology, and human resources development.[30] Further areas of work could include, a review of the work currently being done by the foreign donors' community on private sector development in Pakistan, studying any policy initiatives that have translated into policy changes and evaluating their impact, and performing an institutional mapping of the firm level support that the government provides in terms of the legal, regulatory and public policy structures. The Chair also stressed the need to develop a permanent institutional mechanism that would perform such policy relevant research and analysis on a continuous basis rather than having to resort to such ad hoc forums.

Other members of the Task Force stressed the need to strengthen implementation mechanisms and utilizing the work being done by other research institutions. Building on existing capacity and developing institutional memory would help the Planning Commission deal with the bottlenecks it faces. There is a need to examine the regulatory hindrances that restrict private sector growth and create an anti-export bias. But this should not just be about looking at how public policy affects the firm, but also looking inside the firm to highlight the issues and then identify the areas of public policy for government's focus.

It was agreed that for one area of interest to the private sector this Task Force would develop detailed recommendations for the government, develop a time line for their implementation, identify the institutions that would be required to get involved in implementation, and then request the government to report back to the Task Force, on the progress made in implementing the recommendations. Based on a suggestion by one of the members it was decided that a special working group would be created for shipping which is one sector that has the potential to become an early success.

The Secretary Planning assured the members of the Task Force that the Planning Commission will do its best to ensure that the proposed recommendations are implemented. He identified the Report of the Task Force on Food Security as one area where the government after serious considerations had implemented some of the most important recommendations regarding wheat price support.

2. Reflections on the Approach Paper for the Tenth Five Year Plan

The Planning Commission envisions the Tenth Five Year Plan to be the People's Plan that will focus on achieving sustainable and inclusive growth. [31]The overall strategy is to aim for economic revival within

[30] The sixth working group on small and medium enterprises—an important part of the industrial sector—was not able to report to the Karachi meeting due to some personal problems faced by the designated chairman. This group will be reconstituted.

[31] Government of Pakistan, The New Vision for Pakistan Investing In People Tenth Five Year Plan (2010-2015) Approach Paper, Planning Commission of Pakistan: Islamabad, June 2009.

the macroeconomic stabilization reform program that was under implementation. While the approach paper is designed to merely present an outline of the future plan, the members of the task force made a number of recommendations to strengthen the suggested framework:

Being mindful of implementation constraints: It was stressed that the planning processes were more important than formal plans because with changing circumstances such as external resource availability, world economic situation, and political factors, many assumptions about the fundamentals have to be revised. The Planning processes in the 1960s were vigorous, flexible and effective even though Second and Third plans became out of date within months of approval. The Second Plan (1960-65) was quickly out of date because the resource flows that became available from the United States were much larger than that expected. In the Third Plan (1965-70) the opposite happened. Because of the increases in defense spending occasioned by the September 1965 war with India and cuts in military and economic aid, plan outlays had to be cutback sharply. Nevertheless, 1960s was a period of rapid growth because timely policy adjustments were made and implemented quickly.

Thus while the formulation of Fourth Plan is important , strong mechanisms need to be put in place to review progress, adjust priorities and policies in a flexible and speedy manner. These mechanisms requiring close coordination within the Federal Government and with the provinces do not either exist or function effectively. A strengthened and more focused planning commission can help invigorate and support better policy adjustments and coordination.

The Planning Commission should be mindful of raising very high expectations because the resource and capacity gaps can act as a significant drag on implementation.

***Focus on issues not targets*:** Far too much emphasis is being given to goals and targets while the constraints and policy instruments to achieve the targets are not articulated and analyzed sufficiently. For example the target of developing FATA and Baluchistan is worthy, but there are a number of unresolved questions regarding division of resources. These issues need to be discussed formally for the plan to have any real chance of achieving these goals. Similarly the debates regarding social protection, local governance, decentralization, and accountability need to be recognized before any realistic targets can be set.

Carefully analyze the drivers of growth: Export-led growth must be the cornerstone of the growth strategy But this will require, among other things, that Pakistan's share of world manufactured exports that has remained at 0.18 percent for decades while those of the major developing countries(even excluding China) have improved their market share at least three fold since 1980. Pakistan desperately needs major improvements in total factor productivity because at present it cannot match China or even India's high rates of investment.

Increases in TFP would require skills upgrading, a more diversified production and export structures, movement up the value chain and of course significant increases in investment and l savings rates over 20010-15. Based on a back of the envelope calculation, with a balance of payments deficit of around 5-6percent of GDP, Pakistan needs a marginal saving rate of close to 30 percent to accelerate the annual growth rate to 6-7 percent range.

The perhaps the most serious challenge before the society, government and the private sector is whether this high marginal saving rate , double the historical level can be achieved.

Strengthen macro management capacity: The macroeconomic situation is difficult and would remain so in the foreseeable future. and is evolving over time. The Planning Commission should build up in-house macroeconomic analysis capabilities to ensure that its plan is informed by the macro realities that the economy faces.

Learning from the past: A number of good projects were implemented by the past government, particularly in education. However, a detailed evaluation of these projects has not been carried out. The enormous expenditure on higher education undertaken through the Higher Education Commission has produced some impressive results. There is also anecdotal evidence of the wastage involved. This is a clear case where evaluation would help to improve the design of an important program. It would be useful to learn about the effectiveness of other important government programs, so that in designing new policies the government can be aware of what worked and what did not work in the past.

Focus on simple and effective solutions: A number of problems can be mitigated by adopting simple, low cost, yet highly effective solutions. For example, water availability and management can be improved by lining the canals, use of drip irrigation and increasing water rates to force more careful use of water. Similarly energy conservation and indigenous hydro-electric power through small dams have very considerable potential.

Take cognizance of the changes in global trading patterns: Today, the largest manufacturing trade in is tasks and components. According to a recent UNIDO report, countries like Pakistan that are lagging in industrial development can create a space for themselves in the trading arena by focusing on parts, components, and processes, rather than finished products.[32] The big question is to determine the kind of strategic relationships that need to be developed to enable the local firms to take advantage of the growing trade in tasks.

Diversification supported by a clear public policy: While agricultural growth rate can be increased to 4-4.5 per cent per annum, the emphasis on agriculture as the engine of growth may be misplaced, as Pakistan faces a shortage of water and arable land in the near future. Given the changes in global supply chain processes and their relocation across the world, Pakistan may do well to build up the existing small scale manufacturing in electronic parts, plant equipment and machinery to provide inputs for final products. Such a diversification strategy will require public sector involvement and support.

Shifts in demographic patterns: Unlike China where most of the urbanization will be concentrated in the coastal areas; Pakistan and India will experience urbanization along the newly built or improved highway networks. It is expected that around 200 new cities of 4-5 million residents will emerge along the highways in the next few decades. The government needs to take account of such shifts in urbanization and plan accordingly for the delivery of services.

Availability and cost of power: The cost of power can be reduced through more efficient power generation, management, and distribution. The government should create an energy board with the appropriate technical capacity. It should also look into the privatization of loss-making distribution companies.[33] Although alternate energy may not be feasible for large scale production, it could have a role in rural electrification, given the low cost of transmission. Solar power could be utilized in remote areas where the cost of adding one more village to the system is very high.

3. Discussion on the Federal Budget, 2009-10

The private sector had high pre-budget expectations due to consensus with the budget makers regarding few key areas of concern. This included the need to revive large scale manufacturing, broadening the tax

[32] United Nations Industrial Development Organization, Industrial Development Report 2009 Breaking In and Moving Up: New Industrial Challenges for the Bottom Billion and Middle Income Countries, UNIDO: London, 2009.

[33] The energy sector was compared to the telecom sector which has been completely de-regulated. Members observed that the de-regulation of the telecom sector has increased competition and improved service delivery. While the power sector that was only partially de-regulated (production) has failed to provide uninterrupted service at affordable prices.

net and sectoral equity of the tax base, public-private collaboration in development of human resource capital, and the need to bring about bold policy changes to encourage exports. However, the private sector recommendations regarding these areas were not implemented even though assurance was given that they would be incorporated in the budget package. The discussion by members of the task force highlighted the following points:

Incentives for export led growth: The members identified a few key industries that had the potential to become export industries. This includes electrical and mechanical engineering products such as cast and forged steel parts, auto and machinery components. In addition to production Pakistan can also take advantage of cheap labor in performing assembly of final or intermediate products. Chemicals and pharmaceuticals, and information technology are the other two sectors that have export potential. Pakistan may not have a comparative advantage in finished products but it can perform valuable downstream activities and processes cheaply. The government needs to provide incentives for these sectors compatible with its WTO obligations. The members also stressed the importance of sunset clauses in providing incentives and cautioned against giving an unconditional lifeline to non-competitive firms especially in cotton spinning. In order to encourage entrepreneurial activity, a special focus on human resource and skills development will also be needed, in addition to monetary incentives.

Leveling the playing field: A number of regulatory and policy changes are required to level the playing field between formal and informal sectors of the economy, and between foreign and local investors. A number of recommendations for "forcing" large players in the informal sector into the tax net were not implemented in the budget. [34] The taxation laws also need to be rationalized such that outdated incentives that were given to foreign investors are removed in order to remove barriers that discourage local private investors.

Short term remedies: In the short term a focus on high value addition activities in textiles such as stitching and forward integration can increase Pakistan's exports. Stitching is a low investment, low skill task that will also encourage women's participation in the workforce. Bangladesh is a good example of a country that has achieved remarkable social progress by encouraging the development of the readymade garments industry. It has allowed women to develop independent sources of income which has helped them to exercise some control over their lives. Stitching and garments sector in Pakistan also has the potential to provide substantial employment and supplement foreign exchange earnings in the short term.

Encouraging firm level growth: In the context of the textile sector, the members also discussed why local firms do not move up the value chain. The following barriers to expansion were identified: outdated labor laws from the socialist era which restrict overtime and the number of hours that can be worked; rescue financing for sick firms by the banks that acts as a disincentive for firms to move away from unprofitable activities and also prevents the efficient firms from competing effectively; and regulatory gaps such as the absence of well-defined insolvency and restructuring mechanism. The World Bank indicated that a significant amount of assistance had already been provided in simplifying labor laws and developing a corporate restricting mechanism. However, it seemed that these laws are yet to be implemented. Response of labor sectory should be added. Unfortunately I have misplaced my notes of that meeting

Private Sector Incentives in the Federal Budget Revisited: One of the strategic thrusts of the budget is industrial revival. The budget allocates Rs. 40 billion for an Export Investment Support Fund, reduction

[34] This includes a tax incentive for corporations "buying: at least 90 percent of their supplies from registered suppliers, extension of compulsory tax filing to large segments of the economy, broadening the VAT base by extension to services such as lawyers, accountants, and doctors.
Abdul Razak Dawood, *Reaction of the Private Sector to the Federal Budget,* A Presentation to the Planning Commission's Task Force on Private Sector Development: Islamabad, July 10, 2009.

of Federal Excise Duty on cement and locally assembled autos, import tariff rationalization and other measures for private sector and SME development.[35] While the members of the Task Force appreciated the efforts of the government in this area, they cautioned against the misuse of the export support fund as a bailout for non-competitive units, and the misuse of tariff rationalization for protectionism. They also stressed the need for having a concrete strategy for private sector development rather than merely giving open ended incentives.

4. Discussion on Pakistan-Afghanistan Transit Trade

The Ministry of Commerce informed the Task Force that the government was currently in the process of negotiating a new transit trade agreement to replace the 1965 agreement. The need for a new agreement has become imperative due to the substantial pilferage and smuggling of goods and the emergence of regional trading possibilities. The Ministry is negotiating the new agreement with the Government of Afghanistan, in coordination with other concerned government departments. [36] A general consensus has been reached regarding the architecture of the agreement. The agreement shall address the following areas: customs and trade facilitation measures, transportation, transit and trade policy, and security and visa policies. Secretary Commerce promised to circulate the draft agreement to the Task Force members when it was ready to be distributed.

The discussion following the presentation raised the following points:

- ***Addressing leakages:*** Some proposals being discussed are tracking of sensitive products, harmonization of tariffs, and developing a joint mechanism to take care of leakages. However, the government still needs to develop and operationalize specific mechanisms to regularize the informal trade and curb the smuggling of goods.

- ***Protecting local industry:*** The most serious concern of the private sector is that the informal importation of goods from Afghanistan is hurting the local industry. Therefore, Pakistan should adopt a proactive stance in stopping these imports from Afghanistan. Some members of the Task Force were of the opinion that the government should make use of the provisions in the WTO agreements (such as safeguard mechanisms and bank guarantees) to stop the flow of goods from Afghanistan. Case studies of other countries facing similar problems such as India, Nepal, and Bangladesh could be used to devise a strategy to address this problem. The Secretary Commerce stressed that the Transit Trade Agreement was not considering expanding the "negative list" of products. He pointed out that it was not the formal trade that was hurting the local industry but the informal trade. Therefore what was needed was an effective monitoring mechanism and removing tariff distortions that encourage smuggling.

5. Discussion on Export Competitiveness (World Bank)

The World Bank presented the main elements of a concept note that will be used to develop policy recommendations for increasing competitiveness and export growth. The World Bank will produce an ***Export Competitiveness Policy Note Series*** of five to seven analytical and policy related topics covering

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[35] Sakib Sherani, *Pakistan Budget: 2009-10*, A Presentation to the Planning Commission's Task Force on Private Sector Development: Islamabad, July 11, 2009.
[36] Communications, Interior, MOFA, Railways, NLC, Ports & Shipping and FBR are represented in the negotiating team

a range of issues raised by the Strategic Trade Policy Framework of the Ministry of Commerce. These notes will provide recommendations for increasing and diversifying exports in the short and medium run. The proposed topics for the policy notes are as follows: [37]

"Policy Note 1: Detailed analysis of Pakistan's exports—firms, products, markets and competitors, trends and prospects. Set the empirical stage by identifying micro trends, constraints and opportunities in market and product areas.

Policy Note 2: Assessment of impact of changing world conditions on trade following the global financial crises, international, regional and bilateral agreements, security issues, and other exogenous factors impacting Pakistan's export potential.

Policy Note 3: Analyze Pakistan's trade policy from the perspective of the role of tax, trade, tariff and exchange rate policies on the degree of anti-export bias inherent in the policy framework.

Policy Note 4: Provide an assessment of efficacy and impact of specific export promotion efforts on trade outcomes.

Policy Note 5: As SME's dominate Pakistan's industrial and service landscape a cluster based approach will articulate institutional, policy and operational reforms necessary for enhancing the trade orientation and pace of innovation at the firm level."[38]

The discussion following the presentation focused on the following points:

- ***Flexible labor laws:*** The organized manufacturing sector has not shown any noticeable growth, and the employment in large scale manufacturing has remained essentially stagnant. Outdated labor laws may be one reason why manufacturing has not been able to expand. The labor laws need to be made more flexible to allow the private sector to take advantage of opportunities as they arise. The Secretary Labor pointed out that the government was trying to simplify the 70 different laws and regulations into 5 codes. However, the new laws could only be adopted by the provincial governments. The implementation of laws and prevention of labor code violation at the firm level remains a challenging task. It may be easier to achieve enforcement within large firms but it was highly difficult to monitor smaller firms that were being sub-contracted to. The World Bank suggested that the government may want to look into enforcement by international agencies such as the ILO. The Bank can also look into the impact of labor laws on exports, using data from the recently completed survey of global buyers. Other suggestions regarding labor included raising the productivity of workers and devolving labor welfare provision to firms.

- ***Structural barriers:*** Members of the Task Force emphasized the need to understand the structural barriers that impeded the entry of new players in the private sector. Currently a handful of the large players are operating in a number of sectors, but there is a need to bring in more firms. Access to capital may be a large structural barrier that impedes the entry of new players, and slows down the growth of existing firms. Members observed that capital is still being allocated by the banks on the basis of political connections rather than on the basis of talent.

[37] Eric Manes, Mallika Shakya, *Towards Enhanced Competitiveness and Export Growth*, A Presentation to the Planning Commission's Task Force on Private Sector Development: Islamabad, July 11, 2009.
[38] Eric Manes, Mallika Shakya, *Towards Enhanced Competitiveness and Export Growth*, A Presentation to the Planning Commission's Task Force on Private Sector Development: Islamabad, July 11, 2009.

6. Discussion on Pakistan-China Trade

The Government of Pakistan has signed a bilateral agreement with China on trade in goods and investment that became operational in 2007. The Ministry of Commerce has also concluded a trade in services agreement with China. Under the present FTA Pakistan has eliminated tariffs on the following sectors: fresh fruits and vegetables, mineral products, organic chemicals, machinery, mechanical appliances and parts. China has reciprocated tariff elimination of fresh fruits, vegetables and mineral products. It has also eliminated tariffs on gum, resin, textile saps, alcohol, medicaments, dyes and pigments, leather, and textiles. [39] Pakistan is protecting the cotton yarn, textiles, garments, engineering and auto sector (amongst others) while China is protecting agricultural products, garments, and auto sectors (for details see Ministry of Commerce presentation).

Opportunity or Threat: Pakistan's large scale manufacturing has not experienced any noticeable gains from the FTA. Some of the reasons that have been identified for this include: the low quality of Pakistani products, lack of awareness about the FTA among Pakistani exporters and Chinese importers, and also because Pakistan and China are mostly competitors and produce similar products.[40] In the imports of textile yam and fabric there is a significant discrepancy in the figures reported by the Chinese and Pakistani governments, which indicates the prevalence of under-invoicing and informal trade.

However, the Chinese industry can represent a source of opportunity for Pakistani manufacturers if they concentrate on the supply of parts, components or the performance of certain processes for Chinese manufacturers. Auto parts and electrical components are examples of sectors that can develop strategic relationships with Chinese auto and electrical industry that is still in the growth stage. Identifying such linkages together with promotional efforts can help Pakistani industry create a space for itself in the global trading arena.

7. Future Work of the Task Force

The next meeting of the Task Force will take place in mid-October. The Chair requested four working groups, namely Shipping, Pakistan-India Trade, Pakistan-China Trade, and Pakistan-Afghanistan Trade, to report to the next meeting with their findings and recommendations.

He also requested the government to make two presentations to the Task Force on (a) progress made in the defining and implementation of the National Trade Corridor Project, and (b) scope of the discoveries of copper and other minerals in Balochistan and the plans for their exploitation. The Chairman also indicated that he will submit the Interim Report of the Task Force to the Fourth Meeting. It will be sent to the government after discussion by the Task Force with a request for publication and wide dissemination. The Chairman will shortly circulate the draft outline of the report to the members of the Task Force.

8. Meeting with President Zardari

After the conclusion of the third meeting, the Task Force members called on the president and spent tow hour with him on the afternoon of July 11th. The president was briefed on the discussions at the meeting by the Chairman and the Task Force members present at the meeting. There was a lively exchange of views and the president requested that some additional policy notes be prepared for him. This list will be provided to the Task Force members by the Chairman in a separate note.

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[39] Ministry of Commerce, *Pakistan-China FTA*, A Presentation to the Planning Commission's Task Force on Private Sector Development: Islamabad, July 11, 2009.

[40] Samir S. Amir, *Impact of China on the Pakistani Economy*, A Presentation to the Planning Commission's Task Force on Private Sector Development: Islamabad, July 11, 2009.

D. Fourth Meeting of the Task Force

(February 12-13th 2010, Islamabad)

1. Opening Session

Welcome address by Secretary Planning Ashraf Hyat

The 4th meeting of the Task Force on Private Sector Development took place at the Planning Commission in Islamabad. The first session was opened by Secretary Planning who welcomed the members of the Task Force to the meeting. The Secretary hoped the private sector would be instrumental in leading the development efforts in the country. He ensured the members of the Task Force that the government would play its role by supplying the essential public goods to support private sector development. This would include a focus on creating competitive infrastructure, appropriate legal framework, de-regulation and other efforts to optimize the working of the markets.

The Secretary noted that while implementation remains a concern, the Planning Commission and the government would work diligently to implement the recommendations made by the Task Force on a priority basis.

Statement by Finance Minister Shaukat Tarin

The Finance Minister gave the Task Force an overview of the government's economic reforms program. He noted that private sector development is an important component of the government's nine-point economic agenda. The government is committed to focus on the development of the much neglected manufacturing sector and trade competitiveness.

Minister Tarin observed that historically the government has papered over structural flaws. High growth has coincided with inflow of external financing which was driven completely by geo-political events rather than favorable economic fundamentals. This led to high volatility in growth that became a persistent feature of the economic growth story of the country. In particular there has been a lack of attention and resources devoted to sustainable private sector development in recent years. The result is that the growth rates have slipped by almost a percent every year. The agriculture sector has experienced the same kind of neglect with the result that Pakistan is lagging behind all its regional comparators in productivity and value addition.

The Minister stressed the need to take revolutionary steps to address these structural flaws in order to expand the resource envelope of the country. This will require the government to achieve the following:

- Modernization of the agro based industries through productivity enhancements and provision of adequate infrastructure to support value addition
- Convert the population bulge into a population divided to absorb the 1.5-2 million people entering the labor force every year
- Raise the tax to GDP ratio to a minimum of 15 percent in the next 5 years and take it to 20 percent in the next 10 years. With the present burden of the current expenditures and a tax to GDP ratio of just about 10 percent the entire development expenditure is being met through borrowing. The government will need to achieve fundamental tax reforms to enable the country to move towards correcting this vulnerability

The Minister gave the Task Force an overview of the economic reform program of the government. He explained that despite stiff resistance from vested interests, the government was planning to undertake a number of tax reforms in the upcoming budget. This would include bringing in four areas of services into the tax net, converting the capital value tax on property which was regressive in nature into a capital gains tax with a dynamic rate, introducing a capital gains tax on securities trade (for which talks will be held soon with stock exchanges) and moving to a complete VAT regime which would involve broadening the coverage in the retail sector. Currently the manufacturing sector contributes 60 percent of the taxes despite comprising only 18 percent of the GDP. This signifies the need to expand the tax base. The government also remained committed to introducing a tax on agricultural income and currently there are efforts underway to convince the provincial governments to highlight the costs of excluding agriculture from the tax net.

In addition to the above tax reform strategy the government is also committed to reducing public sector borrowing which crowds out private sector borrowing. This would help reduce the interest rates, make credit available at cheaper rates, which would lead to higher investment. Controlling the fiscal deficit would also help lower inflation rates which would further encourage investment.

The government also plans to increase its expenditures on health and education from the present 2 percent to 8 percent of GDP by adding one percent every year from 2010 to 2014. This would help accelerate the rate of human development in the country.

The Minister noted that the industrial sector has a very narrow base and remains highly fragmented. Firms continue to remain small and family oriented. This was true of all industries whether it is leather, light engineering, sports goods, agro industry, etc. Low value addition and productivity problems plague firms in all these sectors. The result is that firms are only able to compete on prices in the world market and are lagging behind in quality and innovation. Some of the reforms being undertaken by the government for improving the productivity of the private sector include:

- Introduction of a bankruptcy law by setting up a Resolution Trust Corporation (RTC)—a public-private sector enterprise in which the public sector provides the financial support and the private sector is the manager

- Setting up a full range of Special Economic Zones (SEZs) across the country

- Incentives to encourage value addition in textiles as contained in the recent textiles policy. The government is also considering incentives for sectors such as pharmaceuticals, automotive, mining and telecom for diversification of the industrial base.

- A cabinet committee has been set up for restructuring of public enterprises in order to put an end to huge losses incurred by them and eradication of corruption and nepotism in these entities by restructuring their Boards. The government aims to get rid of the Rs 250 billion losses of these public sector companies which add a burden of 1.5 percent of GDP to the national exchequer.

The government has also formulated a comprehensive governance and institutional reform agenda to improve the functioning of various government departments to deliver sustained growth in a transparent and accountable manner. Some of the reforms under consideration are:

- Convert the Planning Commission into a fully functioning think tank of the government which will not only prepare plans but also engage in oversight of implementation. The government also plans to subsume the Economic Advisory Council of Finance Ministry into the Planning Commission to remove organizational overlap

- Convert SBP, OGRA, NEPRA, PEMRA, SECP, CCP into independent regulators which are strong and powerful enough to implement their mandate and provide oversight for efficient functioning of markets

- The office of the Auditor General of Pakistan must be made independent and should only report to the Public Accounts Committee

- The government is also working to make Federal Bureau of Statistics (FBS) fully independent and helping it upgrade through linkage programs with international agencies such as Statistics Canada and Federal Statistics Office of Germany.

- Strengthened coordination between the legislature and the bureaucracy and greater oversight by the parliament, for e.g., the 3 year Medium Term Budgeting Framework should be shared with different budgetary committees of the parliament to increase oversight and initiate a continuous flow of information. Similarly, the heads of all regulatory agencies such as the SBP, CCP etc should be appointed after ratification by the parliament.

- Implement the recommendations of the National Government Reform Commission and Pay and Pension Commission to make the government an employer of choice and introduce a world class human resource management system in place of the present Establishment Division.

These actions would help make the government more efficient, accountable and self-reliant, which would lay the foundations for achieving sustained and equitable growth. The Minister concluded his statement by ensuring the Task Force that its recommendations will be taken very seriously by the government which remains committed to private sector development. The government maybe forced to take small steps at a time but it would it take the right steps that would help overcome the structural weaknesses on the economy and put it on a higher growth path.

Remarks by the Deputy Chairman Planning Ishfaq Hasan

The Deputy Chairman welcomed the members of the Task Force while acknowledging the value contribution the group has already made to the FY09-10 budget and the Approach Paper for the 10th Five Year Plan. He emphasized that the government remained committed to the goal of positioning the economy on a stable and high growth path, with a view to increase competitiveness and facilitate private sector development. He welcomed the interim recommendations of the Task Force and ensured the members of his commitment to implement them.

Reactions of the Task Force

Chairman Shahid Javed Burki thanked the Minister for sharing his economic reform plan with the Task Force. In his remarks he emphasized the critical importance of putting Pakistan on a sustained growth path. Decomposition of the historical growth rates (into trend and cyclical components) shows that while Pakistan was on an upward growth path from its inception until about 1970s, since then the trend growth has been on the decline which is extremely worrisome for the policymakers. Periods of external assistance inflow have coincided with high above average growth but this was quickly reversed as the flows stopped. In fact reliance on these flows has led to grave moral hazard on the part of the policymakers to eschew reforms. While the government had outlined a comprehensive reform agenda for the near term the

Chair requested the government to provide more information on what was being done to reform the legal system and to wean the economy away from its dependence on agriculture and primary commodities given the enormous structural changes that have taken place in the global economy.

In response to these questions the Minister informed the Task Force that a Constitutional Committee was working on proposing reforms for the legal system. While the government has been putting in place new laws such as the competition law, the reform of judicial system and functioning of courts was also extremely important for timely disposal of cases and dispute settlement. The Minister acknowledged that in the past the government had fallen short of providing a level playing field for all economic actors and citizens. Now the government is working on a World Bank funded project to identify and implement much needed judicial reforms and it remains committed to help the courts and especially commercial courts to function well. However this will require active participation from the judicial side as well.

The government also remains mindful of broadening the export base which is currently dominated by cotton and textile products. It is working on developing an industrial policy to help develop the sunrise industries and also to manage adjustment in the sunset industries. The government needs to expand the industrial base but this requires investments in human resources, infrastructure and other public goods.

In response to a further question the Minister also noted that the government was also working on an Alternate Dispute Resolution law. Mr. Asad Omer emphasized the importance of education and skills development suggesting that once the government had completed the household level income mapping exercise it should initiate a targeted training program. The government should raise its expenditures on education and also implement PPP in delivering education to the masses.

2. Presentation of the Interim Report

The second session started with the presentation of the Interim Report by Chairman Shahid Javed Burki. The Private Sector Development Task Force was set up in November 2008 at a time of crisis. The crisis has dissipated since then but the critical vulnerabilities that propelled the crisis have not been corrected. This will hamper sustained growth of the economy. The Task Force deliberations have focused on both macro and micro reforms, while emphasizing the role of both the government and private sector in achieving these reforms. The outcome of these deliberations led to six areas of focus for the government as noted below:

- Manage-macroeconomic policy for stability and financial sector deepening
- Implement new trade policy by eliminating export bias and subsidy culture, look for new markets and global supply chains
- Improve the environment for the Firm through governance of the market and reduced cost of doing business.
- Infrastructure development for power and transport through Market Reform and Public Private Partnerships for financing
- Create Public Goods for technology upgrading and human skills development
- Enable adjustment through transparent Safety Nets

The Chair proposed that the Task Force should study line by line the recommendations put forward in the Interim Report and re-convene to discuss the findings. Thereafter the report would be revised in light of the comments and discussion to develop a consensus based package of recommendations for the government.

3. Discussion on the Interim Report

After the discussion session during which the Task Force members deliberated the findings of the Interim Report, Dr. Rashid Amjad Chief Economist of the Planning Commission summed up the main comments of the discussion. Dr. Amjad reported that there is a broad consensus on the six areas of focus as well as the thrust of the recommendations. The members agreed that the interim report touches all the core issues relevant for a concrete private sector development strategy. The main comments on the findings and recommendations are noted below:

- A number of the areas of focus identified in the report are already being worked on in detail by various segments of the government. There are some members of the Task Force who are participating in these groups. Therefore it would be a good idea for these members to apprise the Task Force on the recommendations and findings of various other efforts so that this Task Force can endorse these findings.

- There is a need to work out further details such as identifying basic actions that can become part of the government's near term plans (Budget, Annual Development Plan, 3 year Plan, 5 year Plan etc.)

- On the macro economy there are a few important messages. Inflation needs to be tackled with high priority since it is getting entrenched into expectations. As a result cost of doing business is being affected as well. At the same time the state is crowding out private sector investment. Government intervention in pricing is distorting the process of inflation stabilization.

- There is a need to take account of the implications of the NFC award which gives the provincial governments a lot more authority. The public sector needs to be involved more effectively at all levels in the provision of infrastructure (particularly energy and water) which should be an important priority of any future strategy. On infrastructure there are a number of issues:

    - Private sector involvement in power sector is not efficient- it is involved only in generation but not production

    - Railways needs complete revamping as does shipping and other logistical infrastructure

    - New ways of refinancing infrastructure need to be developed

The group also discussed the following issues with respect to export and overall competitiveness of the economy:

- Stability of exchange rate as a macro objective is important but the government should not create artificial stability

- Anti-export bias needs to be removed- (tax and non-tax distortions in incentives to export)

- Cost of doing business has gone up and firms face incredible costs as much as 10-15 percent of total value added. The government thus needs to pursue market access in the

US and EU more aggressively to ensure Pakistani exports in these markets remain competitive

- Taxation structure and levies on the private sector such as the workers participation fund and workers welfare fund are taxes that should be recycled into the private sector through transparent mechanisms for use in skills development fund. This fund should be available to only registered companies in the private sector.

- Despite having a large labor force there is a skills shortage particularly at the middle management level. The government can help set up a system of certifying vocational training institutes but private sector should take the lead in managing skills development programs

The undocumented sector is negatively affecting the growth of formal sector and also contributing to the rise in informal trade. In order to level the playing field between the documented and the undocumented sector there is a need to develop home grown solutions such as capacity taxes, de-regulation and simplification of regulations, removing price controls and strengthen the regulators especially the CCP and SECP. Another possibility is to have incentives built into sub-contracting system (by registered vendors) to encourage registration of informal sector firms

The group also made some comments on the development o f specific sectors:

- Agri-business- Value addition requires public good investments all along the value chain from large warehousing down to the certification- in this area small investments can have a significant impact

- IT sector – Export earnings from this maybe much higher than we are currently estimating. Pakistan could be much more competitive than India because Pakistani firms are engaging in higher value addition activities. However the firms remain small and are unable to acquire efficient scale. One way of achieving this would be if government sector spending in IT increases- through outsourcing of operations to private sector (e-government). This would not only entail a change in the way government carries out day to day processes but also a produce greater transparency in its operations. Another important issue is that of travel advisories and security clearance procedures which is adversely affecting traffic of business people both ways.

Free trade and regional trade arrangements need much more analytical work. Government policy is not based on a any kind of economic cost/benefits analysis

Foreign investment needs to be brought into the trade policy framework. If we look at trading and investment pattern in the East Asian bloc (ASEAN +10) it becomes obvious that these countries have specialized in various parts of the supply chain through foreign investment. Intra-industry trade and specializing in parts, components, or processes instead of finished products should be the strategy for Pakistan. The cascading structure of duty taxes may also have a negative impact on encouraging intermediate goods specialization (petro chemicals example). In the new global environment trade follows investment therefore there is a need to jumpstart the process –even a single project between India and Pakistan (with 50-50 joint venture in both countries) may help by creating a demonstration effect. This strategy needs to be worked out in cognizance of the economic activities and developments in the region particularly India and China. Above all, the government should not let political considerations become the sole determinant of economic ties with India and the broader region. Policy makers need to factor in the economic costs and benefits of bilateral and regional trading arrangements.

On the following day the Chair discussed the recommendations of the Interim Report with the Task Force in detail. The various comments were noted down and it also was requested that the private sector should submit detailed responses and reactions to the 60 or so recommendations under consideration in the 6 areas of focus. The members agreed and it was decided that the Pakistan Business Council would submit a detailed response to the Interim Report in the coming weeks. The Chair will also send a letter to the Task Force members to inform it regarding the recommendations being put forward by other groups focusing on the above 6 issues so these could be incorporated as required.

After these recommendations have been finalized the Planning Commission will be asked to come up with a detailed implementation plan to be presented to the Task Force covering the following areas:

- Policy Instruments and Actions (budget, five-year plan, annual development plan, trade policy)etc.)
- Institutional responsibility (ministries, agencies, provinces, etc.)
- Time frame
- Specific mechanisms (laws, regulations, government directives etc.)

The Interim Report will also include a Donor Support Matrix that contains a mapping of operational and planned donor programs in the areas of private sector development. The Chair will request the Competitiveness Support Fund (CSF) to produce this matrix in collaboration with other donors which will include the following elements:

- Desired outcomes and goals of current and planned programs
- Estimated costs
- Source of funds (donor agency)
- Type of Instrument (technical assistance, analytical work, investment and policy advice)
- Time frame for implementation
- Government partnering agencies

4. Presentations on Trade, Business Research and Innovation

Dr. Safdar Sohail, Director General of Pakistan Institute of Trade And Development (PITAD) presented an overview of the Ministry of Commerce's Strategic Trade Policy Framework (STPF) 2009-12. The STPF contains three major shifts in the way the government thinks about trade policy, namely moving to a trade policy based on competitive advantage rather than comparative advantage, helping improve firm level competitiveness and the provision of public goods instead of subsidies. While the members of the Task Force appreciated this strategic shift in the way Ministry of Commerce was thinking about trade policy, they emphasized the need for government to translate its plans into actions.

Dr. Qazi Masood Ahmad, Director Research at the Institute of Business Administration (IBA) Karachi presented the research plan of the Center for Business and Economic Research. IBA is planning to develop a comprehensive program to study the problems of private sector development with a specific focus at the "Firm" level. The research would involve both a cross-sectoral approach to identify the structural constraints in the business environment and a within-sector approach with a focus on upcoming industries. The Task Force welcomed the proposed research activities and encouraged IBA to probe further into the question of why Pakistani firms stay small. A review of the previous literature especially in the area of Industrial Organization that has been neglected in recent decades would greatly help the policymakers today. The Task Force also encouraged IBA to collaborate with other business research institutes working on a similar program to take advantage of synergies and avoid overlap.

Dr. Arshad Ali School of the School of Engineering, Electrical and Computer Sciences at National University of Sciences and Technology (NUST) gave the Task Force an overview of the research activities being carried out at NUST in the areas of technological upgrading and innovation. Dr. Ali informed the Task Force that NUST was planning to set up a fully functional technology park on its campus to create stronger linkages between industry and academic research. Many of its design and research labs are already partnering with private sector firms to provide them with software and hardware support services, while a number of its students have launched successful startup firms. The Task Force while appreciating NUST's achievements emphasized the need to promote commercialize-able research and to develop new technologies based on an assessment of demand conditions. Members of the Task Force also highlighted the need to develop a comprehensive and streamlined Intellectual Property Rights regime that would encourage entrepreneurs and business to invest more in R and D. Laws such as insolvency and restructuring framework relating to venture capital and start ups would also help promote greater activity in this area.

5. Concluding Session

The Chair concluded the 4th meeting of the Task Force by thanking the members for their active participation noting that the Task Force had done a lot of productive work in moving forward towards a comprehensive strategy for private sector development. He hoped that the Planning Commission would mobilize the necessary resources to prepare an implementation plan that would be presented to the Task Force at its next meeting in May.

The Chair observed that there has been an enormous amount of frustration amongst the private sector because despite their enthusiastic participation at these meetings things have been slow to change. For example Public-Private-Partnership in infrastructure has long been one of the policy goals of the government but it still remains a challenge of how to convert it into a going concern. This Task Force was fully committed to remain engaged with the government in an iterative process to implement the necessary policy changes. He noted that he has requested the Pakistan Business Council to submit a detailed response on the 60 or so recommendations as laid out in the Interim Report so that a consensus based package could be delivered to the government by the private sector. The Chair was also encouraged by the fact that Planning Commission's Chief Economist considered private sector development as a key driver of economic growth. Therefore, he hoped that the Planning Commission and the government would make the implementation of these recommendations one of its top priorities.

The Deputy Chairman of the Planning Commission thanked Chairman Burki and the Task Force for their efforts in charting out a private sector development program. He emphasized that since the democratic transition the country has been dealing with a number of crises originating from the global economic meltdown, military operations in the north-west region of the country and the ensuing humanitarian situation due to millions of internally displaced persons. Pakistan has shown resilience in dealing with these crises. The government is focusing not only on stabilizing the macroeconomic situation but also to consolidate the current political and administrative setup. The Deputy Chairman emphasized that despite the difficult political situation the present government was cognizant of the importance of both security and economic growth. The challenge that the government currently faces and has always struggled with is to implement what is doable. Notwithstanding these challenges the Planning Commission will lend its full support to the Task Force. He proposed setting up a monitoring cell in the Planning Commission to monitor and follow up on the work of different task forces so that their proposals are utilized.

Chairman Burki thanked the Deputy Chairman and the Planning Commission for their commitment and support. He concluded the session by apprising the members of the Task Force of the points of discussion for the meetings scheduled with the Prime Minister and President. These areas are as follows:

- Expand the tax base to increase the tax to GDP ratio, reduce corporate rates and introduce a fully functional VAT regime with minimum exemptions.
- Produce a subsidy map to quantify the cost and benefits to the economy of various subsidies, SROs and fiscal incentives. Publish a book with all the SROs.
- Work with private sector to create a policy environment to scale up firms, improve technology and increase exports.
- Simplify trade laws and encourage regional trade.
- Invest in improving physical infrastructure, particularly shipping and development of ports.
- Review all laws pertaining to business and economic matters with the goal to consolidate and eliminate those that are antiquated.

ANNEX 5: PROCEEDINGS OF THE 5TH MEETING OF THE PRIVATE SECTOR DEVELOPMENT TASK FORCE

October 28th-29th, 2010
Islamabad

1. Opening Session

The Task Force on Private Sector Development met on October 28th-29th 2010 at the Planning Commission to present its final report to the government and to deliberate the process for taking the report to the implementation stage.

The meeting opened with Secretary Planning Ashraf Hayat welcoming the Chairman, members of the Task Force, and the World Bank mission members for participating in the 5th meeting of the group. The Secretary thanked the group for its continued efforts and commitment to helping the government move forward on developing a comprehensive private sector development agenda for re-starting the growth process and placing the country on a steady growth path.

2. Presentation and Discussion of the Task Force Final Report

2.1 Presentation of the Final Report

The Chairman Shahid Javed Burki presented the main recommendations of the Task Force Final Report. The Chairman organized his presentation around four key issues: the current economic situation, a brief overview of the state of the private sector in Pakistan, the main findings of the Task Force, and the scope of follow-up work by the government and donors such as World Bank, DfID and possibly the USAID.

Chairman Burki opened his presentation by noting that Pakistan is today South Asia's poorest performing economy with a GNI growth rate of one third that of India and only half of that of Bangladesh. Unless the trend in Pakistan's downward growth performance is reversed, the pool of the poverty will continue to swell at 6-7 million per year from its current estimated size of 60 million. This has grave implications for the social and political instability especially in the sprawling urban areas. The floods of 2010 which are the greatest crisis to have hit Pakistan in its turbulent history have caused an estimated damage of $9-10 billion in assets and a loss of close to 1 percentage point in GNI growth. However, historical experience of a number of countries- such as India, Mexico and others- suggests that economies in crises can rebound quickly if the right public policies are put in place. Central to producing such a policy framework requires a close collaboration between the government, private sector, and other societal stakeholders.

The private sector in Pakistan has gone through periods of ups and downs. From the private-led growth model pursued between 1947 up until 1972 the country shifted to a state-led growth model as a result of the Great Nationalizations of 1972 and 1974. Even though the process of privatization started in 1991 and the first half of the 2000 decade reduced the role of the state in business, much remains to be done as a number of important enterprises in the utilities sector are in the hands of the public sector incurring severe losses. Although 90 percent of the economy today is controlled by the private sector the culture of government subsidies to certain sectors and firms persists which has created a large budgetary burden. The present situation of the private sector is that it is dominated by very small enterprises that remain inward oriented, technologically backward, employ low-skilled labor and produce low sophistication products. These enterprises remain small primarily because of the regulatory system in place.

The Chairman then presented an overview of the main findings of the Task Force organizing these findings along seven areas:

1. Rationalization and expansion of the fiscal base with the goal to increase tax to GDP ratio from the current 9 percent to 17 percent over a period of 5 years

2. Developing an institutional and analytical framework to guide the process of fiscal decentralization

3. Removing the anti-export bias in the management of the economy and move towards export-led growth

4. Developing the Pakistani firm by (a) rationalizing the regulatory system (b) providing it with better access to institutional finances, and (c) improving its technological base

5. Implementing a well-financed program to improve and develop the infrastructure base of the economy

6. Improving the educational and skill base of the economy

7. Setting up an institutional mechanism for implementing the recommendations of the Task Force and involvement of the Task Force in overseeing the process of implementation

In order to take action based on the agenda developed by the Task Force the government with the help of the donor community should undertake the following initiatives as next steps;

1. Review of the trade policy with a view to placing greater focus on export-led growth

2. Inventory of subsidies granted to the private sector with a view to their rationalization

3. Inventory of available physical infrastructure, determining development priorities and mechanisms for financing them

4. Review of economic laws on the books with a view to rationalize them

5. The government to develop an implementation mechanism for the Task Force recommendations

6. Improving the functioning of the government by reforming the civil service structure

7. Launch of a public awareness program to create a constituency for reforms leading to a new social compact for the country

Chairman Burki concluded his presentation by emphasizing the urgent need to develop a shared vision for growth and private sector development based on public-private dialogue that would help Pakistan recover quickly from its current economic situation which is the lowest point ever reached.

2.2 Remarks by Deputy Chairman of the Planning Commission

The Deputy Chairman of the Planning Commission, Nadeem-ul-Haque thanked the Task Force for producing a comprehensive and informative piece of work that has rightly given prominence to the issue of reviving and sustaining growth by enabling the private sector to become the primary driver of growth. The government has recently been consumed by crisis management and is involved in responding to the short term challenges for stabilizing the economy. Therefore, the government appreciates the focus of the report and the Task Force's recommendations on growth issues.

The government faces a number of constraints that have limited its capacity to develop and implement a consolidated vision for re-starting growth. Over the years the attrition of skilled human resources has led to institutional degradation in all government agencies. Development work has been taking place in the form of projects that draw away much needed human resources from the primary functions of government. The overarching incentives facing bureaucrats need to be corrected and the government needs to re-organize the way it runs its business by moving from a project mentality towards a more policy and program driven mode of carrying out its everyday business.

The Deputy Chairman stressed the need for a critical rethinking of the drivers of growth and the right set of public policies that can help Pakistan achieve a growth spurt. A simple focus on market-led growth without the direction of the right set of public policies will not work for Pakistan's economy. The country does not have well- functioning markets that are able to generate competition, efficiency and innovation. Private sector initiative and entrepreneurialism is absent in the economy. As a result the industrial structure is narrow, fragmented and lacks the scale for achieving competitiveness in global markets.

Economies do not grow only on the basis of factor accumulation and therefore an emphasis on investment alone in generating growth would be misplaced. Raising the quality and productivity of both physical and human capital investment is more important than a focus on raising investment per se. The goal must be to raise productivity and the capacity of the economy to innovate. The element of governance and the way society organizes itself is also important determinant of productivity, growth and the ability of economies to compete in the global arena. Thus, the government must move away from the short term project mentality towards a comprehensive reform mentality. This requires a public campaign to generate consensus and constituency for reforms as the society needs a new compact on the growth and development vision for the country.

Chairman Burki thanked the Deputy Chairman for his remarks and appreciated the fact that the government has started working on a growth and development vision for the country that would generate broad-based rewards for the common citizens. He also emphasized the need for civil service reform to re-orient the country's bureaucracy and state machinery to enable it to formulate and implement better public policy, and a review of the various regulatory laws and frameworks that constrain the functioning of the markets.

2.3 Government's Response and World Bank Message to the Task Force

The Planning Commission's Advisor Economic Planning, Dr. S.M. Younas Jafri in his presentation discussed at length the various recommendations of the report and the plans of the government in various areas covered by the report including macroeconomic planning, trade, infrastructure and human resource development.

The World Bank Sector Director for Poverty Reduction Economic Management Finance and Private Sector Development (South Asia Region), Mr. Ernesto May at the invitation of the Task Force Chairman presented his reactions to the report and the Task Force's activities. He shared his experiences in helping countries emerge from crises stressing the need for taking advantage of the opportunities for undertaking important policy reform in the wake of the crisis. The Task Force which has provided a public-private platform for dialogue over the past two years could play a catalytic role in developing a new vision for the country that is urgently needed for Pakistan to prevent a further slide in its international standing. The Task Force report has rightly identified the key binding constraints to private sector led growth which include:

- □ Low domestic savings and vulnerability to external shocks
- □ Low skills and absence of a competitive human resource base
- □ Inward orientation of firms and low technology content
- □ Poor quality of infrastructure (power, transport, etc.)
- □ Poor governance, deteriorating institutions, opaque legal and regulatory frameworks

In order to measure progress there has to be a focus at the outset on some key policy outcomes and the roles of the public and private sector in achieving these outcomes. The three most important outcomes that the country needs to seek are macroeconomic stability for long term sustainable economic growth, global integration with multi-polar sources of growth, and global competitiveness.

For macroeconomic stability, domestic resource mobilization is necessary for reviving and sustaining growth. Once savings are enhanced, fiscal space is open for increased investment, both public and private, the dependence on external aid and vulnerability to external shocks is reduced. Private sector can and should be the main engine of growth in the economy.

In terms of global integration, Pakistan is clearly being left behind. Not only is Pakistan's share in world exports declining but it also under-trades with the fastest growing economies of the world. Elimination of the anti-trade bias in the trade policy is necessary to reverse the trend. A re-direction of private sector efforts from rent-seeking to market penetration and taking measured risks to move up the technology ladder will also be required for Pakistan to carve a greater space for itself in the global markets.

To enhance Pakistan's global competitiveness, efforts to improve the skill level of work force through education and private sector investment in innovation and value creation are needed. Infrastructure bottlenecks that constrain investment, especially power shortages must be removed. Post-flood rehabilitation and reconstruction of damaged infrastructure needs special attention. Most importantly, better governance and appropriate legal and regulatory institutions that govern the market are required for increasing the productivity and competitiveness of firms.

In order to initiate the implementation process Mr. May identified the need for undertaking analytical work where gaps exist, public awareness and consensus generation, creating a good road map for the new vision, monitoring and evaluation of reforms, and the capacity building of implementing agencies. Mr. May concluded his presentation by expressing the commitment of the World Bank for supporting the efforts to generate a new vision for growth and development in Pakistan. He assured the government and Task Force of all possible assistance in achieving the desired policy outcomes through analytical work, technical assistance and lending.

Chairman Burki thanked the World Bank for supporting the efforts of the Task Force through analytical and technical assistance over the last two years. He also outlined a few next steps for publication of the report and dissemination of its findings to a number of constituencies, including the wider business community, think tanks, academia and student bodies, media, legislators and the donor community. The Chairman also expressed his intention of writing a letter to the Task Force members to continue to provide their expertise and oversight during the implementation of the recommendations contained in the report. He suggested that the government should establish a focal point within the Planning Commission that would be tasked with coordinating and implementing the reforms suggested by the Task Force. The World Bank and the donor community can assist the government in providing analytical and technical assistance for this effort.

The members of the Task Force expressed their support for the next steps outlined by the Chairman while emphasizing the urgent need for consistent efforts by the government to take forward the reforms agenda outlined in the report.

3. Implementation, Processes and Priorities

Secretary Planning Ashraf Hayat in response to the Task Force recommendations outlined the steps that the government was planning to undertake in order to initiate the process of implementation. The Secretary noted that while the government was fully committed to goals outlined in the report, in order to achieve the desired outcomes a number of factors must be taken into account. The scope of the reforms agenda put forward by the Task Force transcends several institutional jurisdictions across the government. Therefore, close coordination and effective functioning of government institutions and agencies is essential to implementation. Furthermore, the areas where the scope of economic decision making requires political consensus and political will, progress is inevitably slowed down.

The Planning Commission is working on creating an overarching vision for the country through a consensus based Growth Agenda that will be approved by the National Economic Council. The Task Force report has rightly focused on a number of constraints that slow down growth and therefore, the Planning Commission hopes to integrate its findings and recommendations into the Growth Agenda.

In order to implement the recommendations put forward by the Task Force the Planning Commission will form an inter-ministerial coordination committee that would meet every six months. The committee would comprise members from the various federal ministries and provincial government departments. It will assign responsibility for implementation, set timelines and monitor progress. The government also plans to keep the private sector engaged during the implementation process.

4. Private Sector Proposals

Mr. Saad Ahsanuddin emphasizing the need for concrete actions to be undertaken by the government presented eight suggestions for inclusion into the Draft Report. These include:

1. Improving governance through better vision (for e.g. the appointment of technocrats as state ministers to bring expertise in policy making)

2. Restarting the privatization process of unviable Public Sector Enterprises that are presently costing Rs. 250 billion to the national exchequer

3. Financing infrastructure development through private equity funds

4. Providing a growth stimulus by allowing partial corporate tax liability to be used as primary equity in high growth sectors and encouraging trade with India

5. Improving contract enforcement by adopting programs such as the one initiated by the Punjab government to double the salaries of High Court judges

6. Encouraging the chambers of commerce to invest more in public goods such as research and development

7. Passing the plant breeders act to spur commercialization of research in new varieties of crops and horticulture

8. Involving the private sector in management of rail infrastructure to increase utilization of existing capacity, accelerate new investments and to promote intra-country trade

5. Topic Presentations

5.1 Trade Policy and Exports

Mr. Parvez Hasan in his presentation emphasized the need for adopting an outward-oriented trade policy to create sustained growth. Pakistan's export performance has been dismal in recent years and it has lost market share to countries such as Bangladesh, Vietnam and Turkey. The importance of outward orientation is evident from the fact that there has not been a single case of high economic growth in the last quarter century that did not involve the rapid development of exports. Pakistan is located in the neighborhood of two of the world's fastest growing economies and can take advantage of this to increase its exports, adopt new technologies and move up the sophistication ladder. Export-led growth therefore should be a central part of Pakistan's new growth agenda and it should aim for 10-12 percent growth in its real exports per annum. The instruments that will enable Pakistan to achieve these outcomes include:

- A realistic exchange rate that favors exports
- Joint public-private efforts to promote FDI from China, Korea and Taiwan that are facing rising wage costs and therefore looking to outsource manufacturing to lower cost economies
- Transparent policy and frameworks for the exit of uneconomic units while providing support in promising sectors
- Close coordination across ministries (commerce, textiles, industries and production and other relevant agencies) to implement trade policy initiatives under the lead of the Planning Commission
- Strengthening of the monitoring mechanisms through existing high-level forums such as the Export Development Board

Members of the Task Force while expressing broad consensus with the proposals put forward by Mr. Hasan underscored the need to remove two major barriers to foreign investment: security and the rising costs of inputs for doing business. In order to tackle the security challenges and reduce input (especially power) costs, it was proposed that the government should set up a fully-equipped international standard free trade zone with China on a priority basis.

The need to strengthen marketing and promotion initiatives and building alliances with appropriate partners for establishing supply chain linkages with global retailers was also recommended by the Task Force. While the importance of textiles sector exports cannot be ignored, Pakistan must look towards growing markets in the East rather than spending time and resources on gaining market access in EU and the US. These markets will also be important for the expansion of textile exports in the future. Other sectors that can become leading exporters include milk and dairy products, horticulture, and pharmaceuticals. Increasing exports of these products would require investments in appropriate transport and warehousing infrastructure as well as compliance with international sanitary and phyto-sanitary standards. The importance of upgrading the skills of the workforce and especially middle management (through accredited training programs) was also stressed for enhancing productivity and competitiveness.

5.2 Institutions for Market Governance

Mr. Khalid Mirza, former Chairman CCP and SECP and Dr. Ishrat Husain, former Governor SBP and Director IBA led the topic discussion on institutions for market governance and doing business.

Mr. Mirza gave the Task Force an overview of the present state of market regulatory institutions in the country. Most regulatory institutions in Pakistan are characterized by dysfunctionality due to the absence of political will to support regulation, lack of independence of regulators, lack of resources, absence of expertise and serious weaknesses in law and contract enforcement. For regulation to succeed it must be sound, effective and credible and be enforced by an incorruptible, fearless and discerning regulator. The success of regulation rests on the following factors:

- A transparent and competitive process for the selection of the regulator
- Adequate legal framework and empowerment of the regulator together with institutional accountability mechanisms
- Independent sources of funding

Mr. Mirza concluded his presentation by emphasizing the need for regulation where market failures exist to create incentives for efficiency and a level playing field for smooth functioning of markets. The sectors where there is a an economic rationale for regulation can fall into one of the following categories: natural monopolies, possibility of dominance by firm(s) after privatization, markets with moral hazard and asymmetric information, and markets with concessions granted by the government.

Dr. Husain in his presentation emphasized the need for regulation wherever distortions existed in the form of market failures. The first step is to identify the source of market failure and the second step is to adopt the right instrument such as taxation or regulation to correct the distortion. While there is no prescribed formula for when to regulate or not, Dr. Husain discussed a number of situations when government regulation of markets becomes necessary. In the presence of incomplete markets, externalities, monopolies and tendency towards dominance, regulation is desirable. However, in the case of homogenous good markets characterized by perfect competition, or situations where intervention distorts private sector incentives through over-regulation or provision of selective incentives, there is a strong case of de-regulation.

The Task Force members thanked the two presenters for sharing their valuable experiences. The importance of open and merit-based selection of regulators and their Boards was emphasized during the discussion. The private sector members stressed the need for well-thought out regulation as poor regulation has negative consequences for growth of the sector (e.g. in the power sector NEPRA is discriminating against efficient IPPs in the tariff-setting process). Other factors identified as important for successful regulation include: operational independence of regulators within the domain of stated government policy, effective governance structure of regulatory institutions and their Boards, management capacity and competence, independence of funding, and accountability to the government and public at large.

5.3 *Domestic Resource Mobilization*

Mr. Kamran Mirza presented a brief overview of the changes in the domestic financing situation since 2007. In his presentation Mr. Mirza highlighted the fact that government borrowing had increased from Rs. 926.5 billion in June 2007 to Rs. 2.6 trillion on 15th Oct 2010, out of which Rs. 811 billion has been financed through commercial banks. Government borrowing for commodity operations stands at Rs. 388.4 billion, credit to Public Sector Enterprises' amounts to Rs. 324.2 billion in addition to another Rs. 250 billion being spent by the government to finance various subsidies. In contrast, credit to private sector has increased marginally from Rs. 2.5 trillion to Rs. 3.0 trillion over the same period.

The taxation regime of the government in addition to being highly inequitable is also inefficient in its present form. It raises only 10 percent of GDP in tax revenues and creates serious distortions in terms of economic efficiency. For example, the manufacturing sector contributes 20 percent of GDP but accounts for 60 percent of the taxes collected. This has negative consequences for firms to expand scale and enter the formal sector. In order to improve the revenue side the government must also re-start the privatization process. A number of Public Sector Enterprises own valuable assets that can be converted into cash for raising capital and doing business.

On the expenditure side, it is imperative for the government to impose stringent cuts on all unnecessary expenditures by cutting the size of the federal government and cutting back on financing to all extraneous agencies. The domestic resources thus mobilized must be directed towards priority investments in infrastructure and human resource development.

Members of the Task Force expressed agreement with the above suggestions while emphasizing the need for generating political and social consensus for implementing much needed reforms in tax policy and expenditure rationalization.

6. Concluding Session

The Task Force was joined by the Finance Minister Hafeez Sheikh and Deputy Chairman Nadeem-ul-Haque for its closing session. Chairman Burki made a brief presentation of the main findings of the report and suggestions for initiating the process of implementation. In addition to publishing and disseminating the findings of the report at various forums involving civil society, media, parliamentarians and donors, the Task Force has also suggested the setting up of an inter-ministerial coordination unit in the Planning Commission. This unit will be tasked with driving the process of implementation across various federal level government departments. A similar mechanism should be set up in the provinces under the overall coordination of the federal level unit. The World Bank and other donors can provide assistance for analytical and technical work to the government. And finally, the Task Force would provide the oversight of the entire implementation process at the advice of the Presidency. The first meeting for this purpose would be convened after six months at which the government will be requested to update the group on implementation progress.

The Finance Minister assured the Task Force that the government was committed undertake all possible steps to ensure the implementation of workable proposals put forward by the private sector. The government agrees with the six areas of focus developed by the Task Force in its report. However, to speed up the implementation process it needs more specificity in terms of implementation and prioritization of actions. Therefore, the Task Force should forward 6-8 specific recommendations to the Minister for immediate action by the government.

The Minister informed the Task Force that the government is in the process of finalizing a number of proposals for domestic resource mobilization. It has frozen federal government non-salary expenditures at previous year levels and advised the provinces to do the same. It is also planning structural reforms in power generation and distribution sector that would lead to substantial deregulation and private sector participation.

The government is committed to meaningful dialogue with the private sector through various interfaces such as the Business Persons Council, Economic Advisory Committee, Revenue Advisory Committee, Revenue Coordination Group and the Private Sector Development Task Force. The government will also invite members of the private sector to the upcoming Pakistan Development Forum to be held from November 14-15th 2010.

Chairman Burki thanked the Finance Minister for his comments and the Task Force members departed for a call to the Presidency to apprise the President of the recommendations of the report and the outcomes of the meeting.

ANNEX 6: LETTER TO THE PRESIDENT BY TASK FORCE CHAIRMAN

Shahid Javed Burki
11112 Stackhouse Court
Potomac, Md. 20854
USA

April 13, 2009
President Asif Ali Zardari,
President of Pakistan,
President House,
Islamabad.

Dear Mr. President,
I am writing this letter to you in response to your request when I met you on February 28 following the conclusion of the first meeting of the Task Force on Private Sector Development. I was accompanied by several members of the Task Force to the Presidency and we had a detailed discussion on what were the problems faced by the Pakistani economy and what contributions the private sector could make to bring the country out of the deep slump into which it had fallen. You requested that we provide you and your government some ideas about public policy response to the crisis. You thought that it would be helpful for you and your administration to receive some suggestions that could be incorporated into the forthcoming budget, the annual development plan and the trade policy.

In order to respond to your request we met for the second time in Karachi on April 8 and 9 and had a wide ranging discussion on a number of issues that today confront the Pakistani economy. Before we concluded our meeting we discussed the content of this letter. The Task Force authorized me to write to you on its behalf. Accordingly, the views expressed here have the full support of the members of the Task Force, most of whom have prominent positions in Pakistan's private sector.

We have used the development of the Pakistani firms as the organizing framework for our analysis. Our aim is to provide suggestions for public policy which would improve the productivity of the firms, make them more competitive in the market place, improve their technological base, develop the level of skills among the members of the work force and bring about better integration of the Pakistani firms into the international production system. For this line of our work we have been able to access the copious amount of information that has become available from the World Bank. The Bank has just completed the *Investment Climate Assessment Report* which offers both data and suggestions for policy action.

The private sector recognizes the need for decisive action aimed at improving the situation of security in the country. The Task Force feels that the threat to security posed by the rise of extremism poses the single most important challenge to the economy. We also recognize the need for continuing sustainable structural reforms in order to ensure that the economy can be placed on a trajectory of growth that would parallel those followed by other rapidly growing economies of Asia. In order to achieve this objective it is important to place added emphasis on domestic resource mobilization and narrowing the savings—investment gap. We also strongly urge the government to maintain a realistic exchange rate that constraints domestic consumption while encouraging exports. While designing public policy, we believe that the government should place emphasis on achieving a better distribution of income and wealth and to ensure that incremental incomes are more evenly distributed than has been the case in the past.

In the work of the Task Force, special focus was placed on improving the quality of the country's large work force. You had placed emphasis on this aspect in the meeting we had with you in February. One reason why the country has performed poorly in the past is because of the economy's poor skill and educational base. To deal with this problem the government must focus not only on providing adequate resources but also undertaking a number of institutional reforms. The public sector alone does not have the resources and expertise to do this on its own. A close partnership will be needed between the public and private sectors. We will make some specific suggestions in this context later in this letter.

The Task Force notes the catastrophic change in the economic environment in the recent past. Both the fiscal deficit and the current account gaps in 2007-08 were at record levels. This happened largely as a consequence of (a) unprecedented external shocks received by the country, (b) deteriorating domestic security situation and (c) inadequate public policy response to the changes in the situation.

Notwithstanding the rapid deterioration in macroeconomic situation we are pleased to note that the government took a number of difficult decisions that have brought some positive changes in our economic circumstances and could bring back stability to the economy. That said, some of the public policy responses may have hurt medium term economic growth prospects. This may happen because of an excessive retrenchment in public development expenditures while current spending was not touched significantly. We hope the balance between development and current spending will be restored in the 2009-10 budget.

The Task Force is concerned that some of the recent improvements in the macroeconomic situation may, once again, produce complacency in Islamabad. A feeling that we have overcome the crisis may be reinforced by the prospects of large inflows of Official Development Assistances (ODA) to the country as a result of the contemplated change in the American policy towards Afghanistan and Pakistan and also the likely positive response of several donors at the "Friends of Pakistan" meeting in Tokyo on April 17.

The Task Force would like to make a number of specific suggestions for the considerations of your government. These are as follows:

- Restore confidence in the country and the economy on the part of both internal and external investors by strongly focused efforts to bring political stability and establish a durable political structure;

- Reduce inflation to single digit in 2009-10 by the adoption of appropriate fiscal and monetary measures;

- Combine the efforts to stabilize the economy by improving its efficiency;

- Raise the tax to GDP ratio beyond the unprecedentedly low levels to which it has declined in recent years. This should be done without hurting investment, by constraining consumption, and by protecting the poor;

- Launch a well focused effort to increase the level of investment. This could be done by the adoption of a number of measures. These include the following:

    - Reduction in the discount rate as the monetary situation improves;

    - Rationalizing the tariff structure by encouraging the import of capital goods, keeping in mind the fact that the prices of investment goods have risen faster than those of consumer goods;

  - Accelerated depreciation for investment by companies to improve the educational and skill levels of their workers;
  - Support the efforts by the private sector to form companies dedicated to skill development;
  - Level the playing field for enterprises of different sizes by bringing the small and medium enterprises into the tax net and into the regulatory framework;

- Facilitate the exit of companies that are not performing (have turned "sick") by establishing a Resolution Trust Corporation and providing it with an appropriate amount of capital;
- Quicken the implementation of the program to computerize land records. This would generate a lot of economic activity and deepen the financial and capital markets;
- Expedite the process of privatization by putting greater emphasis on the use of domestic capital markets;
- Strengthen the Security and Exchange Commission of Pakistan and the Competition Commission. The latter should be provided with the funding that is its due under the law that established it; and
- Develop poverty, nutritional and other "maps" to better focus subsidies to the deserving poor and to the more backward regions of the country. The conceptual framework and technology for doing this has been developed by the World Bank.

The Task Force was specially concerned with poor implementation of the various proposals Islamabad has received over the years from various commissions, task forces and international development agencies. To improve this situation the Task Force proposes the establishment of a federal secretaries policy implementation committee co-chaired by Secretaries of Finance and Planning. It should have secretaries of all economic ministries as members including the Chairmen of Provincial Planning and Development Departments. The Committee should meet every month and should issue its agenda and minutes to the press. The Chairmen of this committee should be required to appear before the appropriate Senate and National Assembly committees every quarter.

In the end I would like to inform you that we have drawn up an ambitious plan of action for our future meetings. We will keep you, the Prime Minister, Deputy Chairman, Planning Commission, and the Advisor Finance informed of the progress we are making in our deliberations.

I would like to conclude this letter with a personal note. It has been a pleasure to be involved in this exercise. I am grateful to you for your encouragement and to the Planning Commission for help in this important endeavor.

With regards,

Sincerely,

Shahid Javed Burki
Chairman
Task Force on Private
Sector Development

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